re/make Accountability Report 2022

Fashion Accountability Report

An assessment of 58 of the world's largest companies across fast fashion, luxury and big box retail + sustainable alternatives.

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EXECUTIVE SUMMARY

Systemic Change Vs the Status Quo: A Tale of Two Truths in Fashion

2022 was a tale of two opposing truths in fashion: a glimmer of systemic change amidst a prevailing flood of harmful industry practices.

We witnessed an incredible pull back to the status quo. We are back to cheap consumerism, high profits, low wages, massive greenwashing, tokenistic racial justice and the constant churn of new collections. SHEIN — the Amazon of fashion — somehow rose to dominance, even though consumer interest in sustainability is at an all-time high. Boohoo launched a "sustainable" collection with Kourtney Kardashian Barker while the company was simultaneously being investigated for forced labor by the U.S. government and greenwashing by the UK government[1][2].

This, however, is not the full picture. Fashion's old ways are swimming against a powerful undercurrent of systemic change. In particular, there are strong new policies on worker and human rights, transparency, and greenwashing winding their way through legislatures; there has been a surge in corporate action around climate change and a rapid rise in unionization; and we are witnessing seismic changes in geopolitical relations, as well as the rise of increasingly organized sustainable fashion social movements. These changes are redressing fashion behind the scenes.

Change is afoot. We will see a different fashion industry within a decade, and yet, who this industry will serve is still up for grabs.

Remake's theory of change is simple: Pay people in fashion a living wage, as this is the best way to simultaneously deliver a fair society and fight climate change. Overproduction is fueled by low wages, and the transition to a net-zero future is impossible without massive investments in clean energy and in frontline communities that will take on much of the burden of decarbonizing. We need an intersectional, just approach to sustainability, and we need voluntary action to be replaced with and bolstered by bold policies and binding agreements.

1) Butler, S. (2021, March 2) US to investigate claims of forced labour at Boohoo suppliers. The Guardian. Retrieved from: https://www.theguardian.com/business/2021/mar/02/us-should-consider-ban-on-boohoo-clothing-says-charity

2) Competition and Markets Authority. (2022, July 29). ASOS, Boohoo and Asda investigated over fashion 'green' claims. Gov.uk. Retrieved from: https://www.gov.uk/government/news/asos-boohoo-and-asda-investigated-over-fashion-green-claims

Fashion Policy Replaces Transparency as the Dominant Mode of Change

One of the leading positive trends of 2022 is that fashion policy took center stage. It has moved into the mainstream and it is now shaping legislative agendas around the world. The passage of the Garment Worker Protection Act (SB62) in California in 2021 — hard-fought and hard-won — helped to inspire a wave of proposed policies in the United States and in Europe that aim to protect labor, human rights and the planet. This is a remarkable shift away from the calls for voluntary commitments and transparency that have shaped fashion for the better part of three decades.

In May of this year, the United States Congress introduced a successor law to SB62 called the Fashioning Accountability and Building Real Institutional Change, or FABRIC, Act. The bill, which includes strong provisions that both hold companies accountable for supply chain wages and incentivize investments in domestic manufacturing, has, at the time of writing, 186 official endorsers, including some of the companies featured in this report. In June, the Uyghur Forced Labor Prevention Act (UFLPA) went into effect in the United States. This law will further force the industry to know where and how its products are made. Supply chain disclosures are certainly becoming both broader and deeper, as is evidenced throughout this report, but a new era is upon us: Radical transparency is no longer a nice-to-have.

Other noteworthy legislative efforts include New York State's Fashion Workers Act, which would protect contract workers in fashion, such as models and makeup artists. Human and labor rights groups continue to try to strengthen the New York Fashion Sustainability and Social Accountability Act (Fashion Act), so that it may become a transformative bill in terms of human rights as well as climate. In Europe, the European Union is soon to adopt a directive on Corporate Sustainability Due Diligence which would require companies to understand and address human and environmental risks in their supply chains. Building on these efforts, this year EU civil society organizations launched a living wage campaign, the Good Clothes, Fair Pay, calling on fashion companies to raise pay in their supply chains.

How large companies interact with these policies as they move through legislatures will be the question of 2023. Will they stand in the way of progress and hide behind industry associations that lobby against worker-driven laws? Or will they stand up for transformative change?

Climate Action Is Here, but Is Fashion Ready to Fund a Just Transition in the Global South?

Another positive development this year is the number of companies setting aggressive targets to tackle climate change. As we write in the Environmental Justice section of this report, companies are increasingly publishing their full carbon footprint, inclusive of all of their supply chain emissions (and the figures are, perhaps unsurprisingly, staggering). What's more, many are setting both short- and long-term science-based targets (SBTs) to reduce their carbon emissions in line with The Paris Agreement, which aims to keep the planet below 1.5°C of warming.

Some companies are making headway on reducing their direct emissions. Nevertheless, as our data captures, only three companies this year can report that they are making progress towards reducing their overall carbon footprint in line with their fully-approved science-based targets. And even these reductions are still likely largely attributable to the pandemic slump that extended into 2021.

It is not difficult to see why progress on climate is sluggish: The fashion industry continues to chase unsustainable growth. But that is not the only reason. At the highest level, the fashion industry understands that it simply has to take action on climate change, but a critical piece in its mitigation efforts is missing: massive direct investments into factories and fiber producers in the Global South. To reach net-zero will require manufacturing facilities to maximize energy efficiency, eliminate the use of coal and totally shift to renewable electricity. Regenerative farming and fiber production practices will also need to be scaled[3].

According to the Apparel Impact Institute (Aii), decarbonizing fashion could cost the fashion industry the better part of $1 trillion[4]. The only way to ensure a transition to net-zero is both feasible and fair is for large companies to pay their fair share in helping factories decarbonize so that they can cover this work and continue to safeguard the employment of their workers. Companies must do their part to ensure a just transition to a carbon neutral future. However, there is scant evidence that this is happening at the levels necessary, yet.

Following the Historic Success of #Payup, the First Company Commits to Ethical Commercial Practices

In more positive news, Ganni becomes the first company (to our knowledge) that has taken the first steps to fix fashion's broken commercial practices, which harm garment workers and stunt true sustainable development. During the early months of the pandemic, fashion companies canceled $40 billion worth of clothing in production, triggering layoffs without pay and a massive humanitarian crisis. This also unleashed a hugely successful social movement called #PayUp. Spearheaded by Remake, this global campaign not only helped to recoup $22 billion back to factories and garment workers, but it also energized calls for an overhaul of commercial practices in fashion. Companies are now being asked to commit to not only pay in full for what they order, but to pay fair prices and not make last-minute changes to orders that puts workers' lives in peril. Most importantly, these commitments should be enshrined in contracts, making them become legally binding.

3) Sadowski, M., Perkins, L. and McGarvey, E. (2021). Roadmap to Net Zero: Delivering Science-Based Targets in the Apparel Sector. World Resources Institute and Apparel Impact Institute. Retrieved from: https://apparelimpact.org/roadmap-to-net-zero-report-2021/

4) Ley, K., van Mazijk, R., Hugill, R., Perkins, L. and Gains, R. (2021). Unlocking the Trillion-Dollar Fashion Decarbonisation Opportunity: Existing and innovative solutions. Apparel Impact Institute and Fashion For Good. Retrieved from: https://apparelimpact.org/reports/unlocking-the-trillion-dollar-fashion-decarbonisation-opportunity-report/

Nearly three years later, where does the industry stand on commercial practices? In this report, we highlight one company — Ganni — who claims to have adopted a responsible Buyer Code of Conduct, committing to fair commercial practices. This is an exciting development, and we have heard from other companies who are on the cusp of making similar formal assurances in the coming year. We look forward to them putting their words into action.

The Future of Fashion Is Circular and Net-Zero, but Who Will It Serve?

One concerning, and rapidly growing, trend we have seen over the past couple of years is the corporate capture of circularity, namely brand-owned resale and rental offerings, which could unleash massive social and environmental rebound effects. There is now widespread evidence that companies are using circularity to greenwash.

Resale programs are on the rise, and while they give consumers a lower-impact way to shop, they have also become a way to distract from the fact that companies are, in reality, continuing to churn out new products and pursue business as usual. In October, SHEIN — the Chinese ultra-fast fashion company — launched a peer-to-peer resale platform, joining in on what is, according to thredUP, now a $35 billion industry, and casting fresh doubts on the future of the so-called circular economy[5].

Unfortunately, the promise of circularity — that the more we buy used clothes, the fewer new clothes will be produced — is far from our current reality. Consumers are now just consuming more of both, which means that environmental impact is increasing for every garment produced. Our report captures no data showing that either the Global North's overall consumption or individual nation-level consumption of clothing and footwear is going down. Global virgin fiber production is, in fact, still going up. It increased by another 3 million tonnes in 2020 alone, according to Textile Exchange, even in the depths of a pandemic[6].

There was a broader reckoning on greenwashing in fashion in 2022, though, as regulators in the UK, Norway and the Netherlands cracked down on misleading claims and, just as importantly, issued clear guidance to companies on how to truthfully describe their sustainability work. The industry-backed Higg Materials Sustainability Index, which was being used to create consumer-facing sustainability labels, is undergoing an internal review. At writing, H&M Group (H&M, COS, ARKET, & Other Stories) has pulled its sustainable clothing labels for reexamination, as it faces a class action lawsuit for consumer deception in the United States. And, as mentioned above, the UK government is investigating Boohoo, ASOS and Asda for greenwashing[7].

The greenwashing uproar is, we think, a good sign. It shows the maturation of the sustainable fashion movement. Consumers and experts alike are calling for better, more standardized data; more government oversight around claims; and more thorough and nuanced life cycle assessments of products.

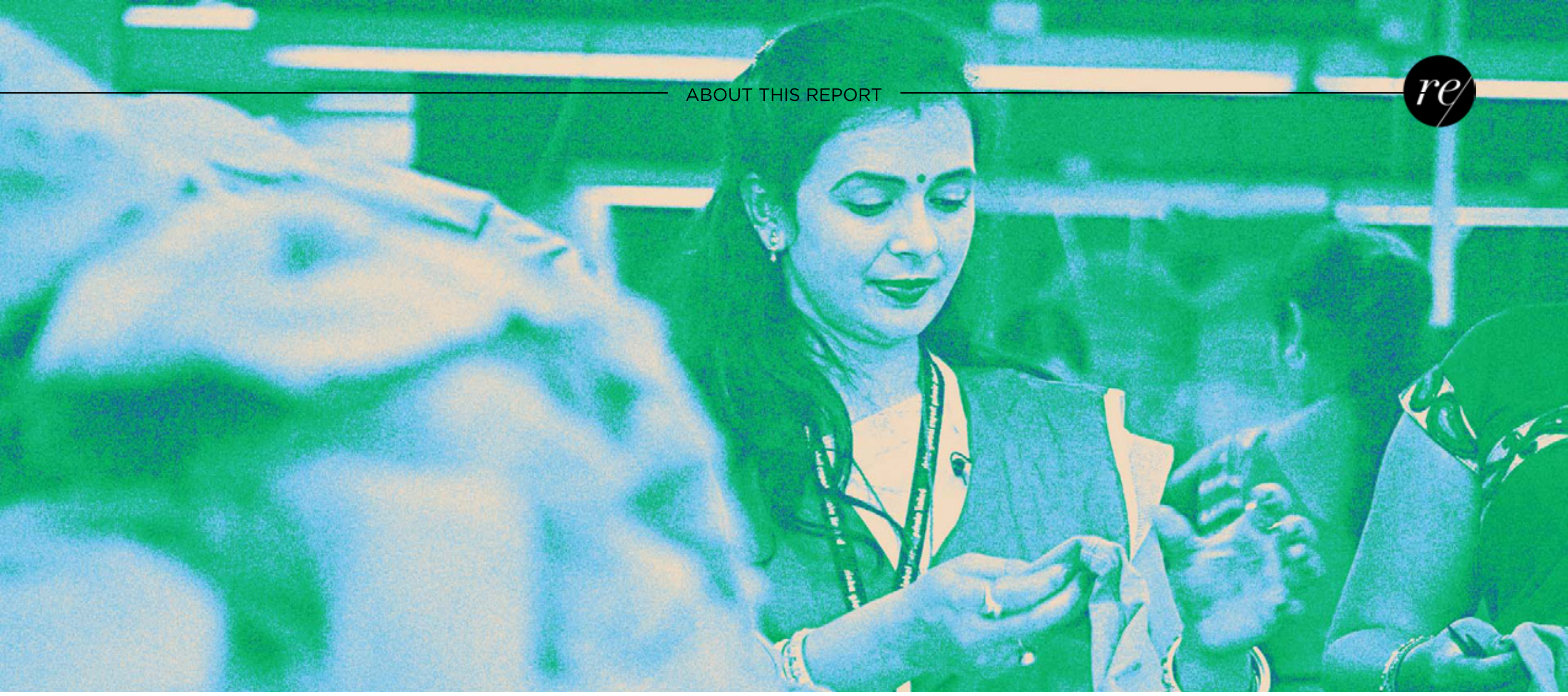
But good data will only get us so far. The evidence presented throughout this report shows that sustainability agendas continue to put labor and human rights on the backburner, ignoring the centrality of living wages and safe working conditions in achieving climate resilient supply chains.

Signs abound that the future of fashion will be circular and carbon neutral. But what remains to be seen is if this greener industry will be built around new kinds of extreme exploitation ("green" capitalism), or if it will be built around justice, equality, and decentralized and democratic participation. It is not too late to steer towards the latter. By combining collective action, strong policies and binding commitments with independent accountability tools like this one, the Remake Fashion Accountability Report 2022 shows that there is a clear path forward to transform fashion into a force for good.

5) ThredUp. (2022). 2022 Resale Report: Retailer Edition. Retrieved from: https://www.thredup.com/resale/static/2022-resaleReport-retailer-84d8156c4f5855bdca144016597d0f9c.pdf

6) Opperskalski, S., Franz, A., Patanè, A., Siew, S. and Tan, E. (2022). Preferred Fiber and Materials Market Report. Textile Exchange. Retrieved from: https://textileexchange.org/wp-content/uploads/2022/10/Textile-Exchange_PFMR_2022.pdf

7) Competition and Markets Authority. (2022, July 29). ASOS, Boohoo and Asda investigated over fashion 'green' claims. Gov.uk. Retrieved from: https://www.gov.uk/government/news/asos-boohoo-and-asda-investigated-over-fashion-green-claims



ABOUT THIS REPORT

What's New

This is the second annual Remake Fashion Accountability Report based on our updated scoring system, which measures companies' actions towards social and environmental justice goals, rather than their promises alone. As we worked to fine-tune our new scoring system, we made a few more changes this year:

- **WE SCORED MORE COMPANIES** including Chanel, Desigual, Disney, Hanesbrands Inc., Kering (last year, we scored Gucci but not the Kering conglomerate), LVMH (Louis Vuitton, Celine, Dior), MUJI, Ralph Lauren, REI, River Island, Rothy's, Puma and Savage X Fenty. What's more, a few companies from last year, such as C&A, did not release their annual sustainability reports in time to be included.
- **SMES ARE NOT SCORED AGAINST LARGE COMPANIES.** Smaller, sustainable and ethical fashion businesses (those earning less than USD $100 million in annual revenue and self-described as sustainable or ethical) are no longer folded into the aggregate scores, as this proved not to be a fair, apples-to-apples comparison. Sustainable small and medium-sized enterprises will still be lifted up in the report via our new Small Sustainable Businesses section.
- **NEW SPOTLIGHT ISSUES:** This year's three salient Spotlight Issues track companies' commitments to the International Accord, to a single global standard for products sourced from China's Xinjiang region in line with the updated End Uyghur Forced Labor Call to Action and to acting responsibly around pandemic-related wage theft in the supply chain.
- **WE ELIMINATED NEGATIVE SCORING** to create a baseline to compare year-over-year progress. Instead, we have shifted to using spotlight issues as neutral-scored case studies.
- **EXPANDED METHODOLOGY SECTION** to share further details about how we score.

How the Remake Fashion Accountability Report Is Different:

- **We Score Based On Business Model**
  Meaning some points are off-limits to those that prioritize excessive sales growth as well as those that profit off low-quality trend cycles.

- **We Score Progress, Not Promises**
  Points are mostly awarded in connection to demonstrable action towards clear targets (like increasing the number of workers who earn a living wage or meeting carbon reduction targets).

- **We Evaluate Companies Holistically**
  From the diversity of corporate leadership to the wages paid to retail and garment workers to the animal welfare on farms.

- **We Do Not Separate Social Impact From Environmental Impact**
  These two avenues of progress are deeply intertwined.

- **We Take No Funding From the Fashion Industry**
  Ensuring our ability to serve as an independent third-party watchdog.

How to Use This Report

The Fashion Accountability Report and Remake's accountability scoresheet are, together, intended to serve as a roadmap and North Star for systemic social and environmental change in fashion. There is a temptation to boil scores into a list of "good" and "bad" companies, but it is our hope that this report will be used more prominently as an educational and advocacy tool that shapes necessary and transformative progress, both within the industry and from the outside in.

For Citizens

Your voice matters. Areas where we see the most progress occurring — like climate action, toxic chemical reduction and fair pay — came about because of social movements when every-day citizens demanded more from companies. Use the Fashion Accountability Report and our corresponding Brand Directory as an educational tool to participate in campaigns, to organize and support policies for reform, and to push the companies you purchase from to do better. For example, you can:

- Access the Action Kit for ways to support the FABRIC Act.
- Urge companies to sign onto the International Accord (and celebrate those that already have).
- If you are an EU citizen, sign the Good Clothes, Fair Pay petition calling for living wages.
- Follow @remakeourworld on Instagram and Twitter to get more involved in sustainable fashion.
- Peruse the Brand Directory to discover businesses that are doing better.

For Policymakers

Policymakers are encouraged to use the Fashion Accountability Report as an educational tool to design and inform worker-driven policy, to build support for fashion-centric legislation, and to learn about the companies that are supporting initiatives like the FABRIC Act and the International Accord. We urge elected leaders to continue to ensure that policies deliver for garment workers and other disempowered communities in fashion supply chains and that they include strong provisions for accountability within the industry.

For Companies and Employees

Fashion companies are encouraged to use the Fashion Accountability Report and our accountability scoresheet as a roadmap to shape internal dialogue, public disclosures, and programming around social and environmental impacts. We want companies to do better and score well, but we primarily see the Fashion Accountability Report as a tool the industry will use to make and track change. The Fashion Accountability Report and the accountability scoresheet can be used to:

- Inform internal dialogue. We encourage industry professionals to share it internally.
- Shape and standardize the sustainability information disclosed in the public domain every year.
- Help inform internal resources and priorities around how the intersectional and holistic goals outlined in our report shapes companies.

If you would like to submit your company for scoring, or if your company has already been scored and you would like to submit updated information about your sustainability commitments, please reach us at becca@remake.world. You may also download an accountability scoresheet and complete a self-assessment by following the instructions at the bottom of our Brand Directory.

For Press

We hope that the Fashion Accountability Report serves as a resource to help cut past companies' greenwashing efforts and to drive dialogue with them on what matters. We invite you to lean on this report for nuanced story ideas and to raise the bar on the way fashion sustainability is covered.

Methodology

How This Criteria Was Created

Remake has been evaluating fashion companies on their social and environmental progress since 2016. In 2021, with the climate crisis looming large and the industry's grossly unethical treatment of its garment workers during the pandemic in the spotlight, we moved to raise the bar on accountability in fashion by revising and strengthening the criteria by which we evaluate companies.

It is undeniably clear that transparency, though absolutely necessary and foundational to sustainability, is not enough. The fashion industry needs radically different business models and new modes of thinking in order for it to be able to operate within our finite planetary boundaries and deliver equity for its workforce. Thus, we sought out the input of a host of expert stakeholders to help us create a set of ambitious, moonshot goals that will propel the industry in the right direction and ensure a just transition for all along the way. You can meet those stakeholders in the Advisors section of this report.

Together with labor rights organizations; professors of human rights, employment, and law; and thought leaders in the fields of environmental justice, degrowth and circularity, we have built a framework that measures fashion companies' progress towards true accountability in the following six areas:

- Traceability
- Wages and Wellbeing
- Commercial Practices
- Raw Materials
- Environmental Justice
- Governance

Scope of the Research

Our accountability assessments rely only on information that is in the public domain, most notably that which is published in companies' own sustainability and annual reports, or on their websites. This is to encourage companies to fully trace and measure the impacts of their supply chains so that they may set ambitious targets to mitigate their negative social and environmental footprints, as well as to ensure that there is a way for these companies to be publicly held accountable for meeting these targets.

Please note that data presented in this report is current as of Oct 2022.

How Companies Are Selected

This year, the Remake Fashion Accountability Report assessed 58 of the world's largest companies across fast fashion, luxury and big box retail. These are companies with an annual revenue of over USD $100 million and that, because of their size and purchasing power, have the most influence and responsibility to create the systemic changes that the fashion industry so critically needs in order to achieve its climate and social justice goals. A few companies were selected due to their relevance to our community and broader advocacy campaigns. Readers should note that Remake scores parent companies and conglomerates, and that the scores and insights presented in this report reflect all relevant subsidiary companies and brands.

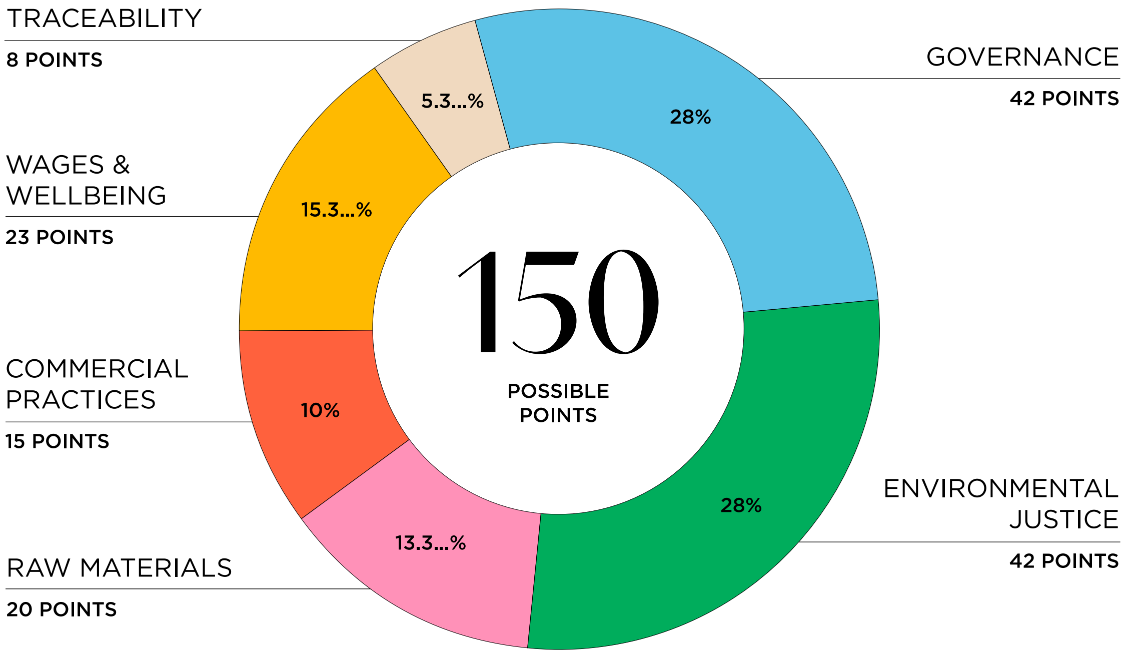
Though we have not incorporated their scores in the aggregate data calculations this year, we also chose to highlight 15 small, sustainable businesses. In order to highlight a new crop of companies, we have included a different list of these small brands than were incorporated in last year's report. These are companies chosen either because they are showing leadership in a certain area or our community at large regularly expresses interest in them.

How We Score

Remake's accountability assessment criteria scores fashion companies on their progress towards social and environmental goals across six categories: Traceability (8 points), Wages and Wellbeing (23 points), Commercial Practices (15 points), Raw Materials (20 points), Environmental Justice (42 points), and Governance (42 points). To this end, our scoring system looks for action and demonstrations of year-over-year progress. Very few points are allotted to goal-setting or transparency alone (with the notable exception of supply chain traceability, which is foundational).

Our scoring system goes up to 150 points, but acknowledging that not every indicator will always be relevant to every type of brand or retailer, we encourage companies of all sizes to view and use this criteria as a roadmap — to focus on the direction of travel, rather than on the narrow goal of getting as many points as possible. That said, given the stringency of our scoring, every additional point earned reflects significant positive impact and a definitive step in the right direction on a company's accountability journey.

What's more, as the knowledge and expertise of our team grows, and society's understanding of sustainability evolves, we will continue to refine the way in which we assess companies. This year, for example, this is reflected in the overall lower average scores and in the removal of our Spotlight Issue negative points system. This will allow us to create a baseline and show clear progress in the year's ahead. Remake remains committed to being transparent about our own internal process.



Company Engagement

Every company included in this report received the opportunity to review its scoresheet ahead of publishing. This year, **17 companies (29%) engaged in this process.** In many cases these companies were able to increase their final scores by identifying relevant disclosures that our research team may have overlooked or by putting additional information in the public domain.

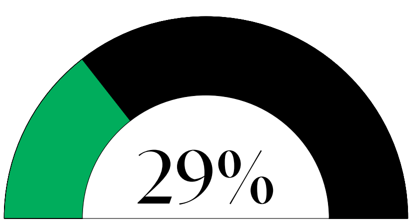
Companies That Engaged In Our Process:

- American Eagle Outfiitters
- Boohoo Group
- Burberry
- Everlane
- Fast Retailing
- Gap Inc.
- Inditex
- J. Crew Inc.
- Levi's
- Primark
- Reformation
- REI
- Rothy's
- SHEIN
- VF Corp
- Victoria's Secret
- Walmart

Spotlight Issues

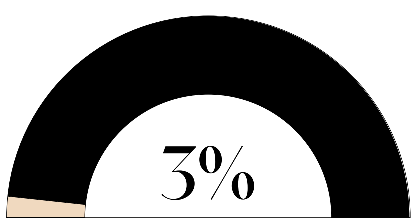
Each year, Remake raises up three salient Spotlight Issues that highlight urgent and breaking human and labor rights issues impacting garment workers in a given reporting year. The 2021 Spotlight Issues were: failures to #PayUp, opposition to California's Garment Worker Protection Act and refusal to sign the International Accord.

Last year, in addition to the 150 possible points companies could earn, companies lost points for failing to address relevant Spotlight Issues. This year, in order to create a baseline on which we can observe year-over-year progress, we have not directly scored the Spotlight Issues. Rather, we have tracked, and will continue to track, specific companies' responses and actions towards the three 2022 Spotlight asks: support for the International Accord, commitments to addressing pandemic-related wage theft in garment factories, and adherence to a single global standard in support of the Uyghur Forced Labor Prevention Act. We have integrated these three current Spotlight Issues as contextual case studies throughout the report.



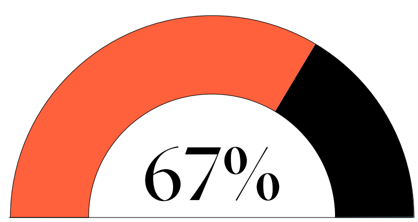
Engaged in our assessment process

17/58



Declined the opportunity to participate

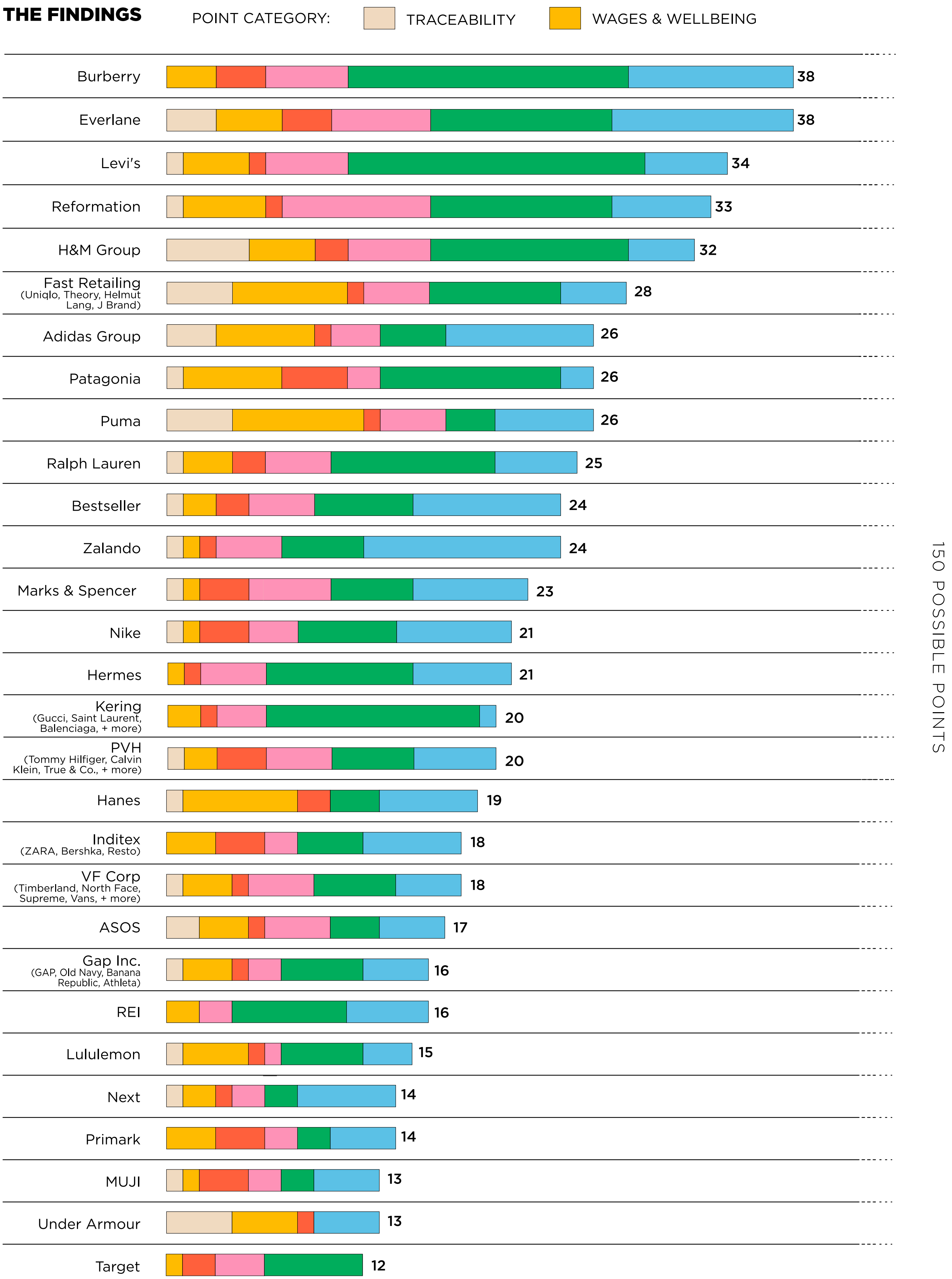
(2: Amazon & Bestseller)

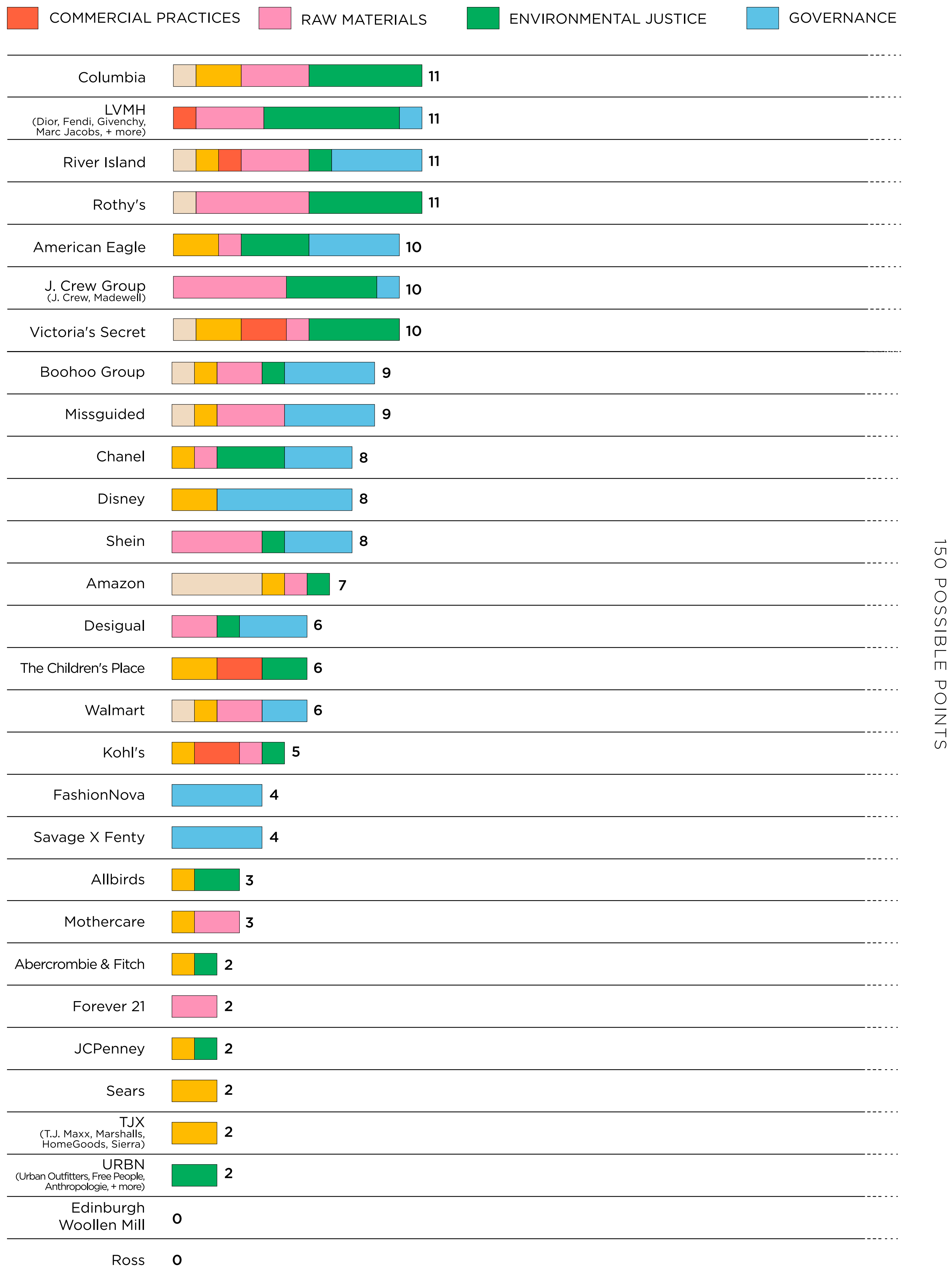


Did not respond

39/58

THE FINDINGS




COMMERCIAL PRACTICES
RAW MATERIALS
ENVIRONMENTAL JUSTICE
GOVERNANCE
Columbia 11
LVMH (Dior, Fendi, Givenchy, Marc Jacobs, + more) 11
River Island 11
Rothy's 11
American Eagle 10
J. Crew Group (J. Crew, Madewell) 10
Victoria's Secret 10
Boohoo Group 9
Missguided 9
Chanel 8
Disney 8
Shein 8
Amazon 7
Desigual 6
The Children's Place 6
Walmart 6
Kohl's 5
FashionNova 4
Savage X Fenty 4
Allbirds 3
Mothercare 3
Abercrombie & Fitch 2
Forever 21 2
JCPenney 2
Sears 2
TJX (T.J. Maxx, Marshalls, HomeGoods, Sierra) 2
URBN (Urban Outfitters, Free People, Anthropologie, + more) 2
Edinburgh Woollen Mill 0
Ross 0
150 POSSIBLE POINTS

THE FINDINGS

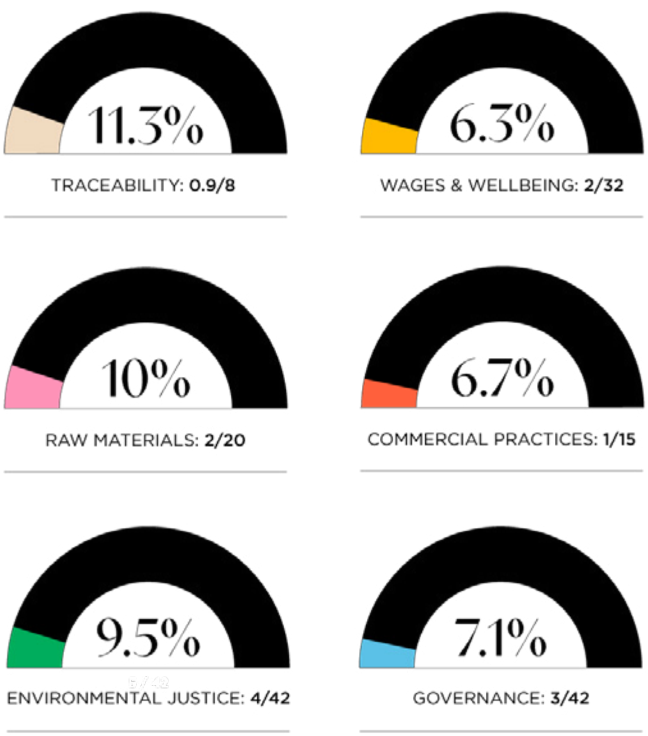
Key Themes Overall

Sustainability Is Being Driven by a Handful of Companies, Underscoring the Need for Policy and Binding Agreements

This year's report showed low average scores across every section, but upon closer inspection what we see is that the bulk of the work towards environmental and social progress is taken up by a handful of companies. There is a huge range in scores. This is not surprising: Binding commitments and policy is necessary to correct existing industry incentives to exploit people and the planet and to level the playing field. Fortunately, fashion policy is now being pursued with vigor, and more binding agreements, such as the hugely successful International Accord and the newly proposed PayYourWorkers agreement, are emerging. We hope to see more industry support for these efforts.

- The average score this year was 14 out of 150 possible points.
- The scores ranged from zero to 38, a nearly 40-point spread, indicating that commitment to social and environmental sustainability varies dramatically.
- 35 companies (**43%**) scored 10 points or less, underlining that overall social and environmental progress is being dragged down by laggard companies that make few to no commitments. A level playing field is needed.

Average Score Per Category



Areas Targeted by Social Movements Continue To See the Most Progress

Companies continue to make the most progress in areas within their direct control, like packaging or raw material selection, or in areas where they have faced years of organized public pressure campaigning. Visible progress made towards increasing traceability, animal welfare, and support for worker-driven policies like the FABRIC Act, or binding agreements like the Bangladesh Accord continue to underscore the importance of social movements in making change in fashion.

- 27 companies (**47%**) published a detailed list of their Tier 1 cut-and-sew garment factories and 16 companies (28%) also published a complete list of Tier 2 fabric mills.
- Two companies (**3%**), ASOS and PUMA, published supplier lists that fully trace down to Tier 3 processing facilities to a detail level sufficient enough to meet The Transparency Pledge.
- 30 companies (**52%**) maintained a policy against the use of furs and exotic skins, but only six companies (10%) demonstrated year-on-year progress towards traceable and certified fibers sourced from animals.
- 28 companies (**48%**) have adopted a Manufacturing Restricted Substances List (MRSL) and wastewater guidelines that are equivalent to or more stringent than those compiled by Zero Discharge of Hazardous Chemicals (ZDHC).
- 17 companies (**46%**) of relevant companies featured in this report have signed the International Accord.
- Two companies (**3%**) officially endorsed the FABRIC Act: Reformation and Everlane.
- Three of the featured Small Sustainable Brands endorsed the FABRIC Act: Hope for Flowers by Tracy Reese, Known Supply and MATE the Label.

Companies Have Set Aggressive Climate Targets, but They Are Ignoring Potential Social Costs of the Net-zero Transition

Fashion is taking climate change seriously in that more companies are publishing their full emissions and setting aggressive targets to reduce them at every level of their operations. However, to meet its climate goals will require the industry to simultaneously massively scale back production and invest heavily in the decarbonization of its manufacturing facilities across the Global South. Some companies have started to provide financing to their key suppliers to cut their emissions, but once again, this action is being undertaken by a handful of players and the funding is woefully insufficient. Thus, we are not yet seeing the scaling of these initiatives at the necessary rate. Additionally, no companies can demonstrate that they are working to curtail negative social externalities that might arise from the transition to a net-zero fashion industry (like job loss in certain regions).

- 34 (**59%**) companies report their carbon emissions across their entire value chain.
- 27 companies (**47%**) have set short-term emissions reductions targets in line with a 1.5°C pathway and have had them approved by the Science Based Targets initiative.
- 21 companies (**36%**) have not committed to setting any science-based emissions reduction targets.
- Three companies (**5%**) — Burberry, Everlane and H&M Group — met all four of Remake's climate demands: They publish their full emissions; they have set (and had approved) short-term 1.5°C pathway-aligned SBTs; they have set (and had approved) ambitious long-term net-zero targets; and they have demonstrated that they are reducing their total greenhouse gas emissions compared to their base years.
- 11 companies (**19%**) were able to demonstrate that they are investing in suppliers and offering financial incentives or assistance for factories to decarbonize. These companies are: American Eagle Outfitters, Columbia Sportswear, Gap Inc. (GAP, Old Navy, Banana Republic, Athleta), Kering (Gucci, Balenciaga), Levi Strauss & Co., Lululemon, PUMA, Ralph Lauren, Reformation and Target.
- Zero companies (**0%**) demonstrated that they place the well-being of their employees and the workers along their value chains at the center of their business model transition plans.

The Myth of Corporate 'Circularity' Has Been Exposed, but No Company Has Truly Embraced Degrowth

A rapidly growing number of companies have added resale to their product offerings, which gives consumers a lower-impact way to shop. Companies are also increasingly offering both repair and upcycling services to their customers, which is more in line with true circularity, and there appears to be a broad concerted effort to eliminate packaging waste. These are all positive trends. However, as it stands, these circularity initiatives are, by and large, no more than greenwashing campaigns. No large company included in this report can demonstrate that its production of new garments is going down. Resale programs are thus not replacing linear production but simply existing in tandem with the fast fashion system. This means that the environmental impact of the fashion industry is actually going up, not down.

- 14 companies (**24%**) had resale initiatives to sell the companies' own pre-owned products.
- 14 companies (**18%**) provided either upcycling or repair services, helping consumers extend the life of their clothes, with Kering (Gucci, Balenciaga), Levi Strauss & Co. and Patagonia scoring the most points in this section.
- No large company (**0%**) demonstrated that it is reducing reliance on the production of new products.
- Three companies (**5%**) demonstrated and reported that their usage of virgin oil-based synthetic materials is decreasing (and not simply that their use of recycled content is increasing): Everlane; Nike, Inc.; and Patagonia.
- 18 companies (**31%**) made progress towards time-bound targets to reduce the amount of packaging sent to landfills and source packaging raw materials sustainably/responsibly.
- No company (**0%**) is sufficiently transparent about what happens to clothing that is collected through take back programs, or more specifically, what percentage is exported to the Global South, what percentage ends up in landfill, what for-profit or charitable partners handle this clothing, or how the money from resale initiatives is spent.

While Living Wages Remain Elusive, Some Companies Are Taking More Responsibility for the Wages of Their Workers

Fashion is an industry built upon poverty pay. This reality has not changed in the past year. What we have seen, however, is that some companies are taking increased responsibility for the wages of their garment workers, whether by increasing the number of unionized factories they work with, showing support for unionization of their retail workforce, or by –in at least one case– ensuring that some of their garment workers are paid in full for all regular hours, overtime and severance they are legally owed, which are crucial steps towards achieving livable wages. Garment workers are subject not only to poverty pay, but to rampant wage theft that lowers their wages further. In 2022, there were at least two successful and historic examples of wage theft resolutions within fashion supply chains.

- Zero companies (**0%**) paid all of their indirect employees living wages, including garment and supply chain workers, warehouse workers, models and drivers.
- Four companies (**7%**) published some progress towards a living wage in their supply chains in addition to disclosing the methodology they use to quantify a living wage: Hanesbrands Inc., Patagonia, Ralph Lauren and Reformation.
- Five companies (**9%**) — Burberry, Kering (Gucci, Balenciaga), Marks & Spencer, PUMA and Reformation — published partial information indicating that some of their direct employees, such as corporate employees or retail workers, earned a living wage.
- Six companies (**10%**) revealed rates of unionization and/or collective bargaining agreements in their Tier 1 cut-and-sew factories: Burberry, Everlane, H&M Group (H&M, COS, ARKET, & Other Stories), Inditex (Zara, Bershka, Massimo Dutti), PUMA and Reformation.
- 10 companies (**17%**) supported the participation of direct employees in trade unions: Burberry; Desigual; Hermes; Inditex (Zara, Bershka, Massimo Dutti); J. Crew Group, Inc. (J. Crew, Madewell); Levi Strauss & Co.; LVMH (Louis Vuitton, Celine, Dior); Nike, Inc.; PUMA and PVH (Calvin Klein, Tommy Hilfiger).
- In May, Victoria's Secret & Co. showed leadership by settling one of the largest ever single-factory wage theft cases, fronting the money to more than 1,250 Thai garment workers who were owed $8.3 million when their factory, Brilliant Alliance, shuttered during the pandemic.

Order Cancellations Are Back, but Ganni Makes Headway With a Buyer Code of Conduct

Across all six categories, companies scored the worst in Commercial Practices (earning 7% of points on average), sliding back into old habits of canceling orders and paying lip service to being responsible buyers. We are certainly seeing more language and commitments around responsible exits and fair purchasing terms, but these are not yet backed by progress. There is one exception: Ganni's adoption of the Buyer Code of Conduct. While Ganni is not included in the aggregate scores in this report (because the company does not meet the revenue threshold), its leadership should be applauded. We hope to see other companies follow in its footsteps.

- 26 companies (**45%**) acted responsibly towards suppliers and paid for orders during the early phase of the pandemic or other unforeseen disruptions, but no large company scored in the report has integrated a responsible exit policy into its purchase order contracts since then.
- Four companies (**7%**) said they include responsible timeline considerations in their order planning to protect human rights and worker wellbeing: Hanesbrands Inc., MUJI, Patagonia and Ralph Lauren.
- No company (**0%**) demonstrated that its purchasing practices (like the prices it pays for products and its order timelines) ensure its suppliers' abilities to guarantee and support fair wages and social and environmental sustainability.

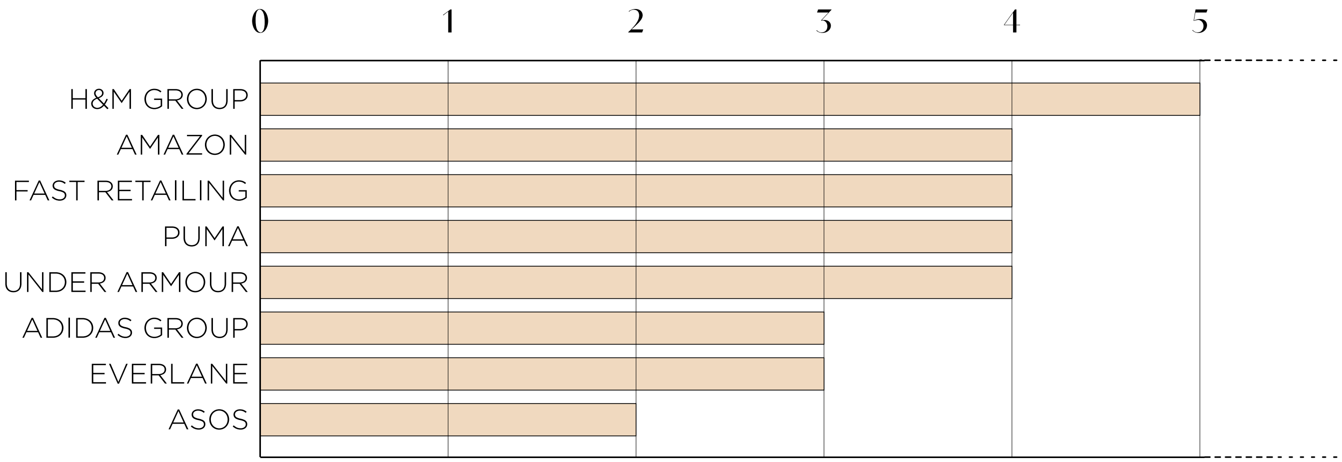
Fashion Is Increasing Diversity Across Some Senior Teams but Separates Economic Justice From Racial Justice

Over two years after the racial reckoning that swept through fashion (and the world at large) in 2020, where is the industry on its commitment to addressing systemic racism and inequity? Fashion is becoming more diverse in highly visible ways, yet the C-suite and creative directors of large companies remain overwhelmingly white and male[8]. In areas of employment where women and people of color make up the majority, like retail and entry-level corporate jobs, companies on the whole are still failing to pay workers a living wage or helping to advance their careers. In short, women of color, who despite being the backbone of the industry, continue to be excluded from fashion's profits and decision-making roles at every level.

- Six companies (**10%**) — Bestseller, Burberry, Disney, FashionNova, MUJI, Savage X Fenty and Zalando — demonstrated that they have somewhat diverse boards that reflect the regions in which they operate.
- Six companies (**10%**) — Adidas, Burberry, Hermes, Levi Strauss & Co., Under Armour and Zalando — linked executive and leadership pay to targets related to diversity, equity and inclusion.
- Nine companies (**16%**) — Everlane; Disney; Gap Inc. (GAP, Old Navy, Banana Republic, Athleta); Hanesbrands Inc.; Marks & Spencer; Nike, Inc.; Ralph Lauren; REI and Walmart — demonstrated taking class, gender and race demographics in the regions where they operate into account in their hiring practices.
- Nine companies (**16%**) — Burberry; Chanel; Everlane; Lululemon; Nike, Inc.; Ralph Lauren; SHEIN; REI and VF Corporation (The North Face, Timberland, Supreme) — demonstrated some evidence that their company invests in the same communities it extracts value from.
- Zero companies (**0%**) demonstrated that they have the infrastructure in place to be able to welcome and retain employees from diverse backgrounds.

8) Friedman, V., Tillet, S., Paton, E., Testa, J. and Brown, E.N. (2021, March 4). The Fashion World Promised More Diversity. Here's What We Found. Tracking an industry where black representation has been rare. The New York Times. Retrieved from: https://www.nytimes.com/2021/03/04/style/Black-representation-fashion.html

Traceability



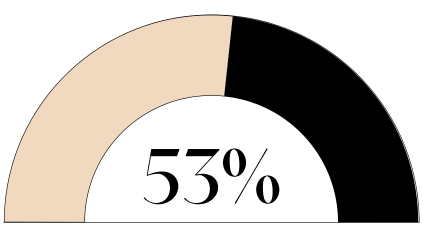
Top Companies Traceability - 8 Possible Points

COMPANY TRACEABILITY SCORES:

- H&M Group 5
- Amazon 4
- Fast Retailing 4
- Puma 4
- Under Armour 4
- Adidas Group 3
- Everlane 3
- ASOS 2
- Walmart 1
- Victoria's Secret 1
- Bestseller 1
- Rothy's 1
- Reformation 1
- Missguided 1
- Marks & Spencer 1
- Columbia Sportswear 1
- Ralph Lauren 1
- Lululemon 1
- River Island 1
- MUJI 1
- Patagonia 1
- Nike 1
- Gap Inc. 1
- Next 1
- Levi's 1
- Zalando 1
- Hanes 1
- Boohoo Group 1
- PVH 1
- VF Corp 1
- Abercrombie & Fitch 0
- Allbirds 0
- American Eagle Outfitters 0
- Burberry 0
- Chanel 0
- Desigual 0
- Disney 0
- Edinburgh Woollen Mill 0
- FashionNova 0
- Forever 21 0
- Hermes 0
- Inditex 0
- J. Crew Group 0
- JCPenney 0
- Kering 0
- Kohl's 0
- LVMH 0
- Mothercare 0
- Primark 0
- REI 0
- Ross 0
- Savage X Fenty 0
- Sears 0
- SHEIN 0
- TJX 0
- Target 0
- The Children's Place 0
- URBN 0

Key Findings

- 27 companies (**47%**) published a detailed list of their Tier 1 cut-and-sew garment factories.
- 16 companies (**28%**) published a complete list of Tier 2 fabric mills.
- Two companies (**3%**), ASOS and PUMA, published supplier lists that fully trace down to Tier 3 processing facilities to a detail level sufficient enough to meet [The Transparency Pledge.]
- 31 companies (**53%**) failed to publish even a Tier 1 supplier list at the sufficient level of detail.



Companies that failed to publish full Tier 1 supplier list

With Government Mandates Looming, Some Companies Push Ahead on Deeper Supply Chain Transparencys

Companies must know who their factories are in order to protect basic human, environmental and labor rights in their supply chains. Traceability cannot be an end in and of itself, but it is a necessary condition to make progress. It also enables civil society to help hold the industry accountable to the people in its supply chains. At present, traceability in fashion continues to be led by a handful of companies, while the majority of the industry knows little, or reveals little, about where it manufactures its goods. Legislative proposals emerging in both Europe and the United States could likely rectify this transparency gap in the coming years[9].

This year, 27 companies (47%) published a sufficiently detailed list of at least their Tier 1 **cut-and-sew garment factories, and 16 of these also published to the** Tier 2 **level: Adidas, ASOS, Columbia Sportswear, Everlane, Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand), H&M Group (H&M, COS, ARKET, & Other Stories), Levi Strauss & Co., Lululemon, Marks & Spencer, Missguided, Next, PUMA, REI, Target, VF Corporation (The North Face, Timberland, Supreme), and Victoria's Secret & Co.** This shows progress, as even a detailed Tier 1 supplier list was uncommon five years ago.

To receive these points, the supplier list must be public and include the name and address of the facility, parent company, number of workers and product type, in line with The Transparency Pledge. It is imperative that companies dive deeper. They must know the location of, environmental performance of, and working conditions within their processing facilities and raw material producers (Tier 3 and Tier 4, respectively), such as petrochemical refineries and farms. Tracing this far into the supply chain is more challenging, but several companies are accomplishing it. Reformation, for example, publishes 85% of its Tier 3 facilities, while Columbia Sportswear publishes approximately 80% of its Tier 3 processing facilities by business volume, and Victoria's Secret & Co. has "begun the work" of tracing its spinning mills and other Tier 3 processing facilities.

ASOS and PUMA have published supplier lists that fully disclose suppliers all the way down to Tier 3, to a detail sufficient to meet The Transparency Pledge. They are the two companies with the greatest level of traceability this year. No large company we scored has demonstrated full supply chain traceability down to the Tier 4 level. At the other end of the scale, there are many companies that still do not provide adequate or any insight into where their products are made whatsoever.

31 companies (53%) failed to publish even a full Tier 1 supplier list at the sufficient level of detail. These companies are Abercrombie & Fitch Co.; AllBirds; American Eagle Outfitters; Burberry; Chanel; Desigual; Disney, Edinburgh Woollen Mill; Fashion Nova; Forever 21; Gap Inc. (GAP, Old Navy, Banana Republic, Athleta); Hermes; Inditex (Zara, Bershka, Massimo Dutti); J. Crew Group, Inc. (J. Crew, Madewell); JCPenney; Kering; Kohl's; LVMH (Louis Vuitton, Celine, Dior); Mothercare; MUJI; Primark; REI; Ross; Savage X Fenty; Sears; SHEIN; Target; The Children's Place; TJX (Marshalls, TJMaxx); URBN Group (Urban Outfitters, Anthropologie, Free People) and Walmart.

Beyond traceability, however, companies should also be publishing detailed information about the lowest and average wages paid, the average hours worked, and the general labor standards throughout their supply chains. This year, H&M Group (H&M, COS, ARKET, & Other Stories) revealed the most about the working conditions in its Tier 1 factories, followed by Amazon, Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand) and Under Armour. These four companies published relatively detailed information about the numbers of health and safety data violations; working hour and overtime noncompliances; and incidents of discrimination, gender-based violation and harassment that occurred annually. Of course, transparency of this kind only underscores the need for action. In addition to publicly acknowledging that these endemic issues exist, companies must demonstrate that they are reducing workplace violations every year. The rest of the categories that follow focus on such action.

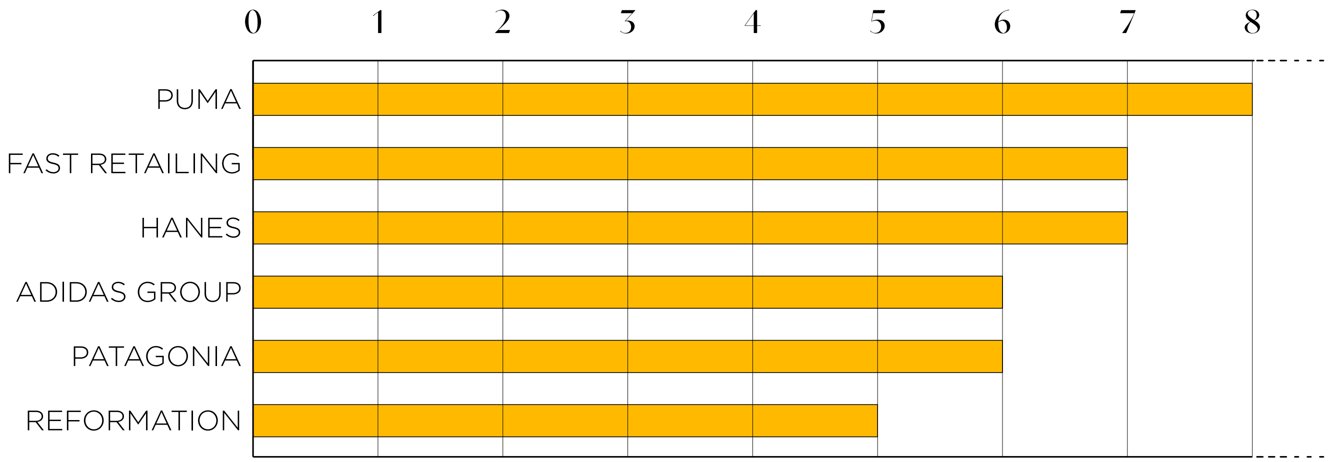
×

Brands who failed to publish a Tier 1 supplier list at the sufficient level of detail

- Abercrombie & Fitch Co.
- AllBirds
- American Eagle Outfitters
- Burberry
- Chanel
- Desigual
- Disney
- Edinburgh Woollen Mill
- Fashion Nova
- Forever 21
- Gap Inc.
- Hermes; Inditex
- J. Crew Group, Inc.
- JCPenney
- Kering
- Kohl's
- LVMH
- Mothercare
- MUJI
- Primark
- REI
- Ross
- Savage X Fenty
- Sears
- SHEIN
- Target
- The Children's Place
- TJX
- URBN Group
- Walmart

9) Paton, E., (2022, October 3). The New Laws Trying to Take the Anxiety Out of Shopping. The New York Times. Retrieved from: https://www.nytimes.com/2022/09/30/fashion/fashion-laws-regulations.html

Wages & Wellbeing



Top Companies Wages & Wellbeing - 23 Possible Points

COMPANY WAGES & WELLBEING SCORES:

- Puma 8
- Fast Retailing 7
- Hanes 7
- Adidas Group 6
- Patagonia 6
- Reformation 5
- Everlane 4
- Levi's 4
- H&M Group 4
- Lululemon 4
- Under Armour 4
- Burberry 3
- Ralph Lauren 3
- Inditex 3
- VF Corp 3
- ASOS 3
- Gap Inc. 3
- Primark 3
- Bestseller 2
- Kering 2
- PVH 2
- REI 2
- Next 2
- Columbia Sportswear 2
- Victoria's Secret & Co 2
- American Eagle Outfitters 2
- Disney 2
- The Children's Place 2
- TJX 2
- Sears 2
- Zalando 1
- Marks & Spencer 1
- Nike 1
- Hermes 1
- MUJI 1
- Target 1
- River Island 1
- Missguided 1
- Boohoo Group 1
- Chanel 1
- Amazon 1
- Walmart 1
- Kohl's 1
- Mothercare 1
- Allbirds 1
- JCPenney 1
- Abercrombie & Fitch 1
- Rothy's 0
- LVMH 0
- J. Crew Group 0
- Shein 0
- Desigual 0
- FashionNova 0
- Savage X Fenty 0
- URBN 0
- Forever 21 0
- Edinburgh Woollen Mill 0
- Ross 0

Key Findings

- Zero companies (**0%**) paid all of their indirect employees living wages, including garment and supply chain workers, warehouse workers, models and drivers.
- Four companies (**7%**) published some progress towards a living wage in their supply chains in addition to disclosing the methodology they use to quantify a living wage: Patagonia, Ralph Lauren, Reformation and Hanesbrands Inc..
- Five companies (**9%**) — Burberry, Reformation, PUMA, Marks & Spencer and Kering (Gucci, Balenciaga) — published partial information indicating that some of their direct employees, such as corporate employees or retail workers, earned a living wage.
- Six companies (**10%**) revealed rates of unionization and/or collective bargaining agreements in their Tier 1 cut-and-sew factories: Burberry, Everlane, H&M Group (H&M, COS, ARKET, & Other Stories), Inditex (Zara, Bershka, Massimo Dutti), PUMA and Reformation.

Citizens Turn to Government as Companies Fail to Move on Living Wages

Research presented by the Clean Clothes Campaign's Fashion Checker shows that only 7% of the world's garment workers earn a living wage. According to the Asia Floor Wage Alliance (AFWA), garment workers in many Asian nations, such as Bangladesh, India and Cambodia, earn less than a third of what is necessary to meet basic needs and care for their families[10]. There is no indication that this reality changed in the past year. Fashion is an industry built upon poverty pay, and while worker pay has gone up in some nations, it rarely keeps pace with the cost of living and inflation.

Remake tracks progress on living wages in a number of ways: companies must source from unionized factories, cultivate the right to organize, improve their purchasing practices and simply pay their factories enough to support the payment of a living wage. Companies are scored on living wages at all levels of business, including both direct employees, such as corporate and retail workers, and indirect employees, such as warehouse workers, photographers, models and cut-and-sew garment workers. To demonstrate progress, companies must show wages increasing year-over-year to all of these ends.

This year, four companies (7%) published some progress towards a living wage in their supply chains, in addition to disclosing the methodology they use to quantify a living wage: Patagonia, Ralph Lauren, Reformation and Hanesbrands Inc.

Of 58 companies, only one — Patagonia — demonstrated significant progress towards living wages paid to workers in its supply chain, although it lost points in this area as progress stalled during the pandemic. In 2020, Patagonia reported that, on average, 39% (12 out of 31) of its apparel assembly factories were paying workers a living wage — up from 35% the year before. The company noted that the pandemic has halted progress, however, and there is no data showing year-over-year progress since 2020. Likewise, Reformation makes a similar claim; that a percentage of the workers in its owned and operated factories earn a living wage. However, as the company now manufactures a majority of its products outside of the United States and outside of its company-owned facilities, it is unclear what workers at its third-party suppliers are earning, and thus, what percentage of its Tier 1 garment workers, overall, are earning a living wage.

There are three other companies that claimed progress towards living wages, but needed to be more transparent and detailed about this work: Hanesbrands Inc., PUMA and Ralph Lauren. Hanesbrands Inc., which owns many of its own factories, claimed to pay "all its workers a living wage," but it is unclear if this applied to workers in third-party factories. PUMA also stated that "all [of its] employees are earning a living wage or above." However, with the company's starting pay for North American retail workers being $15-an-hour (which is below a living wage in most parts of the United States), it remains unclear if its living wage claim is inclusive of its store employees[11]. Ralph Lauren, likewise, declared that "almost half of [its] strategic and key suppliers," such as those located in Italy, are meeting living wage standards. While this is laudable, the company must show progress towards guaranteeing a living wage to workers regardless of what country they work in.

Calls for living wages in fashion are growing louder and more organized. Numerous civil society groups, such as Fashion Revolution and Clean Clothes Campaign, have banded together to ask for the European Commission to consider requiring companies to conduct due diligence on living wages. Their campaign, Good Clothes, Fair Pay, is on its way to collecting one million signatures.

Some Companies Are Increasing Sourcing From Unionized Facilities to Address Wages and Wellbeing

Unionized workforces are key to increasing wages and bettering working conditions across all industries. Fashion is no exception. To make progress on this, companies must enable unionization across all levels of their operations and publish information on rates of unionization and collective bargaining agreement (CBA) uptake. Many fashion companies are now acknowledging the role of unions in improving working conditions and raising wages in their factories.

Six companies (10%) revealed rates of unionization and/or collective bargaining agreements in their cut-and-sew factories: Burberry, Everlane, H&M Group (H&M, COS, ARKET, & Other Stories), Inditex (Zara, Bershka, Massimo Dutti), PUMA and Reformation. As of 2021, 37% of H&M Group's Tier 1 factories had trade union representation and more than a quarter (27%) had collective bargaining agreements. These numbers have also increased in the last few years. As of 2021, 37.2% of PUMA's factories had "freely elected worker representation" — up from 26% in 2018. As of 2021, 64% of Everlane's factories were covered by collective bargaining agreements. Over 85% of the facilities that Burberry sources from are covered by national or industrial collective bargaining agreements — up from 70% the year before. Some companies, like Hanesbrands Inc., claim to work with a "notable" number of unionized factories but should publish detailed data and standardized data to back up these assertions.

10) Labour Behind the Label. (n.d.). Living Wage. Labour Behind the Label. Retrieved from: https://labourbehindthelabel.org/living-wage/

11) Feitelberg, R. (2021, November 2022). Puma Plans to Raise Hourly Wage for Retail Employees. Yahoo! Finance. Retrieved from: https://finance.yahoo.com/finance/news/puma-plans-raise-hourly-wage-224812438.html?guccounter=1

SPOTLIGHT ISSUE 1:

Keep Workers Safe

Spotlight Issues highlight and track how fashion companies react to urgent human and labor rights events that unfold during a given year.

The pandemic triggered unprecedented wage theft in fashion as the industry, which operates on razor-thin margins, pushed its economic pain onto the supply chain and its most vulnerable workers. Last year we deducted points from companies that failed to #PayUp the money they owed to factories for orders canceled or discounts imposed at the outset of the Covid-19 pandemic. This year, we took a closer look at how, if at all, companies are ensuring that garment workers' paychecks, safety, and human rights are not disrupted further, as the effects of the pandemic continue to unfold.

Extensive research by the Worker Rights Consortium, Clean Clothes Campaign and the Asia Floor Wage Alliance has revealed that garment workers have been robbed of billions of dollars in legally-owed wages since the onset of Covid-19 as garment factories have slashed pay, cut bonuses and even suspended and fired people without paying them their full wages or legally-owed severance[12][13][14].

Dozens of companies continue to be connected to pandemic-related wage theft, including many scored in this report. In April of 2021, the Worker Rights Consortium uncovered definitive evidence that the following companies are implicated in ongoing wage theft cases amounting to $39.8 million in total: Adidas, Amazon, Bestseller, Disney, Gap Inc. (GAP, Old Navy, Banana Republic, Athleta), H&M Group (H&M, COS, ARKET, & Other Stories), Inditex (Zara, Bershka, Massimo Dutti), JCPenney, Kohl's, Marks & Spencer, Next, Nike, PVH (Calvin Klein, Tommy Hilfiger), Target, The Children's Place, Under Armour, URBN Group (Urban Outfitters, Anthropologie, Free People), Victoria's Secret & Co. and Walmart[15]. This is likely just the tip of the iceberg.

Echoing the demands of the PayYourWorkers campaign, Remake calls on all apparel brands and retailers implicated in ongoing severance and wage theft cases to act swiftly to remedy them, whether by compelling the relevant suppliers to pay or by providing the funds themselves, and urges these companies to contribute to a severance guarantee fund[16].

In 2022, there were at least two successful and historic examples of wage theft resolutions within fashion supply chains. The first is the Karnataka #WorstWageTheft victory. In March of 2022, 21 of the largest garment manufacturers in Karnataka, India, that produced apparel for Gap Inc. (GAP, Old Navy, Banana Republic, Athleta), H&M Group (H&M, COS, ARKET, & Other Stories) and Nike, Inc., among others, promised to pay an estimated $23.1 million they owed in arrears to nearly 200,000 garment workers[17]. The second victory is the Victoria's Secret Brilliant Alliance case.

12) Barradas, S. et al. (2020). Un(der)paid in the Pandemic: An estimate of what the garment industry owes its workers. Clean Clothes Campaign. Retrieved from: https://cleanclothes.org/file-repository/underpaid-in-the-pandemic.pdf/view

13) Asia Floor Wage Alliance. (2021). Money Heist: Covid-19 Wage Theft in Global Garment Supply Chains. Asia Floor Wage Alliance. Retrieved from: https://respect.international/wp-content/uploads/2021/08/Money-Heist_COVID-19-Wage-Theft-in-Global-Garment-Supply-Chains.pdf

14) Workers Rights Consortium. (2020). Hunger in the Apparel Supply Chain: Survey findings on workers' access to nutrition during Covid-19. Workers Rights Consortium. Retrieved from: https://www.workersrights.org/wp-content/uploads/2020/11/Hunger-in-the-Apparel-Supply-Chain.pdf

15) Workers Rights Consortium. (2021). Fired, Then Robbed: Fashion brands' complicity in wage theft during Covid-19. Workers Rights Consortium. Retrieved from: https://www.workersrights.org/wp-content/uploads/2021/04/Fired-Then-Robbed.pdf

16) Pay Your Workers Coalition. (n.d). Retrieved from: https://www.payyourworkers.org/coalition

17) Workers Rights Consortium. (2022). Reversing the Mass Wage Theft in Karnataka: Progress on Back Wages. Workers Rights Consortium. Retrieved from: https://www.workersrights.org/our-work/wage-theft-in-karnataka/

CASE STUDY: VICTORIA'S SECRET

Historic $8.3 Million Win for Thai Garment Workers

In March of 2021, the sudden closure of the Brilliant Alliance garment factory in Thailand left more than 1,250 garment workers that sewed bras for Victoria's Secret & Co., Lane Bryant and Torrid without $8.3 million in legally-owed severance[18]. Many of the workers, some of whom had worked for the factory for over 15 years, suddenly found themselves unable to pay their rent or buy food for their families. The Thai government ruled that the factory needed to pay compensation to the workers within 30 days. A year later, however, the workers had still not received a penny.

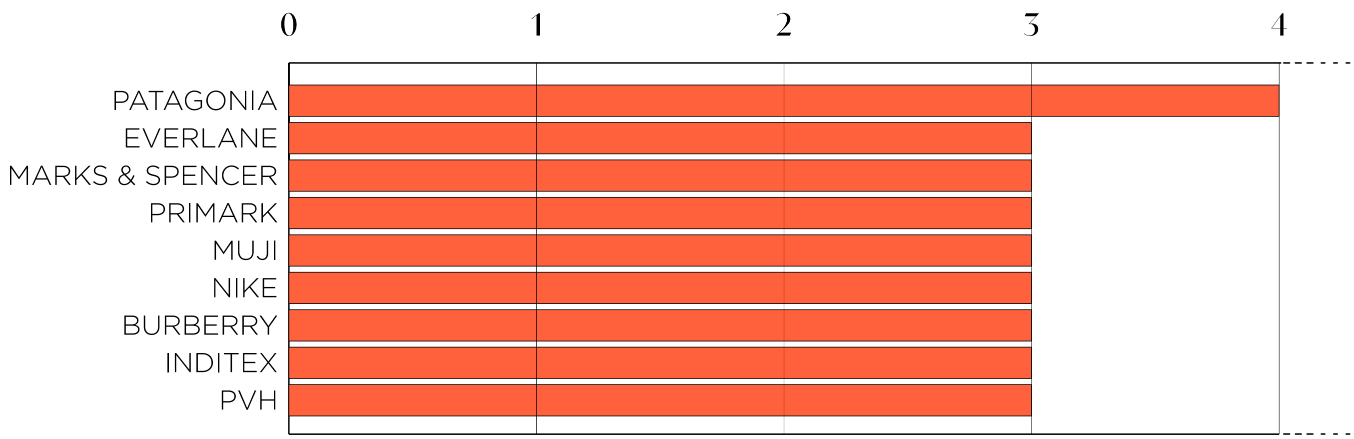
Thus, labor rights advocates, including Remake, mobilized to support the factory's union, Triumph International Union, in calling on Victoria's Secret & Co. to step in and ensure workers received their full wages. Armed with data provided by the Worker Rights Consortium and Solidarity Center, Remake engaged Victoria's Secret's & Co. leadership in conversations behind the scenes. Simultaneously, our global community wrote hundreds of emails to Victoria's Secret's CEO, Martin Water, beseeching him to intervene, and fired off Tweets and Instagram posts in unity with protesting Thai workers. Remake urged the company to consider how its commitment to garment workers — most of whom are women — factored into its feminist rebrand.

At last, Victoria's Secret executives showed leadership by providing a zero-interest loan to the factory owner, Clover Group, a Hong Kong based holding company. This loan ensured that the workers, in the end, got paid. Neither Torrid nor Sycamore Partners, the parent company of Lane Bryant, came to the table to contribute.

The Brilliant Alliance case is one of the largest single-factory instances of wage theft ever — and thus one of the biggest victories. The Brilliant Alliance wage theft victory is an example of citizens, workers and labor rights groups coming together and a company — Victoria's Secret & Co. — stepping up to do what is right for its broader community of employees. As thousands of other workers in other countries continue to await wages and severance that is legally owed to them, it is necessary for companies to sign binding agreements to pay their workers (#PayYourWorkers) so that it is not the most vulnerable employees who bear all of the economic burden of future climate, pandemic and economic shocks.

18) Workers Rights Consortium. (2022). WRC Factory Investigation: Brilliant Alliance Thai Global Ltd. Workers Rights Consortium. Retrieved from: https://www.workersrights.org/factory-investigation/brilliant-alliance-thai-global-ltd/

Commercial Practices



Top Companies Commercial Practices - 23 Possible Points

COMPANY COMMERCIAL PRACTICES SCORES:

- Patagonia 4
- Everlane 3
- Marks & Spencer 3
- Primark 3
- MUJI 3
- Nike 3
- Burberry 3
- Inditex 3
- PVH 3
- Victoria's Secret & Co 2
- Bestseller 2
- H&M Group 2
- Ralph Lauren 2
- Kohl's 2
- The Children's Place 2
- Hanes 2
- Target 2
- Fast Retailing 1
- Reformation 1
- LVMH 1
- Adidas Group 1
- Hermes 1
- Lululemon 1
- River Island 1
- Puma 1
- Under Armour 1
- ASOS 1
- Gap Inc. 1
- Next 1
- Kering 1
- Levi's 1
- Zalando 1
- VF Corp 1
- Abercrombie & Fitch 0
- Allbirds 0
- Amazon 0
- American Eagle Outfitters 0
- Boohoo Group 0
- Chanel 0
- Columbia Sportswear 0
- Desigual 0
- Disney 0
- Edinburgh Woollen Mill 0
- FashionNova 0
- Forever 21 0
- J. Crew Group 0
- JCPenney 0
- Missguided 0
- Mothercare 0
- REI 0
- Ross 0
- Rothy's 0
- Savage X Fenty 0
- Sears 0
- SHEIN 0
- TJX 0
- URBN 0
- Walmart 0

Key Findings

- 26 companies (**45%**) acted responsibly towards suppliers and paid for orders during the early phase of the pandemic or other unforeseen disruptions, but no large company has integrated a responsible exit policy into its contracts since then.
- No company (**0%**) demonstrated that its purchasing practices ensure its suppliers' ability to guarantee and support fair wages and social and environmental sustainability.
- Four companies (**7%**) said they include responsible timeline considerations in their order planning to protect human rights and worker wellbeing: Hanesbrands Inc., MUJI, Patagonia and Ralph Lauren.

At the onset of Covid-19, dozens of major clothing companies canceled, in total, $40 billion in clothing orders already in production, unleashing a wave of layoffs without pay and a corresponding crisis of hunger and desperation. The order cancellations sparked the landmark #PayUp campaign, which secured back $22 billion to factories and workers–but it also put the need for fair and legally binding commercial practices in the limelight.

Fast forward nearly three years, and unethical commercial practices remain the norm in the fashion industry. Earlier this year, ASOS, Boohoo Group (Nasty Gal, Pretty Little Thing) and Missguided were accused of canceling orders at their factories in Leicester, in the UK[19]. According to additional press reports, U.S. companies Kohl's, Macy's, Target and Walmart have also canceled billions in orders this past year[20]. Suppliers and civil society organizations report that some companies are lengthening payment terms and putting orders on pause rather than canceling to avoid public backlash.

Commercial practices dictate workers rights. Responsible commercial practices come down to the prices that companies pay their suppliers, the deadlines they impose on factories, the consistency of the orders they place, and the way they disengage with their factories. In addition to directly affecting how much workers earn, commercial practices influence everything from the way that workers physically experience their jobs –in terms of rates of injuries and exhaustion– to the amount of time they get to spend with their families and friends outside of work. Recent exposés have reported that SHEIN's warehouse workers walk roughly 34 miles a day, and that their garment workers toil for an average of 18 hours per day[21][22]. Why? In no small part because the company's small-batch, just-in-time business model dictates insufferable working conditions.

Most Companies Failed to Learn the Lessons of #Payup, Find New Ways to Skirt Fair Commercial Practices

The fashion industry did not –with a few notable exceptions– learn lessons from 2020's order cancellation crisis. Companies earned an average of 7% of points possible in the Commercial Practices category (the lowest average score of any category), and these points overwhelming came from companies committing to #PayUp in the early months of the pandemic, and only after enormous public backlash. **In fact, of the 26 companies (45%) that honored contracts in full and on time during the early phase of the pandemic, none can demonstrate that they have changed purchase order contracts to legally commit to fair commercial practices moving forward.**

Work around commercial practices remains in the voluntary phase, with a few companies paying lip service to responsible exits and order timelines. **Four companies (7%) stated that they include responsible timeline considerations in their order planning to protect human rights and worker wellbeing: Hanesbrands Inc., MUJI, Patagonia and Ralph Lauren.** No company, however, has integrated a responsible exit policy into its contracts. Adidas, for example, stated that it "provides a minimum of six months formal notice" before cutting ties with factories and seeks to "mitigate adverse impacts on the supplier and its workforce." H&M Group (H&M, COS, ARKET, & Other Stories), likewise, "sets out a clear phase-out process… of between six months to 1.5 years." But these commitments are not obligatory, and as we saw during the early phase of the pandemic, ethical commercial practices can go out the window when an economic crisis hits.

Likewise, Remake looks for companies to commit to pay their factories in advance and at high enough prices to cover both the payment of fair wages and the costs of social and environmental compliance. Some companies, including ASOS and H&M Group (H&M, COS, ARKET, & Other Stories), claimed to ring fence, or separate out, labor costs to ensure that the prices they set for suppliers are not putting downward pressure on wages. Other companies were even more vague. Boohoo Group (Nasty Gal, Pretty Little Thing) declared that it "understand[s] what a fair price is for garments and commit[s] to paying this." Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand) surveys its suppliers to ask if "they believe [the company is] paying a fair price." Hanesbrands Inc. aims to "include wages as itemized costs in purchasing prices." **None of these statements outline a clear plan of action to ensure the payment of fair prices.**

Unsurprisingly, then, no company can demonstrate that its purchasing practices ensure suppliers' abilities to guarantee and support fair wages or social and environmental sustainability.

Stronger Contracts Are Needed to Enforce Fair Commercial Practices

Fair prices, fair payment terms, humane production speeds and mutually agreed upon exit strategies are the backbone of fair commercial practices, and the only way forward.

It is critical that fashion companies not only commit to fair commercial practices, but actually enshrine them into their purchase order contracts, where they become legally enforceable, and publish these contract terms in the public domain. (This is why Remake tracks company progress towards adopting responsible contract terms.)

Thankfully, this pioneering work has already been done for companies by a working group of the American Bar Association, which has published model contract clauses and a Responsible Purchasing Code of Conduct, otherwise known as the Buyer Code of Conduct. Companies can access the Model Contract Clauses Toolkit here. Ganni, highlighted below, is the first company that we are aware of to adhere to the Buyer Code of Conduct. Next year, we hope to see a wave of companies take this step.

19) Malik Chua, J. (2022, September 30). Winter Is Coming For Britain's Biggest Garment Hub. Sourcing Journal. Retrieved from: https://sourcingjournal.com/topics/labor/boohoo-canceling-orders-leicester-garment-suppliers-fast-fashion-recession-energy-376708/

20) Ryan, T. (2022, September 14). Walmart and other retailers are canceling billions of dollars in orders. RetailWire. Retrieved from: https://retailwire.com/discussion/walmart-and-other-retailers-are-canceling-billions-of-dollars-in-orders/

21) Malik Chua, J. (2022, September 26). 'Craziest' Shein Warehouse Demands Uncovered. Sourcing Journal. Retrieved from: https://sourcingjournal.com/topics/labor/shein-warehouse-fulfillment-china-workers-overtime-wages-foshan-wechat-douyin-375663/

22) Malik Chua, J. (2022, October 18). Shein Workers Earn Pennies Per Piece: Report. Sourcing Journal. Retrieved from: https://sourcingjournal.com/topics/labor/shein-channel-four-shein-warehouses-garment-workers-381544/

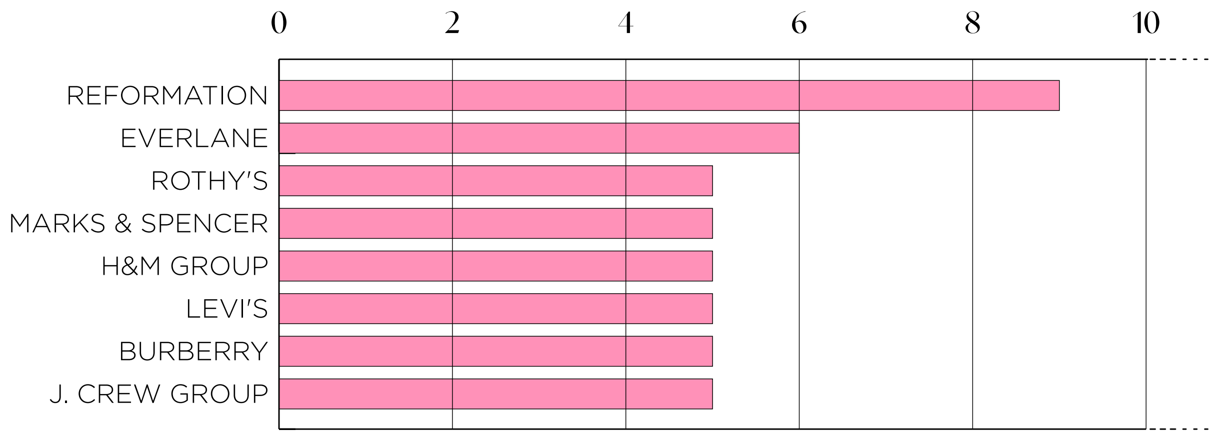
CASE STUDY: GANNI

Ganni Adopts the Buyer Code of Conduct

In a precedent-setting move, Danish fashion company Ganni disclosed this year that it has strengthened its commercial practices by adopting responsible purchasing practices into its purchase order contracts. For decades, apparel companies have imposed supplier codes of conduct onto their factories without acknowledging that their own commercial practices — such as the prices they pay and the swift changes in orders they make — actually affect the ability of factories to meet these ethical standards. By introducing a Buyer Code of Conduct, however, companies recognize that they have an equal role to play in upholding standards of social and environmental responsibility within their supplier factories.

Ganni writes, "Throughout 2021, we took further steps to ensure more responsible purchasing practices. It began with an internal review of our sourcing strategy and policies that accompany it, which included a review of contracts and codes of conduct, supplier screening, evaluation and responsible partnership programmes." The outcome of this work, according to Ganni, is that it "strengthened [the company's] Mutual Business Agreement with the underlying principles of the Responsible Purchasing Code of Conduct, published by the American Bar Association." To make further progress, the company's new contract terms should be publicly disclosed.

Raw Materials



Top Companies Raw Materials - 20 Possible Points

COMPANY RAW MATERIALS SCORES:

- Reformation 9
- Everlane 6
- Burberry 5
- Levi's 5
- H&M Group 5
- Marks & Spencer 5
- Rothy's 5
- J. Crew Group 5
- Puma 4
- Ralph Lauren 4
- Bestseller 4
- Hermes 4
- ASOS 4
- SHEIN 4
- Zalando 4
- PVH 4
- VF Corp 4
- Fast Retailing 4
- Missguided 3
- LVMH 3
- Adidas Group 3
- Columbia Sportswear 3
- River Island 3
- Nike 3
- Kering 3
- Target 3
- Walmart 2
- Forever 21 2
- Mothercare 2
- Desigual 2
- Primark 2
- MUJI 2
- Patagonia 2
- Gap Inc. 2
- Next 2
- REI 2
- Boohoo Group 2
- Inditex 2
- Amazon 1
- Victoria's Secret & Co 1
- Chanel 1
- American Eagle Outfitters 1
- Lululemon 1
- Kohl's 1
- Abercrombie & Fitch 0
- Allbirds 0
- Disney 0
- Edinburgh Woollen Mill 0
- FashionNova 0
- Hanes 0
- JCPenney 0
- Ross 0
- Savage X Fenty 0
- Sears 0
- TJX 0
- The Children's Place 0
- URBN 0
- Under Armour 0

Key Findings

- One company — Reformation — demonstrated that its usage of biogenic materials that strive to be net positive is increasing, with a time-bound target to reach 100%.
- 29 companies (**50%**) maintained a policy against the use of furs and exotic skins, but only six companies (10%) demonstrated year-on-year progress towards traceable and certified fibers sourced from animals.
- Three companies (**5%**) demonstrated and reported that their usage of virgin plastics is decreasing (and not simply that their use of recycled content is increasing): Everlane; Nike, Inc.; and Patagonia.
- No company (**0%**) sourced recycled polyester transparently while also phasing out all materials that lack a textile-to-textile solution.
- No company (**0%**) adequately demonstrated that it is actively protecting the labor/human rights and the wellbeing of raw material producers.

There is no perfectly "green" material, and Remake's scoring system reflects that every single fiber and textile has environmental impacts and tradeoffs. What's more, a company's business model, the efficiency and technology of the factories it uses, and how it treats its raw material suppliers, the animals in its supply chain, and the communities that produce its materials are all vitally important to creating a more sustainable industry.

Companies can score up to 20 points in the Raw Materials category, and Remake considers how companies integrate sustainability, circularity, animal welfare and human rights into those choices. Materials are evaluated in three separate tranches: biogenic materials (fibers like cotton, silk, linen, rayon, and wool, which come from life forms), non-biogenic materials (synthetic materials such as those derived from crude oil) and recycled synthetic materials. We also look at the animal welfare and human rights of companies' raw material suppliers.

Companies must strive for a net positive impact on the environment, meaning sourcing materials in a way that helps to protect biodiversity, restore and regenerate land and ecosystems, or that avoids more land conversion to agriculture. They can do this by demonstrating that they are sourcing from or investing in more regenerative farms, that their usage of recycled biogenic or natural materials (like cashmere or cotton) is increasing, or that their tree-based fibers come from sustainably managed forests.

Interest and Investments in Regenerative Agriculture Are Increasing

One company — Reformation — demonstrated that its usage of biogenic materials that strive to be net positive (protects biodiversity, restores and regenerates land and ecosystems, avoids all land conversion to agriculture) is increasing, with a time-bound target to reach 100%. Biogenic refers to materials that come from life forms, like cotton, wool and rayon. Thirty percent of Reformation's materials mix is made of regenerative or recycled cotton, deadstock fabrics, and rayon from more-sustainably harvested tree farms, such as Tencel, and that number is increasing. We need to see a more detailed breakdown of material usage, however.

Several other companies are doing work in the biogenic space by investing in regenerative agriculture: H&M Group (H&M, COS, ARKET, & Other Stories) is piloting regenerative cotton projects in India and regenerative wool projects in South Africa. Patagonia is running a regenerative organic cotton pilot in India that includes over 2,200 farmers. J. Crew Group, Inc. (J. Crew, Madewell) states that it will start offering regenerative-certified products starting this year. AllBirds is investing in regenerative agriculture, with a goal to reach 100% regenerative wool by the end of 2025. Burberry, likewise, is partnering with regenerative farmers in Australia. And when it comes to cellulosic fibers mostly sourced from trees, like Tencel or viscose-rayon, many companies collaborate with Canopy, a non-profit, on protecting ancient and old-growth forests.

Overall, however, there remains little information disclosed about the percentage and volume of specific biogenic materials sourced. **Companies are simply not providing enough detail or enough standardized data for us to discern whether or not they are sourcing biogenic materials responsibly.** Likewise, though some companies highlight one-off projects addressing the human rights of pockets of their raw material producers, no points were awarded in this area because none were able to show that they are actively and systemically committed to protecting the labor/human rights and the wellbeing of their raw material producers.

Companies Have Clear Animal Welfare Policies, but Traceability and Certifications Goals for Animal Fibers Are Lagging

When it comes to animal welfare, commitments to phase out furs and exotic skins are increasing, but traceability is lagging. It is standard but insufficient now to have a basic animal welfare commitment: 43 companies (74%) have a regularly updated animal welfare policy. The following 30 companies (52%) maintain a policy against the use of furs and exotic skins: Adidas; Amazon; ASOS; Boohoo Group (Nasty Gal, Pretty Little Thing); Bestseller; Burberry; Columbia Sportswear; Everlane; Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand); Forever 21; Gap Inc. (GAP, Old Navy, Banana Republic, Athleta); H&M Group (H&M, COS, ARKET, & Other Stories); J. Crew Group, Inc. (J. Crew, Madewell); Kohl's; Levi Strauss & Co.; Marks & Spencer; Missguided; Next; Primark; PUMA; PVH (Calvin Klein, Tommy Hilfiger); Ralph Lauren; Reformation; REI; SHEIN; Target; VF Corp (The North Face, Timberland, Supreme); Victoria Secret & Co.; Walmart and Zalando. **But only six (10%) — Burberry; H&M Group (H&M, COS, ARKET, & Other Stories); J. Crew Group, Inc. (J. Crew, Madewell); Levi Strauss & Co.; Marks & Spencer and Reformation — demonstrated year-on-year progress towards traceable and certified fibers sourced from animals.**

Recycled Polyester Is Booming, but a Public Backlash is Brewing. Consumption of Virgin Plastics Is Up, Too.

Synthetic textiles are oil-derived and non-biodegradable, and they shed microplastics into our waterways and food systems. They are also in most of what we wear. Synthetics now account for over two-thirds of all fiber production, with polyester alone comprising just over half[23]. As consumers start to piece together the links between fashion, big oil, and the climate crisis, replacing a reliance on virgin polyester with one on recycled polyester (rPET) gives companies a quick and easy sustainability story to tell. The promise of rPET production is that it is less carbon-intensive and less wasteful to produce than virgin materials.

But recycled polyester is no silver bullet. 99% of it is made from PET plastic bottles which, themselves, are already part of an established, wholly circular system. Research has indicated that PET plastic bottles can be recycled and turned into new bottles up to 10 times, while the likelihood of an item of clothing being recycled into a new item of clothing is currently slim-to-none[24]

23) Opperskalski, S., Franz, A., Patanè, A., Siew, S. and Tan, E. (2022). Preferred Fiber and Materials Market Report. Textile Exchange. Retrieved from: https://textileexchange.org/wp-content/uploads/2022/10/Textile-Exchange_PFMR_2022.pdf

24) Microdyne Plastics Inc., (n.d.). HDPE Can Be Recycled at Least 10 Times. Microdyne Plastics Inc. Retrieved from http://microdyneplastics.com/2018/02/hdpe-can-recycled-least-10-times/

[25]. rPET production therefore disrupts closed-loop recycling systems only to create billions of garments that will likely end up in landfill[26]. As such, it violates the basic principles of circularity.

Nonetheless, there is significant momentum in the fashion industry around recycled polyester. In its most recent reporting year, Nike, Inc., which claims to be the highest user of recycled polyester in the industry (the equivalent of one billion plastic bottles), increased its rPET usage from 23% to 33% of total polyester usage. This equates to 55,477 metric tons of recycled polyester, which is more than three times the weight of the Brooklyn Bridge[27]. Similarly, PVH (Tommy Hilfiger and Calvin Klein) increased its usage of "more sustainable polyester" from 16% to 28% between 2020 and 2021. American Eagle Outfitters likewise states it is "tracking toward [its] goal of sourcing 50% recycled polyester", increasing usage by 5% in the year ending 2021, while Inditex (Zara, Bershka, Massimo Dutti) now uses approximately 29,000 tons of polyester from what it calls "more sustainable sources".

This sounds like progress, but it is entirely possible that companies will simply use more of both recycled and virgin plastics. That is why Remake also looks for evidence that companies' virgin synthetic usage is going down in tandem with the increase in recycled polyester usage. **This year, only three companies (5%) demonstrate and report that their usage of virgin oil-based synthetic materials is decreasing (and not simply that their use of recycled content is increasing): Everlane; Nike, Inc.; and Patagonia.** Across the rest of the industry, consumption of both recycled and virgin synthetics appears to be going up. According to Textile Exchange, the overall production volume of polyester fibers increased from 57 million tonnes in 2020 to 61 million tonnes in 2021. Recycled polyester production accounts for only 0.6 million tonnes of this increase, however, while virgin polyester production accounts for the remaining additional 3.4 million tonnes[28].

And, so, we find ourselves in a conundrum. Recycled oil-derived synthetics could be preferable to their virgin counterparts, but they remain significantly problematic. Remake attempts to account for these complexities by looking to see that companies have time-bound targets to ensure that the highest feasible amount of non-biogenic materials used in their products are recycled and that these materials are sourced responsibly. For example, do companies disclose where they source their post-consumer PET? Do they source from local waste management systems when possible? And are they phasing out materials that do not currently have textile-to-textile recycling solutions? **No company is currently meeting this level of commitment.**

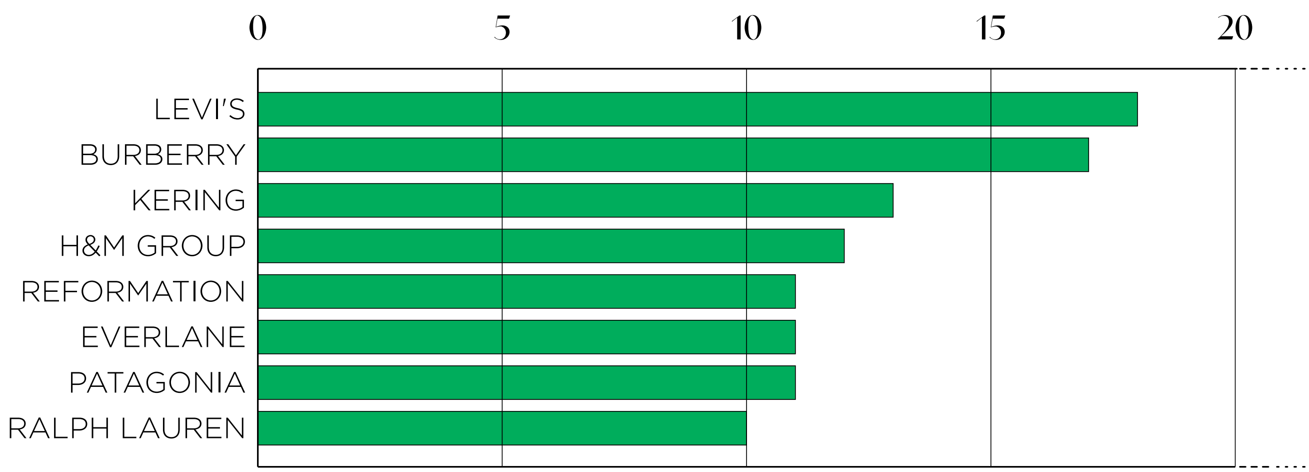
25) Opperskalski, S., Franz, A., Patanè, A., Siew, S. and Tan, E. (2022). Preferred Fiber and Materials Market Report. Textile Exchange. Retrieved from: https://textileexchange.org/wp-content/uploads/2022/10/Textile-Exchange_PFMR_2022.pdf

26) Bryce, E. (2021, November 6). Are clothes from recycled materials really more sustainable? The Guardian. Retrieved from: https://www.theguardian.com/environment/2021/nov/06/clothes-made-from-recycled-materials-sustainable-plastic-climate

27) Based on the assumption that the Brooklyn Bridge weighs approximately 15,000 tons: https://primaryfacts.com/1969/brooklyn-bridge-facts/

28) Opperskalski, S., Franz, A., Patanè, A., Siew, S. and Tan, E. (2022). Preferred Fiber and Materials Market Report. Textile Exchange. Retrieved from: https://textileexchange.org/wp-content/uploads/2022/10/Textile-Exchange_PFMR_2022.pdf

Environmental Justice



Top Companies Environmental Justice - 42 Possible Points

COMPANY ENVIRONMENTAL JUSTICE SCORES:

- Levi's 18
- Burberry 17
- Kering 13
- H&M Group 12
- Reformation 11
- Everlane 11
- Patagonia 11
- Ralph Lauren 10
- Hermes 9
- Fast Retailing 8
- REI 7
- Bestseller 6
- LVMH 6
- Nike 6
- Target 6
- Rothy's 5
- Marks & Spencer 5
- Columbia Sportswear 5
- Lululemon 5
- Gap Inc. 5
- Zalando 5
- PVH 5
- VF Corp 5
- Victoria's Secret & Co 4
- Adidas Group 4
- Inditex 4
- J. Crew Group 4
- Chanel 3
- American Eagle Outfitters 3
- Puma 3
- ASOS 3
- Hanes 3
- URBN 2
- Allbirds 2
- Primark 2
- MUJI 2
- Next 2
- The Children's Place 2
- Amazon 1
- JCPenney 1
- Desigual 1
- Abercrombie & Fitch 1
- River Island 1
- SHEIN 1
- Kohl's 1
- Boohoo Group 1
- Disney 0
- Edinburgh Woollen Mill 0
- FashionNova 0
- Forever 21 0
- Missguided 0
- Mothercare 0
- Ross 0
- Savage X Fenty 0
- Sears 0
- TJX 0
- Under Armour 0
- Walmart 0

Key Findings

CLIMATE:

- 34 companies (**59%**) have disclosed their total annual carbon emissions across their entire value chain, including Scope 3.
- 27 companies (**47%**) have set short-term emissions reductions targets in line with a 1.5°C pathway and have had them approved by the Science Based Targets initiative.
- Three companies (**5%**) — Burberry, Everlane and H&M Group (H&M, COS, ARKET, & Other Stories) — met all four of Remake's climate demands: They publish their full emissions; they have set (and had approved) short-term 1.5°C pathway-aligned Science Based Targets; they have set (and had approved) ambitious long-term net-zero targets; and they have demonstrated that they are reducing their total greenhouse gas emissions compared to their base years.
- 21 companies (**36%**) have not committed to set science-based emissions reduction targets.
- 11 companies (**19%**) demonstrated that they are investing in suppliers and offering financial incentives for factories to decarbonize. These companies are: American Eagle Outfitters, Columbia Sportswear, Gap Inc. (GAP, Old Navy, Banana Republic, Athleta), Kering (Gucci, Balenciaga), Levi Strauss & Co., Lululemon, PUMA, PVH (Calvin Klein, Tommy Hilfiger), Ralph Lauren, Reformation and Target.

CHEMICALS AND WATER:

- 28 companies (**48%**) have adopted a Manufacturing Restricted Substances List (M*f*) and wastewater guidelines that are equivalent to or more stringent than those compiled by Zero Discharge of Hazardous Chemicals (ZDHC).
- Four companies (**7%**) — Burberry, Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand), H&M Group (H&M, COS, ARKET, & Other Stories) and Ralph Lauren — demonstrated that they are on track to meet their targets to eliminate hazardous chemicals in their supply chain.
- Five companies (**9%**) demonstrated that they provide financial incentives to suppliers to sustainably manage their water resources, such as investing in water-efficient technologies and processes: Everlane; Columbia Sportswear; J. Crew Group, Inc. (J. Crew, Madewell); Ralph Lauren and Target.

CIRCULARITY AND PRODUCT LIFE EXTENSION:

- 14 companies (**24%**) participated in resale initiatives to sell the companies' own pre-owned products.
- 14 companies (**24%**) provided either upcycling or repair services, helping consumers extend the life of their clothes, with Levi Strauss & Co., Kering (Gucci, Balenciaga) and Patagonia scoring the most points in this section.
- Despite the meteoric rise of rental and resale, no large company of the 58 we evaluated demonstrated that they are using these revenue streams to reduce reliance on the production of new products.
- 18 companies (**31%**) made progress towards time-bound targets to reduce the amount of packaging sent to landfills and source packaging raw materials sustainably/responsibly.
- No company (**0%**) was sufficiently transparent about what happens to clothing collected in its take back programs, such as what percentage is exported to the Global South.

Environmental Justice is one of the most expansive categories in our scoresheet, comprising 42 of the 150 points and encompassing a number of weighty issues: from climate action and water stewardship and reduction of hazardous chemicals, product life extension, and a movement towards a transparent and just circular economy. What ties it all together is a commitment to intersectional environmentalism, where humanity and sustainability coincide.

The Ravages of Climate Change Underscore the Need for a Just Transition

In 2022, the ravages of climate change came home to roost in fashion. Pakistan, a major garment producer, declared a climate emergency in July after one-third of the nation was submerged in flood waters. The disaster, according to one estimate, was made 50% worse by climate change[29]. One-third of the nation's cotton crop was heavily damaged, creating a raw materials supply shortage for its manufacturing facilities, causing them to shutter[30]. What's more, Bangladesh, the world's second largest producer of apparel for export, which has a low-lying coastal geography uniquely vulnerable to climate change, is on track to host 19 million internal climate migrants within three decades, according to the World Bank[31]. And yet, both of these nations have contributed a negligible amount to our global climate crisis.

Fashion is responsible in no small part for these ravages. According to the World Economic Forum, fashion's supply chain emissions footprint is the third-largest of any industry, behind only food and construction[32]. The industry agrees that action is necessary, but where that action must take place is being ignored. The bulk of fashion's carbon footprint lies in the manufacturing and raw material production phases of the supply chain, which take place largely in Asia and other areas of the Global South. Apparel Impact Institute and World Resources Institute report that over 95% of fashion's overall emissions occur in so-called Scope 3, which includes manufacturing and shipping. To give an example, nearly 82% of Fast Retailing's (UNIQLO, Theory, Helmut Lang, J Brand) emissions occur in the raw materials and garment production stages.

That is why Remake not only tracks companies' commitments to reduce carbon emissions, which is crucial, but also their financial investments in decarbonizing factories and raw material suppliers. This financing is key to enable a just transition to an equitable net-zero future. As defined by the International Labour organization, a just transition means "greening the economy in a way that is as fair and inclusive as possible to everyone concerned, creating decent work opportunities and leaving no one behind"[33]. **It is the large fashion companies, particularly those in the Global North, that have profited as carbon emissions have climbed, and thus, it is they that must ensure a just transition to a net-zero industry.**

As Companies Go Public With Their Massive Carbon Footprints, the Scale of the Problem is Clear

Against this backdrop, companies in the Global North are moving ahead on mapping and publishing their full greenhouse gas footprint. **34 companies (59%) reported their full set of emissions figures, including Scope 3.** Scope 3 includes, but is not limited to, those emissions resulting from product manufacturing, product shipping, consumer use and how products are disposed of at the end of life.

With companies' CO2 emissions becoming increasingly public, the scale of fashion's climate impact has come into sharp focus. McKinsey estimates that fashion is responsible for approximately 2.1 billion metric tons of CO2 a year (about 4% of the total)[34]. Individual companies are responsible for an astounding amount of this. To give some examples, among the companies in this report that disclosed their full supply chain emissions, Inditex's (Zara, Bershka, Massimo Dutti) annual Scope 3 emissions alone total more than 17 million tons of CO2e. This is the equivalent of consuming more than 39 million barrels of oil[35]. Adidas, Gap Inc. (GAP, Old Navy, Banana Republic, Athleta) and Nike, Inc. each generate more than 10 million tons of CO2e per year, the equivalent of each consuming more than 23 million barrels of oil.

To put the industry's climate impact further into perspective, just one million metric tons of CO2e is the equivalent of burning more than a billion pounds of coal[36]. And many of the companies scored in this report generate several million tons of CO2e a year, including H&M Group (H&M, COS, ARKET, & Other Stories) (nearly eight million metric tons of Scope 3 emissions); SHEIN (over six million metric tons of CO2e); LVMH (Louis Vuitton, Celine, Dior) (nearly six million metric tons of CO2e); Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand) (over five million metric tons of CO2e); Levi Strauss & Co. (nearly four million metric tons); PVH (Calvin Klein and Tommy Hilfger) (over 2 million metric tons of CO2e); and Kering (Gucci, Balenciaga) (over 2 million metric tons of CO2e).

29) Wallace-Wells, D. (2022, October 26). The New World Envisioning Life After Climate Change. The New York Times. Retrieved from: https://www.nytimes.com/interactive/2022/10/26/magazine/visualization-climate-change-future.html

30) Dilawar, I. (2022, October 2). Factories Making Towels and Bedsheets Are Shutting In Pakistan. Bloomberg. Retrieved from: https://www.bloomberg.com/news/articles/2022-10-03/factories-making-towels-and-bedsheets-are-shutting-in-pakistan

31) Clement, V. et al. (2021, September 13). Groundswell Part 2: Acting on Internal Climate Migration. World Bank, Washington D.C. Retrieved from: https://openknowledge.worldbank.org/handle/10986/36248

32) World Economic Forum and Boston Consulting Group. (2021). Net-Zero Challenge: The supply chain opportunity. World Economic Forum, Geneva, Switzerland. Retrieved from: https://www3.weforum.org/docs/WEF_Net_Zero_Challenge_The_Supply_Chain_Opportunity_2021.pdf

33) International Labour Organisation. (n.d) Frequently Asked Questions on Just Transition. International Labour Organisation. Geneva, Switzerland. Retrieved from: https://www.ilo.org/global/topics/green-jobs/WCMS_824102/lang–en/index.htm

34) Berg, A. et al. (2020). Fashion on Climate: How the Fashion Industry Can Urgently Act to Reduce its Greenhouse Gas Emissions. McKinsey & Company and Global Fashion Agenda. Retrieved from: https://www.mckinsey.com/~/media/mckinsey/industries/retail/our%20insights/fashion%20on%20climate/fashion-on-climate-full-report.pdf

35) This equivalency was calculated with the EPA GHG Equivalencies Calculator. Retrieved from: https://www.epa.gov/energy/greenhouse-gas-equivalencies-calculator

36) This equivalency was calculated with the EPA GHG Equivalencies Calculator. Retrieved from: https://www.epa.gov/energy/greenhouse-gas-equivalencies-calculator

Some Companies Have Set Strong Targets to Tackle Climate Change but Progress Is Slow and Emissions Are Climbing

Many companies are making bold promises to tackle climate change. Nearly half of the companies scored have gone beyond simply disclosing their emissions and have joined the Science Based Targets initiative (SBTi), the leading multi-stakeholder initiative mobilizing large companies across all industries to set both short-term and net-zero science-based targets (SBTs) to reduce emissions enough to keep the planet below 1.5°C of warming. While some companies have set less stringent targets, Remake specifically looks for companies to set targets at or below 1.5°C of warming, as the latest IPCC report notes this is necessary to stave off some of the more catastrophic impacts of climate change[37]. **27 companies (47%) have set emissions reductions targets in line with a 1.5°C pathway and have had them approved by the Science Based Targets initiative. Two companies — Burberry and H&M Group (H&M, COS, ARKET, & Other Stories) — have set net-zero targets and had them approved by the Science Based Targets initiative as well.**

On the other hand, of the companies included in this report, 21 (36%) have not committed to setting science-based emissions reduction targets at all — and we might safely assume are not taking appropriate action. This is inexcusable. These companies are: Abercrombie & Fitch Co., Columbia Sportswear, Disney, Edinburgh Woollen Mill, Fashion Nova, Forever 21, Hermes, JCPenny, Missguided, Mothercare, MUJI, REI, River Island, Ross, Rothy's, Savage X Fenty, Sears, SHEIN, TJX (Marshalls, TJMaxx), URBN Group (Urban Outfitters, Anthropologie, Free People) and Victoria's Secret & Co.

Tracking emissions and setting targets is foundational, but taking aggressive action to slash emissions is what really counts. (That is why companies do not receive any points simply for having set SBTs). Rather, companies must demonstrate that they are reducing absolute emissions year-over-year and making genuine progress towards meeting them.

	BASE YEAR*	PREVIOUS REPORTING YEAR	LATEST REPORTING YEAR
COMPANY	SCOPE 3 (MTCO2e**)	SCOPE 3 (MTCO2e**)	SCOPE 3 (MTCO2e**)
Inditex (Zara, Bershka, Massimo Dutti)	18,325,553	13,341,462	17,097,801
Adidas	--		11,636,340
Gap Inc. (GAP, Old Navy, Banana Republic, Athleta)	9,224,965	7,324,421	11,468,430
NIKE, Inc.	-	11,500,000	10,823,562
H&M Group (H&M, COS, ARKET, & Other Stories)	8,497,0007	,334,000	7,742,000
SHEIN	--		6,257,000
LVMH (Louis Vuitton, Celine, Dior)	-4	,500,000	5,706,670
Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand)	5,730,400	5,445,611	5,186,250
Levi Strauss & Co.	-3	,879,957	3,903,171
American Eagle Outfitters	3,094,5003	,020,700	3,663,900
VF Corporation (The North Face, Timberland, Supreme)	-4	,663,950	3,586,000
PVH (Calvin Klein, Tommy Hilfiger)	-	2,140,945	2,125,424
Kering (Gucci, Balenciaga)	--		1,904,593
Ralph Lauren	-1	,144,031	1,192,249
Lululemon	551,324	674,469	923,894

These figures have been extracted from the sustainability reports of the individual reporting companies.

***The reporting year acting as a reference point in the past with which current emissions can be compared **MTCO2e = metric tons of carbon dioxide equivalent**

1 million metric tons of C02e is equivalent to the greenhouse gases arising from burning 1.1 billion pounds of coal.

37) IPCC. (2022). Climate Change 2022: Impacts, Adaptation, and Vulnerability. Contribution of Working Group II to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change. Cambridge University Press. Cambridge University Press, Cambridge, UK and New York, NY, USA, 3056 pp., doi:10.1017/9781009325844

BRAND	SCOPE 1	SCOPE 2	SCOPE 3	1.5 DEGREE TARGET*	NET ZERO TARGET*	BRANDS THAT SCORED
Abercrombie & Fitch	✓	✓				
Adidas	✓	✓	✓	✓		
AllBirds	✓	✓	✓	✓		
Amazon	✓	✓	✓			
American Eagle	✓	✓	✓	✓		
ASOS	✓	✓	✓	✓		
Bestseller				✓		
Boohoo Group	✓	✓	✓	✓		
Burberry	✓	✓	✓	✓	✓	✓
Chanel	✓	✓	✓	✓		
Columbia Sportswear						
Desigual	✓	✓	✓	✓		
Disney	✓	✓				
Edinburgh Woollen Mill						
Everlane	✓	✓	✓	✓		✓
FashionNova						
Fast Retailing	✓	✓	✓	✓		
Forever 21						
GAP Inc.	✓	✓	✓	✓		
H&M Group	✓	✓	✓	✓	✓	✓
Hanes	✓	✓	✓			
Hermes	✓	✓	✓	✓		
Inditex	✓	✓	✓	✓		
J.Crew Group	✓	✓	✓			
JC Penney						
Kering	✓	✓	✓	✓		
Kohl's						
Levi's	✓	✓	✓	✓		
Lululemon	✓	✓	✓	✓		
LVMH	✓	✓	✓	✓		
Marks & Spencer	✓	✓				
Missguided						
Mothercare						
MUJI	✓	✓	✓			
Next	✓	✓	✓	✓		
Nike	✓	✓	✓	✓		
Patagonia	✓	✓	✓			
Primark	✓	✓	✓			
Puma	✓	✓				
PVH	✓	✓	✓	✓		
Ralph Lauren	✓	✓	✓	✓		
Reformation	✓	✓	✓	✓		
REI	✓	✓	✓			
River Island						
Ross	✓	✓				
Rothy's						
Savage X Fenty						
Sears	✓	✓				
Shein						
Target	✓	✓	✓			
The Children's Place	✓	✓	✓			
TJX	✓	✓				
Under Armour				✓		
URBN						
VF Corp	✓	✓	✓	✓		
Victoria's Secret						
Walmart	✓	✓		✓		
Zalando	✓	✓	✓			

These must be approved by SBTi

So, where is the fashion industry on cutting carbon? This year, three companies (5%) — Burberry, Everlane and H&M Group (H&M, COS, ARKET, & Other Stories) — met all four of Remake's climate demands: They published their full emissions; they have set (and had approved) short-term 1.5°C pathway-aligned Science Based Targets; they have set (and had approved) ambitious long-term net-zero targets; and they have demonstrated that they are reducing their total greenhouse gas emissions compared to their base years. Burberry reduced its FY2021/22 Scope 3 emissions by 32% compared to its FY2018/19 baseline, and H&M Group (H&M, COS, ARKET, & Other Stories) reported that its 2021 emissions are 9% lower than its 2019 baseline figure. Everlane reduced both its Scope 3 and overall emissions by roughly 9% compared to its 2019 base year. To continue receiving points, Burberry, Everlane and H&M Group (H&M, COS, ARKET, & Other Stories) will have to consistently demonstrate that their absolute emissions are reducing every year, in line with their 1.5°C pathway targets.

A few other companies who publish their emissions can demonstrate Scope 3 reductions from their baseline year, including Inditex (Zara, Bershka, Massimo Dutti) and Fast Retailing (UNIQLO). A few additional companies can also show Scope 3 emissions reductions from their most recent reporting year, including Nike, Inc., PVH (Calvin Klein, Tommy Hilfiger) and VF Corp. (The North Face, Timberland, Supreme). None of these companies have yet had their Net-Zero targets approved by SBTi, however, and thus they are not yet eligible for points in this area.

Yet other companies' emissions are still climbing. Lululemon, for example, has nearly doubled total emissions since its baseline year of 2018, as its sales have grown dramatically. LVMH's (Louis Vuitton, Celine, Dior) emissions have climbed by more than a million pounds between the latest and the previous reporting year; American Eagle Outfitters' by more than a half a million pounds; and Gap Inc.'s (GAP, Old Navy, Banana Republic, Athleta) emissions have increased by 25% since its baseline year.

There are a few important caveats to take note of when trying to make sense of fashion's climate commitments: H&M Group (H&M, COS, ARKET, & Other Stories) continued to experience depressed sales in 2021 due the Covid-19 pandemic, which means that it manufactured less. Thus, it is impossible to separate out the work being done to decarbonize, from this unintentional and involuntary abatement. Last year, for example, we noted that Levi Strauss & Co. had reported a year-over-year emissions reduction due to its pandemic slowdown; this year its total emissions are back up alongside its sales. In fact, many companies' emissions are up compared to 2020, when nearly every company experienced historic declines in sales because of the pandemic. In short, given the ongoing disruptions due to the pandemic, it is difficult to see in the data alone where the industry is headed on climate action. What's more, companies are still fine-tuning how they measure their emissions, so the numbers they are reporting are changing for this reason as well.

We are at a critical crossroads where companies will have to quickly adjust to business returning to some sort of normalcy while also dramatically decreasing and consistently reporting on their emissions in 2023 and thereafter.

Climate Action Is Accelerating in Parts of the Fashion Industry Within Direct Company Control

On the brighter side, many companies are doing work to reduce their Scope 1 and Scope 2 emissions which include, for example, those resulting from company-owned vehicles or from electricity used in companies' stores and corporate offices, respectively. These emissions are, naturally, far easier for companies to tackle as they are within their direct control. Although we do not award points to companies for reducing their Scope 1 and 2 emissions alone, it is still worth highlighting the progress made in this area. To name a few examples: Lululemon achieved a 82% reduction in greenhouse gas emissions in all owned and operated facilities since 2018 (although its overall emissions have climbed significantly). LVMH (Louis Vuitton, Celine, Dior) has reduced its Scope 1 and 2 emissions by 6% since 2019. Gap Inc. (GAP, Old Navy, Banana Republic, Athleta) claimed a 39% reduction in Scope 1 and Scope 2 emissions in 2020 from a 2017 baseline year. Hanesbrands Inc. reduced its Scope 1 and 2 greenhouse gas emissions "by 11% since 2019," while Inditex (Zara, Bershka, Massimo Dutti) reduced its Scope 1 and 2 by 89% from 2018.

Fashion Needs to Invest in the Decarbonization of Its Farms and Factories in the Global South

At the highest level, fashion understands that it simply has to take action on climate change, but a critical piece in its mitigation efforts is missing: massive direct investments into factories and fiber producers, mostly in the Global South. To reach net zero will require manufacturing facilities to maximize energy efficiency, eliminate the use of coal, and totally shift to renewable electricity. Regenerative farming and fiber production practices will also need to be scaled[38]. According to the Apparel Impact Institute (Aii), decarbonizing fashion could cost the fashion industry the better part of $1 trillion[39]. **The only way to ensure that a transition to net-zero is both feasible and fair is for large companies to pay their fair share to help factories decarbonize and to increase prices set and paid to factories so that they can cover this work. However, there is scant evidence that this is happening at the levels necessary, yet.**

11 companies (19%) can demonstrate that they are investing in suppliers and offering financial incentives for factories to decarbonize. Eight others (%) appeared to be starting to do so but, as yet, do not provide enough information about such initiatives to receive points.

THE 11 COMPANIES RECEIVING POINTS:

American Eagle Outfitters, Columbia Sportswear, Gap Inc. (GAP, Old Navy, Banana Republic, Athleta), Kering (Gucci, Balenciaga), Levi Strauss & Co., Lululemon, PUMA, PVH (Calvin Klein, Tommy Hilfiger), Ralph Lauren, Reformation and Target.

THE 8 COMPANIES NOT RECEIVING POINTS:

Abercrombie & Fitch Co.; Burberry; H&M Group (H&M, COS, ARKET, & Other Stories); JCPenney; Nike, Inc.; Primark; SHEIN and Under Armour.

Many companies are doing this work through partnerships with the Apparel impact institute. For example, Ralph Lauren enrolled five fabric mills in the Aii's Impact Program in 2020. This has helped these mills improve energy efficiency and has led to a reduction in nearly 43,000 tons of CO2. The company has since expanded the program to dozens of other facilities. Lululemon, likewise, is collaborating with a coal phase-out working group led by Aii and RESET Carbon to develop an action plan to phase out coal-use in its Vietnamese suppliers.

Each companies' financial contribution to decarbonizing the supply chain should be commensurate with its total annual contribution to fashion's climate footprint with additional funding for historic emissions, at the very least.

Water Stewardship and Toxic Chemicals Remain Company Priorities

Fashion has made some headway tackling hazardous chemicals since Greenpeace's Detox My Fashion campaign, which launched over a decade ago. This is a testament to the power of organizing and public pressure campaigns to make change in fashion. **28 companies (48%) have adopted a Manufacturing Restricted Substances List (MRSL) and wastewater guidelines that are equivalent to, or more stringent than, those compiled by Zero Discharge of Hazardous Chemicals (ZDHC).** However, only four companies (7%) — Burberry, Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand), H&M Group (H&M, COS, ARKET, & Other Stories) and Ralph Lauren — demonstrated that overall MRSL compliance amongst their supplier factories was increasing year-over-year. Similarly, only five companies (9%) — Burberry, Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand), H&M Group (H&M, COS, ARKET, & Other Stories), Levi Strauss & Co. and Victoria's Secret & Co. — demonstrated year-over-year improvements in ZDHC wastewater standard compliance.

With regard to responsible water stewardship, companies are expected to set a time-bound target to sustainably manage water on a local level where they source goods and raw materials, and to incentivize suppliers to meet these targets through better pricing, repeat orders or direct funding. **Four companies (7%) have started to provide financial incentives to suppliers to sustainably manage their water resources, such as investing in water-efficient technologies and processes: Columbia Sportswear, Everlane, Ralph Lauren and Target.** For example, Columbia Sportswear partners with the Apparel Impact Institute's Clean by Design (CbD) program to support factories in the improvement of energy and water efficiency. A 2021 pilot program in Vietnam led to the reduction of 38,000 cubic meters of water. Some others are piloting similar initiatives in this area but will need to provide evidence of implementation to receive points. Levi Strauss & Co., for example, is working towards financing a water-recycling facility in one of its climate-stressed production areas.

38) Sadowski, M., Perkins, L. and McGarvey, E. (2021). Roadmap to Net Zero: Delivering Science-Based Targets in the Apparel Sector. World Resources Institute and Apparel Impact Institute. Retrieved from: https://apparelimpact.org/roadmap-to-net-zero-report-2021/

39) Ley, K., van Mazijk, R., Hugill, R., Perkins, L. and Gains, R. (2021). Unlocking the Trillion-Dollar Fashion Decarbonisation Opportunity: Existing and innovative solutions. Apparel Impact Institute and Fashion For Good. Retrieved from: https://apparelimpact.org/reports/unlocking-the-trillion-dollar-fashion-decarbonisation-opportunity-report/

The Circular Economy, Now Corporate-Controlled, Has Abandoned Its Principles: Resale Is the New Black in Greenwashing

The premise of the circular economy is that by keeping materials and products in circulation for longer, it will decouple the economy from the consumption of finite virgin resources[40]. However, it is a commonly-held myth that by reusing or recycling more materials, the consumption of virgin resources or new products will automatically go down[41]. On the contrary, unless there are intentional policies in place to prevent it from happening, it is more likely that the consumption of secondhand and new products both go up. This is known as the circular economy rebound effect, and there is ample evidence that this is already occurring across the fashion industry, undercutting the promise of circularity[42].

As such, we are really only seeing companies address the low-hanging or profitable fruit of circularity. For example, **18 companies (31%) are making progress towards time-bound targets to reduce the amount of packaging sent to landfill and to source packaging** raw materials **sustainably/responsibly.** And many retailers are starting to engage in resale. 14 companies (24%) are now selling a selection of their own pre-owned products, either themselves directly, through a third-party such as ThredUp, or via peer-to-peer programs.

Some newcomers to this space, meaning those that have launched resale initiatives in the past year, are Adidas; AllBirds; Nike, Inc.; PVH (Calvin Klein, Tommy Hilfiger); and VF Corp (The North Face, Timberland, Supreme). AllBirds' Rerun is noteworthy as a new entry into the pre-owned shoe space. Most mass-market resale has tended to focus more on apparel, and shoes are both difficult to recycle and environmentally intensive to manufacture, so seeing more footwear reuse is, we think, a good thing. SHEIN's resale platform, SHEIN Exchange, and Balenciaga's partnership with Reflaunt (Balenciaga is owned by Kering), launched right as this report was being completed, and thus they have not been included in the companies' evaluations.

Secondhand fashion allows consumers to buy clothes with a smaller environmental footprint. This is important. **And yet, despite the meteoric rise of resale, none of the companies we evaluated that have resale programs in place demonstrated that they are, in tandem, reducing the production of new products. Rather, the circular economy is merely running parallel to the linear economy.** In fact, according to the latest thredUP Resale report[43], most fashion executives now understand that resale is a way to increase revenues. It is likely that offering resale enables companies to keep their customers in their own brand ecosystem, further driving sales of new products.

To account for the circular economy rebound effect, Remake asks companies to acknowledge that circularity must be used to replace linear production, not merely run parallel to the production of new goods. No company does so. Rothy's is one company working on a near-term recycling solution for every product it makes, and to turn those back into Rothy's products, when possible. But this begs the question: Should shoes be made to last and to be repaired, or be made of plastics to be recycled?

For circularity to get back on track, companies need to help primary consumers continually extend the life of their clothes and encourage them to hang onto the clothes that they already own for longer. **To those ends, 14 companies (24%) provide either upcycling or repair services, with Kering (Gucci, Balenciaga), Levi Strauss & Co. and Patagonia scoring the most points in this section.** While for most companies, repair programs remain niche and hard-to-access, Patagonia's Worn Wear program is well-promoted and widely used. The company publishes more than 60 product repair guides in six languages, and it has 72 product repair centers as well as in-store repair centers.

The Social Impacts of Circularity Are All but Ignored

Lastly, the fashion industry needs to address the social impacts of circularity. Transparency needs to increase across recycling and resale efforts, and the profits from circularity need to be distributed across both upstream production and downstream secondhand supply chains.

No company is sufficiently transparent about what happens to clothing that is collected through take back programs, or more specifically, what percentage is exported to the Global South, what percentage ends up in landfill, what for-profit or charitable partners handle this clothing, or how the money from resale initiatives is spent.

There are a few companies that revealed some but not all of the data the industry should be publishing. Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand), for example, disclosed roughly how many garments it donated annually to "vulnerable people" around the world (approximately 5.08 million items in FY2021), publishing the number of items sent to each region and listing individual recipient countries separately. H&M Group (H&M, COS, ARKET, & Other Stories) published the amount of clothing it collects (15,944 tonnes in 2021, or about 35 million pounds), the percentage of faulty products it processed through this program (0.42%) and the volume of product it destroyed (0.02%). However, this data is likely intentionally obscured –a definition of what constitutes "faulty" should be included alongside these figures. The company also discloses that its take back program partner is I:CO, but it conveniently excludes information about where I:CO sends the clothing it processes, such as which countries in the Global South.

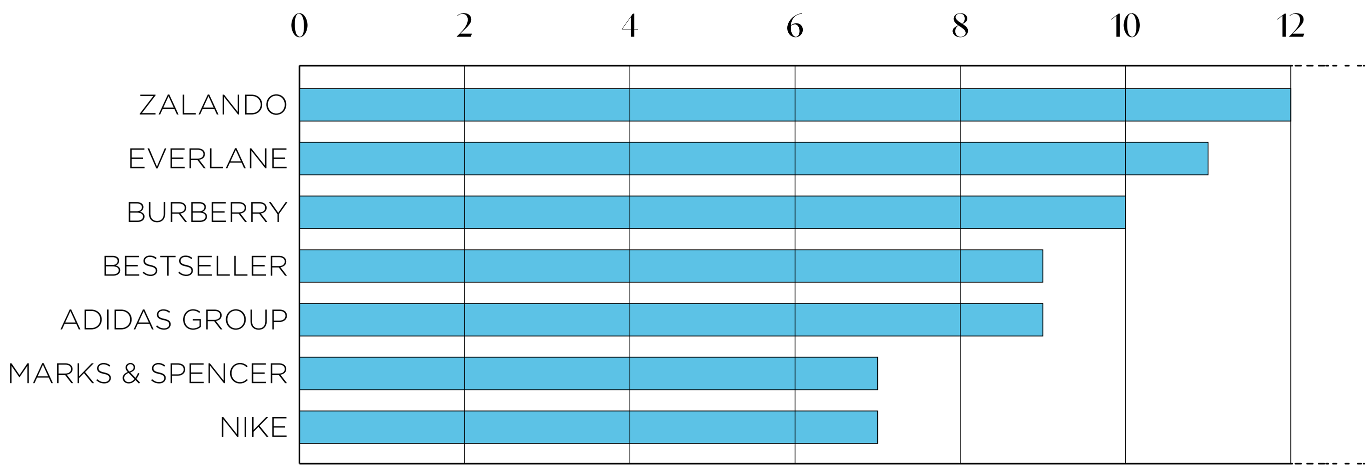
Brand-run clothing take back schemes are increasingly common, but they are, more often than not, advertised as recycling schemes, which is greenwashing. The fact that these garments largely end up in the Global South is almost always obscured. We know from media exposés in Ghana and Chile that some secondhand clothing is ending up in landfills, and that jobs sorting through clothing waste are often low-paying, dangerous — even deadly — and inhumane. The fashion industry is not addressing the social impacts of circularity or its role in waste colonization, save one project between The OR Foundation and SHEIN, which we describe in the Governance section.

40) Ellen MacArthur Foundation. (n.d). What is a circular economy? Ellen MacArthur Foundation. Retrieved from: https://ellenmacarthurfoundation.org/topics/circular-economy-introduction/overview

41) Cline, E.L. (2020, December 23). Will The Circular Economy Save the Planet? Sierra. Retrieved from: https://www.sierraclub.org/sierra/2021-1-january-february/feature/will-circular-economy-save-planet

42) Zink, T. and Geyer, R. (2017). Circular Economy Rebound. Journal of Industrial Ecology 21(3), 1-10. DOI:10.1111/jiec.12545

Governance



Top Companies Governance - 42 Possible Points

COMPANY GOVERNANCE SCORES:

- Zalando 12
- Everlane 11
- Burberry 10
- Bestseller 9
- Adidas Group 9
- Marks & Spencer 7
- Nike 7
- Reformation 6
- Hermes 6
- Puma 6
- Next 6
- Disney 6
- Hanes 6
- Inditex 6
- Ralph Lauren 5
- Levi's 5
- REI 5
- PVH 5
- FashionNova 4
- Fast Retailing 4
- Savage X Fenty 4
- Missguided 4
- H&M Group 4
- American Eagle Outfitters 4
- Primark 4
- River Island 4
- MUJI 4
- Under Armour 4
- ASOS 4
- Gap Inc. 4
- Boohoo Group 4
- VF Corp 4
- Chanel 3
- Desigual 3
- Lululemon 3
- SHEIN 3
- Walmart 2
- Patagonia 2
- LVMH 1
- Kering 1
- J. Crew Group 1
- Abercrombie & Fitch 0
- Allbirds 0
- Amazon 0
- Columbia Sportswear 0
- Edinburgh Woollen Mill 0
- Forever 21 0
- JCPenney 0
- Kohl's 0
- Mothercare 0
- Ross 0
- Rothy's 0
- Sears 0
- TJX 0
- Target 0
- The Children's Place 0
- URBN 0
- Victoria's Secret & Co 0

Key Findings

GROWTH AND RESPONSIBLE BUSINESS MODELS

- Five companies (**9%**) — Adidas, Bestseller, Desigual, and VF Corporation (The North Face, Timberland, Supreme) — revealed their total number of garments produced this year.
- No company (**0%**) acknowledged that the pursuit of exponential growth of products, virgin resources and energy is incompatible with the 1.5°C pathway or could demonstrate that it has a time-bound strategy in place to move away from a linear growth model.

POLICY AND BINDING COMMITMENTS

- Two companies (**3%**) officially endorsed the FABRIC Act: Reformation and Everlane.
- 17 companies (**46%**) of relevant companies featured in this report signed the International Accord.
- 20 companies (**54%**) of relevant companies featured in this report refuse to sign the International Accord.

RACIAL JUSTICE AND DIVERSITY, EQUITY AND INCLUSION

- Six companies (**10%**) — Bestseller, Burberry, Disney, MUJI, FashionNova, Savage X Fenty, and Zalando — demonstrated that they have somewhat diverse boards that reflect the regions in which they operate.
- Six companies (**10%**) — Adidas, Burberry, Hermes, Levi Strauss & Co., Under Armour and Zalando — linked executive and leadership pay to targets related to diversity, equity and inclusion.
- Nine companies (**16%**) — Everlane; Disney; Gap Inc. (GAP, Old Navy, Banana Republic, Athleta); Hanesbrands Inc.; Marks & Spencer; Nike, Inc.; Ralph Lauren; REI and Walmart — demonstrated taking class, gender and race in the regions where they operate, into account during their hiring practices.
- 10 companies (**17%**) supported the participation of direct employees in trade unions: Burberry; Desigual; Hermes; Inditex (Zara, Bershka, Massimo Dutti); J. Crew Group, Inc. (J. Crew, Madewell); Levi Strauss & Co.; LVMH (Louis Vuitton, Celine, Dior); Nike, Inc.; PUMA and PVH (Calvin Klein, Tommy Hilfiger).
- Five companies (**9%**) — Burberry, Kering (Gucci, Balenciaga), Marks & Spencer, PUMA and Reformation — published partial information indicating that some of their direct employees, such as corporate employees or retail workers, earn a living wage.

Governance captures the ethos of a company - it encompasses the systems by which a company is controlled and operated, as well as how it engages with all of its stakeholders. This section comprises 42 points and covers issues as varied as business model transition, executive compensation, approach to racial justice and inclusive hiring and retention, and company commitments to policies and binding commitments that advance social, racial, and environmental progress.

Degrowth Is Less of a Dirty Word, but No Company Has a Plan to Move Away From a Linear Growth Model

The fashion industry is hooked on overproduction. Large companies remain focused on increasing annual product output and on driving sales and profits. While many companies espouse sustainability in their marketing, and even in some aspects of their product offerings, their quarterly earnings calls are about one thing: growth.

The idea of degrowth — a planned scaling back of overproduction — is now somewhat mainstream, with The New York Times' Style editor Vanessa Friedman calling it the "word of the moment"[44]. But degrowth as a practice is far from a reality.

Remake measures companies' commitments to shifting away from linear and growth-centric business models by observing whether or not they are intentionally reducing the amount of individual items they produce annually; are able to demonstrate that their net environmental impact is going down (rather than their per-product impact)[45]; and have an established time-bound strategy to replace reliance on a linear growth model with socially and economically sustainable and climate-resilient revenue streams. **No large company illustrated that it is pursuing any of these goals.** The aforementioned New York Times story claims that Ralph Lauren is successfully making fewer products by increasing its sell-through rate, but it published no data to confirm these efforts.

In fact, very few companies even publish the total number of items they produce annually. This should be an industry-wide practice, as should disclosing the amount of unsold products. **Four companies (7%) — Adidas, Bestseller, Desigual, and VF Corporation (The North Face, Timberland, Supreme) — revealed their total annual production of new products.** Inditex (Zara, Bershka, Massimo Dutti) failed to score points in this area however, as it revealed its production in terms of tonnes instead of units this past year.

Inditex (Zara, Bershka, Massimo Dutti) backtracked to reporting its production in tonnes, after revealing in 2020 that it was producing a staggering 1.6 billion products. Inditex's (Zara, Bershka, Massimo Dutti) production stands at 450,146 tonnes in 2021, nearly a billion pounds. Adidas produced 938 million units of apparel, footwear, accessories and gear. VF Corporation, which owns The North Face, Timberland, and Supreme, among other brands, produces approximately 400 million units of apparel, footwear and accessories per year. Bestseller produces approximately 220 million products a year. URBN Group (Urban Outfitters, Anthropologie, Free People) said it "directly sourced" over 44 million individual products last year, but it is likely leaving out products sourced from third-party vendors. Desigual, the Spanish retailer, manufactured about 16 million products in 2021, down from nearly 19 million in 2018. This was however due to an unintentional decline in sales.

How much do luxury conglomerates produce? They are even less transparent about their production volumes, preferring perhaps to project the notion that luxury products are still small-batch and artisanally made. According to Fashion Revolution's Fashion Transparency Index, Fendi (which is just one of LVMH's 75 fashion houses) produces 3 million units of product a year[46]. While luxury companies produce less per volume of sales than mass market and fast fashion companies, they still churn out a staggering amount of product.

Production figures track closely with annual revenues. Even though few companies are transparent about their production volumes, the data we have is more than enough to underscore the reality that fashion is still built around the overproduction of apparel.

Fashion Is Increasing Diversity Across Some Senior Teams but Separates Economic Justice From Racial Justice

More than two years after the racial reckoning that swept through fashion (and the world at large) in 2020, where is the industry on its commitment to addressing systemic racism and inequity?

The prevalence and impacts of racism in the fashion industry are apparent in every section of this report. The distribution of wealth and power is divided, unevenly, along colonial and racial lines, as are the negative impacts of climate change. And it is mostly women of color who, despite being the backbone of the industry, are excluded from its profits and decision-making roles at every level. This is nothing new; it has been the reality for generations. But is that reality starting to change?

As The New York Times reported, it is changing in a few, highly visible ways. Diversity in high-profile modeling opportunities is up, for example[47]. Yet the C-suite and creative directors of large companies remain overwhelmingly white and male. In areas of employment where women and people of color make up the majority, like retail and entry-level corporate jobs, companies on the whole are still failing to pay workers a living wage or help advance their careers.

In the Governance section, Remake assesses the extent to which companies' own cultures center racial justice and inclusion, asking: Are companies investing in the communities where they operate in terms of their hiring practices, taking into account class, gender and racial histories? Are well-paying executive teams and boards of directors demographically reflective of the regions in which the companies operate? It is challenging to assess companies on progress in these areas, as the ways in which they report on their DEI work is often inconsistent and vague.

44) Friedman, F., (2021, November 17). What Was Fashion Doing at COP26? The New York Times. Retrieved from: https://www.nytimes.com/2021/11/17/style/cop26-fashion-sustainability.html

45) "Net green" is a concept developed by industrial ecologist Roland Geyer in his book, The Business of Less.

46) Galvin, M. et al. (2022). Fashion Transparency Index 2022. Fashion Revolution. Retrieved from: https://www.fashionrevolution.org/about/transparency/

47) Friedman, V., Tillet, S., Paton, E., Testa, J. and Brown, E.N. (2021, March 4). The Fashion World Promised More Diversity. Here's What We Found. Tracking an industry where black representation has been rare. The New York Times. Retrieved from: https://www.nytimes.com/2021/03/04/style/Black-representation-fashion.html

In this vein, while there was a well-publicized move to diversify boards of directors and senior leadership teams in 2020, many companies have set and made some progress towards, but have not met these targets. Marks & Spencer, for example, aimed to ensure that 15% of its senior management teams comprised ethnic minorities by 2022. Ethnic minority representation at this level of the company currently sits at 6.8%. Likewise, it is unclear if Under Armour will realize its commitment to ensure that its executive team is 30% filled by BIPOC talent generally, and 12% filled by Black talent, specifically, by 2023. The company's progress sits at 20% and 7%, respectively. **Only six companies (10%) — Bestseller, Burberry, Disney, MUJI, FashionNova, Savage X Fenty and Zalando — demonstrated that they have somewhat diverse boards that reflect the regions in which they operate.** Some companies — Adidas, Burberry, Hermes, Levi Strauss & Co., Under Armour and Zalando — linked executive and leadership pay to publicly disclosed DEI targets. Others brought in DEI professionals to help them change. Reformation, after its founder stepped down in 2020 following accusations of racism, is "working to improve representation at all levels of the company" and working to adopt "equal hiring practices and tools" in partnership with a diversity hiring and retention company. The outcomes of these efforts are not evident.

In the wake of the murder of George Floyd and the movement for Black lives that followed, it became more common for fashion companies to donate to Historically Black Colleges and Universities (HBCUs) and to allocate certain percentages of their internship positions to students from these schools. For some companies these investments were largely performative. Some, however, appear to actually be playing the long game of building deeper relationships with these, and similar, institutions by developing career pipelines for Black, Hispanic, Asian American and Pacific Islander scholars as well as for other marginalized groups. Nike, Inc., for example, earmarked $10 million for HBCUs and Hispanic-Service Institutions (HSIs) in FY2021, in the form of scholarships and academic partnerships to increase intern and direct hires. Similarly, Ralph Lauren has committed $2 million to HCBUs over a five year period, which includes facilitating career pathways for Black talent through internship, recruitment, mentorship and development programs. It is too soon to see if or how this kind of action will lead to more diverse recruitment in corporate leadership and other senior positions, but we hope to see these relationships and the resources invested in them continue to strengthen and increase, respectively.

Few Companies Demonstrate That They Pay Their Direct Employees a Living Wage

While it is crucial for companies to ensure that there are diverse groups of talent both leading at the executive level and receiving the opportunity to enter at the ground floor, it is just as critical that they make certain that there is upward mobility for marginalized employees between these rungs of the career ladder. Companies should have infrastructure in place to not only be able to welcome personnel from diverse backgrounds, but to be able to retain and uplift them too. This requires acknowledging and accounting for the fact that different community groups face different barriers to success by, for example, tailoring onboarding processes as well as employee benefits to the individual. **No large company assessed in this report is making clear progress towards these ends.**

At the very least, companies should be paying both their corporate and retail employees a living wage. Except for a few plum jobs in corporate leadership and design, wages are notoriously low across the entirety of the fashion industry. This compounds fashion's racial inequality and socio-economic mobility problems. (This is why Remake scores companies on wage transparency across the full value chain, including retail workers and corporate employees.) **Only five companies (9%) — Burberry, Kering (Gucci, Balenciaga), Marks & Spencer, PUMA and Reformation — published any information indicating that some of their direct employees earn a living wage.**

- Burberry states that "97% of [its] product is made by [UK] workers who are paid at least the Living Wage Foundation's hourly rate," but there is no data showing progress on wages in Burberry's wider supply chain or retail locations in other nations.
- Kering (Gucci, Balenciaga) is working with the Fair Wage Network on living wages for its own employees, but there were no targets, data, or progress revealed. Gucci, a subsidiary of Kering, reported that "most workers" in its Italian facilities are paid the living wage, based on a survey by the Fair Wage Network. It also published a gross average monthly salary for some suppliers in 2019 (2,062 Euros), which is nearly 50% above the living wage for Italy (1,387 euros). But there was no mention of pay to Gucci's suppliers located outside of Italy.
- Marks & Spencer, likewise, claimed to pay a living wage to its UK employees, but it is, again, unclear if workers elsewhere enjoy these wages.
- PUMA declared that its employees earn a living wage, but it is unclear if this includes retail employees or factory workers.
- A little more than half of Reformation's direct employees earned a living wage, but the company had not updated data in the past year.

Worker-Driven Fashion Policy Is on the Rise, but It Needs More Industry Support

Fashion needs good policy, including government mandates and standardization around social and environmental progress, to make change. Whether the industry is tackling greenwashing or supply chain traceability, or taking responsibility for its human rights impacts, its contribution to climate change or its links to wage theft, legislative action and binding commitments are needed to level the playing field and provide the incentives for industry action. Industry activists and organizers are increasingly aware of the need for, and viability of, fashion policy as a mechanism for systemic change and as such, a slew of policies have been introduced or passed of late, including the California Garment Worker Protection Act (SB62) and the FABRIC Act.

As social and environmental policy picks up steam on the international stage, tracking the lobbying efforts of the industry is becoming increasingly important. This is difficult work, as much of fashion's political work is not transparent and goes on behind the scenes. For example, SHEIN recently hired one of the most powerful lobbying firms in Washington, D.C., revealing only that

CASE STUDY: SHEIN

SHEIN's EPR Fund Stirs Much-Needed Debate About Reparations and Environmental Justice

Fashion companies should pay fair wages across the board and not overproduce. Meanwhile, though, the industry has already caused, and continues to cause, significant human rights and environmental damage. This is why Remake looks to see that companies are actively reinvesting their profits in the marginalized communities that they extract value from, whether their garment workers, core customer bases, or the people impacted by fashion waste in the Global South — as we work towards a more just system.

SHEIN made waves this past year when it designated $50 million to set up an Extended Producer Responsibility (EPR) fund in partnership with The OR Foundation, a non-profit organization that works with secondhand traders in Kantamanto Market in Accra, Ghana, where much of the Global North's fast fashion waste ends up. The OR Foundation, which has long argued for eco-reparations for Ghana's circularity professionals, described the grant as an "industry template for effective EPR, allowing for financial compensation to flow in the same direction as clothing waste"[48]. Among other projects, the money will be used by the OR Foundation for job training, local textile-to-textile recycling and upcycling innovation, and to improve the labor conditions of those working in and around Kantamanto. The Fund will also select a new grantee every year for five years.

Though SHEIN's EPR Fund is a far cry from reparations – as that would assume that SHEIN is agreeing to change its business model and stop causing harm (which it has not done) – the project is significant, as the company is essentially paying a waste management fee to Accra's secondhand traders to process the company's substantial volumes of discarded clothing. The funding will hopefully enable a more justice-centered circular fashion industry and help counteract the circular economy emerging in the Global North that is increasingly controlled by large companies. As to whether SHEIN is using the partnership to wokewash its image, we will continue to monitor its advertising and the language in its sustainability reports for evidence of this behavior. In the meantime, we hope to see other companies make similar contributions as they commit to moving away from a linear growth model.

its lobbying will be related to trade and taxes[48]. And while the EU's Corporate Sustainability Due Diligence draft directive on human rights is historic, it was also weakened by corporate lobbying.

This is why Remake tracks how companies respond to worker-driven legislation tackling fashion's social and environmental impacts, including accounting for whether they officially endorse or lobby against legislative proposals through industry associations. This past year, nearly 100 companies officially endorsed the FABRIC Act. **Among the large companies we scored, Reformation and Everlane have publicly supported it, and among the brands highlighted in our Small Sustainable Business section, Hope for Flowers by Tracy Reese, Known Supply and MATE the Label are also endorsees of the bill.** There was also less evidence of lobbying opposition from industry associations representing large companies in the United States this year, but it's too soon to know if this marks a shift since the California Garment Worker Protection Act. As the FABRIC Act (and other progressive policies) gain momentum in 2023, ideally more companies will throw their weight behind these efforts.

The International Accord Has Wide Industry Support, but Will Levi Strauss & Co. and Laggard U.S. Companies Get on Board?

In addition to measuring the extent to which companies support strong, worker-led legislation, Remake also looks at whether or not they are signing on to relevant binding commitments and private regulatory schemes to strengthen human and labor rights in fashion. This past year, the industry rallied behind the International Accord on Health and Safety, a landmark binding workplace health and safety agreement that was launched in the wake of the Rana Plaza factory disaster. Further information on industry commitments to the Accord can be found in the Spotlight Issues section.

48) The Or Foundation. [@theorispresent]. (2022, June 7). Hello! You have supported our work to bring awareness and action around the impacts of textile waste and the efforts [Instagram Feed post]. Instagram. Retrieved from: https://www.instagram.com/p/Ceg7jUxt18E/

SPOTLIGHT ISSUE 2:

The International Accord

Spotlight Issues highlight and track how fashion companies react to urgent human and labor rights events that unfold during a given year.

Health and safety issues continue to plague the fashion industry, whether workers are toiling in unsafe buildings surrounded by fire hazards or sewing for 12 hours a day in insufferable heat without access to water or breaks. The International Accord for Health and Safety in the Textile and Garment Industry, which aims to change this reality, was agreed upon in August 2021.

The new International Accord succeeds the Bangladesh Accord, which was initially established in 2013 in response to the Rana Plaza factory collapse, which killed 1,132 garment workers and injured thousands more. In an industry plagued with social and environmental injustice, the Bangladesh Accord stands out as a shining success story — it led to the overhaul of thousands of factories and to the protection of millions of workers.

While the original Bangladesh Accord provided for fire, electrical, and structural inspections and repairs of garment factories in Bangladesh, the new International Accord has an expanded scope and includes garment worker health and wellbeing. It will also extend the program's life-saving benefits to at least one other major garment-producing nation.

As of October 2022, 183 brands and retailers have signed on in support of this two-year, life-saving agreement that prioritizes the health and safety of workers within fashion supply chains. Of the companies featured in this report, 17 are signatories to the International Accord. Disappointingly, a number of the companies we scored — mostly those based in the United States, such as Abercrombie & Fitch Co. and Levi Strauss & Co. — refuse to sign on.

Levi Strauss & Co.'s refusal to sign the International Accord is particularly noteworthy both because the company has a strong reputation for being socially responsible and because — of the companies that have yet to sign the new agreement — it is one of the largest buyers in Bangladesh and Pakistan, where the Accord Steering Committee is eyeing expansion. Levi Strauss & Co. is also consistently named in worker surveys documenting serious health and safety violations in Pakistani factories, most recently in research by the Clean Clothes Campaign and in worker video testimonies provided to Remake.

Levi Strauss & Co. has touted the efficacy of its own safety programs as reason enough not to sign the International Accord, but there's little evidence to back this up. The company's safety programs are not binding and not worker-driven, and they don't appear to be working. The company's own Sustainability Report acknowledges that health and safety violations are common in its factories. This is why Remake has dropped letters in dozens of stores around the world, held protests in front of flagships, organized Twitter storms, and sent thousands of emails to the company's executives and board members asking Levi Strauss & Co. to be a leader and sign the International Accord.

✓ Signed The Accord	✕ Have Not Signed The Accord
Adidas	Abercrombie & Fitch Co.
American Eagle Outfitters	Amazon
ASOS	Columbia Sportswear
Bestseller	Desigual
Boohoo Group	Disney
Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand)	Gap Inc. (GAP, Old Navy, Banana Republic, Athleta)
Hanesbrands Inc.	JCPenney
H&M Group	Kohl's
Inditex (Zara, Bershka, Massimo Dutti)	Levi Strauss & Co.
Marks & Spencer	Mothercare
Missguided	Patagonia
Next	Ralph Lauren
Primark	Ross Stores
PUMA	Sears
PVH (Calvin Klein, Tommy Hilfiger)	Target
River Island	The Children's Place
Zalando	TJX (TJ Maxx, Marshall's)
	Under Armour
	VF Corp (The North Face, Timberland, Supreme)
	Walmart

SPOTLIGHT ISSUE 3:

Uyghur Forced Labor

Spotlight Issues highlight and track how fashion companies react to urgent human and labor rights events that unfold during a given year.

The Uyghur Forced Labor Prevention Act (UFLPA) went into effect in the United States in June of this year. This landmark human rights legislation will have massive impacts on fashion supply chains, increasing traceability and transparency, as it operates under the presumption that any goods, wares, articles, and merchandise mined, produced, or manufactured in the Xinjiang region of China is tainted by forced labor[49]. As such, the United States is blocking goods from the Xinjiang region unless companies can provide evidence that they are not tainted by forced labor[50]. Noted as being one of the most significant labor-oriented laws in the United States since the 1930s, the UFLPA marks an unprecedented collaboration between companies, industry governing bodies, activists, consumers and lawmakers.

Given that the UFLPA is currently only in force in the United States, however, in an attempt to prevent the sale of UFL-tainted goods globally, the End Uyghur Forced Labour Coalition has issued a two-part ask to all companies operating both in the United States and in other markets around the world. Specifically, the coalition demands that, in addition to complying fully with the UFLPA, companies:

- Commit to apply a single global standard, consistent with the requirements of the UFLPA, across their entire supply chain for all retail markets, and to not bifurcate their supply chains.
- Commit to not re-exporting any goods denied entry to the United States under the protections of the UFLPA and attempting to sell in other markets, which would create markets for goods tainted with forced labor.

In support of these demands, Remake will be reporting on the progress of relevant companies in this area next year.

49) Oprysko, C. and Lippman, D. (2022, October 11). Chinese fast fashion retailer lobbies up. Politico. Retrieved from: https://www.politico.com/newsletters/politico-influence/2022/10/11/chinese-fast-fashion-retailer-lobbies-up-00061286

50) End Uyghur Forced Labour Coalition. (n.d). Apparel and Textile Industry. End Uyghur Forced Labour Coalition. Retrieved from: https://enduyghurforcedlabour.org/fashion/

COMPANY SCORES

- Abercrombie & Fitch
- Adidas Group
- Allbirds
- Amazon
- American Eagle Outfitters
- ASOS
- Bestseller
- Boohoo Group
- Burberry
- Chanel
- Columbia Sportswear
- Desigual
- Disney
- Edinburgh Woollen Mill
- Everlane
- FashionNova
- Fast Retailing
  (Uniqlo, Theory, Helmut Lang, J Brand)
- Forever 21
- Gap Inc.
  (GAP, Old Navy, Banana Republic, Athleta)
- H&M Group
- Hanesbrands Inc.
- Hermes
- Inditex
  (Zara, Bershka, Massimo Dutti)
- J. Crew Group:
  (J. Crew, Madewell)
- JCPenney
- Kering
- Kohl's
- Levi's
- Lululemon
- LVMH
- Marks & Spencer
- Missguided
- Mothercare
- MUJI
- Next
- Nike
- Patagonia
- Primark
- Puma
- PVH
- Ralph Lauren
- Reformation
- REI
- River Island
- Ross
- Rothy's
- Savage X Fenty
- Sears
- SHEIN
- Target
- The Children's Place
- TJX
- Under Armour
- URBN
- VF Corp
- Victoria's Secret & Co
- Walmart
- Zalando

BURBERRY

38 Points

Burberry continues to score relatively high compared to other industry players and has earned points this year for incorporating regenerative practices, support for farming communities, and nature restoration into its corporate strategy. The luxury fashion house has updated its emission reduction targets to align with the 1.5 degree pathway, though progress has thus far been focused on emissions from its direct operations. Burberry has also introduced initiatives to help its Italian suppliers improve their energy, water and chemicals management programs; however, it is unclear what percent of its total facilities are included in such efforts, especially given the company's notable lack of supplier disclosures. As an active member of the ZDHC Foundation and the first luxury brand to adopt the ZDHC's manufacturing restricted substances list, Burberry has continued to excel in the area of chemicals management. Additionally, the company has disclosed its wastewater testing results — something rarely shared among large industry players. Another bright spot is the expansion of the company's repair services, which includes coat reproofing, part replacements, vintage repair, and leather conditioning to help extend product life and integrity. Additionally, Burberry has rolled out a UK-based rental and resale pilot in collaboration with My Wardrobe HQ, but even so, the company does not appear to have any clear intent to curb its production or promotion of new products.

Linked Evaluation

EVERLANE

38 Points

Everlane scores relatively well this year among all brands assessed. With the release of its first impact report, the California-based company has offered slightly more transparency into labor rights noncompliances along its supply chain, as well as factory audit procedures. That being said, Everlane has only just started to collect wage data from its factories, alongside country-level living wage benchmarking. As such, the extent to which its garment makers are paid living wages cannot yet be determined. One bright spot is Everlane's endorsement of the FABRIC Act, a federal bill which will introduce joint accountability among brands, retailers and manufactures for workplace wage violations.

Everlane excels when it comes to fabric innovation, moving beyond investments in pilot programs and research to actually offer its customer-base alternatives to virgin materials, such as upcycled wool and GRS-certified recycled polyester and nylon. As for cotton, the largest category in its materials portfolio, Everlane has primarily focused on increasing its uptake of organic cotton versus recycled. However, in partnership with the Rodale Institute, the company has donated $200,000 to help convert conventional farmland to regenerative organic. Whether the company intends to incorporate regenerative biogenic materials into its actual offering remains to be seen. Everlane has also reached 90% of its goal to design out all virgin plastics from its products and packaging, and while the brand has noted the difficulty in finding alternative materials for trims and elastane, it has still managed to offer some products with recycled trims, buttons, and linings — something rarely seen in the broader industry. On climate, Everlane has achieved a 9% absolute reduction in Scopes 1-3 emissions compared to a 2019 baseline, though the company has not yet demonstrated a reduction year-over-year. The company's strategy also currently lacks specific water targets and disclosures. As for its diversity, equity and inclusion efforts, Everlane has eliminated minimum education requirements from its job descriptions and partnered with underrepresented community-based organizations to source talent. The company has noted that in 2021, 49% of hires self-identified as BIPOC.

Linked Evaluation

Levi's®

34 Points

Levi's is among the highest-scoring companies evaluated, yet in many areas, the denim titan is falling short. Namely, global support for the International Accord has continued to grow among major retailers, including Levi Strauss & Co. (Levi's) competitors. Still, the denim company has not signed on to the binding agreement, ignoring the pleas of thousands who continue to demand the brand take this crucial step to protect its garment workers in Bangladesh. This notable lack of action is underlined by both a history of health and safety violations, as well as the fact that most of the company's 2021 compliance issues found in both Tier 1 and Tier 2 factory assessments have been attributed to healthy and safety violations. Despite such glaring shortcomings in worker well-being, Levi's has earned points this year for developing a living wage benchmark in collaboration with nonprofit organizations, improving its animal welfare policy, introducing lower-cost financing to suppliers implementing low-carbon processes, sharing the extent of employee unionization, and disclosing additional information on initiatives addressing products at end-of-use.

When it comes to environmental progress, Levi's has fortified its water stewardship plan by developing contextual water targets for key suppliers with the ultimate goal to reduce water-use during manufacturing by 50% in areas of high water stress by 2025. That being said, the company still has not disclosed its supply chain water footprint. Further, the company has fallen behind on its climate goals, having increased its total carbon emissions. On diversity, equity and inclusion, the company has attempted to diversify its talent pipelines through university and organization partnerships and recruiting events, and yet, there is little evidence that the company has increased job placement among marginalized communities, beyond entry-level positions, as a direct result. As such, Levi's has strayed from the path toward sustainability and will need to take on full accountability for the humans involved in, and affected by, its business.

Linked Evaluation

Reformation

33 Points

Scoring relatively well, Reformation has pulled ahead of many other industry players when it comes to transparency and environmental commitments, yet these positive developments often seem to be at odds with an apparent intent to grow the business. Reformation aims to be climate positive by 2025, but as of late, its carbon emissions appear to have increased. On a positive note, the company has partnered with the Apparel Impact Institute and South Pole to help implement and scale emissions reduction strategies for suppliers representing about a third of Reformation's production. The brand has also started to offer alternative biogenic fibers, including regenerative fibers that absorb more carbon than they release, regenerative wool, recycled wool, and Good Earth Cotton sourced from a climate positive farm in Australia. However, its use of oil-based synthetics appears to have increased in 2021.

Reformation continues to circulate substantial amounts of clothing and material via partnerships with Rent The Runway and thredUP, as well as its RefRecycling program, through which products are upcycled, recycled or downcycled. Despite these encouraging developments, the company does not yet appear to be displacing the linear production of virgin goods with circular business models — an essential task in light of recent business expansion. As for wages, disclosures have not improved since last year, other than a noted drop to 59% from 100% compliance with current living wage standards for employees. The percentage of workers outside of the US who are earning a living wage remains unclear. Lastly, while diversity, equity and inclusion efforts have not deepened beyond partnerships to promote diversity hiring and retention, Reformation continues to show leadership in systemic reform to hold brands accountable as a signatory of both the FABRIC Act and the Call to Action to End Forced Labour in the Uyghur Region.

Linked Evaluation

H&M

34 Points

H&M Group maintains a relatively high score among this year's large companies. This is, however, predominantly due to the shortcomings in sustainability progress seen among its fellow fashion giants, rather than it being an indicator of significant improvement. The company earned additional points for disclosing the extent to which trade union representation exists within its Tier 1 factories and for making progress on its updated science-based emissions targets. Despite demonstrating a level of transparency still rarely seen by similarly sized companies, H&M Group now finds itself at the center of a class-action lawsuit for misleading customers with its exaggerated sustainability marketing. Using various greenwashing tactics, H&M Group has capitalized on a growing public consciousness surrounding fashion's environmentally detrimental impact, implying through inaccurate labeling that its products are more ecologically friendly than they actually are. Of the 15,944 tonnes of textiles gathered in 2021 through its clothing collection initiative, H&M Group has claimed that 50-60% is sorted for re-wear and reuse, 35-45% recycled into products for other industries or made into new fibers, and the remaining 3-7% "disposed of another way" through either incineration or other unknown means, noting that no textiles are sent to landfill. Nowhere in its disclosures is listed the percentage or amount of collected textiles used to make new H&M Group products, and so, the greenwashing expert over-implies its ability to "close the loop."

Still absent from H&M Group's reports are binding commitments to engage in commercial practices that enable all of its suppliers to meet the minimum labor standards it lays out for them, as well as disclosure of the amounts of actual garments and textile waste produced by the company. As one of the original architects of fast fashion and now the very embodiment of greenwashing, H&M Group is in desperate need of a complete business model overhaul.

Linked Evaluation

28 Points

Fast Retailing, owner of UNIQLO, Helmut Lang, Theory and J Brand, scores higher than some other mass-market basics companies like Gap Inc. (GAP, Old Navy, Banana Republic, Athleta) and J. Crew Group, Inc. (J. Crew, Madewell), and has received a score increase for elaborating on its living wage methodology, improving its animal welfare policy, and expanding its upcycling and repair services. Despite these improvements, the company still has yet to offer any evidence that worker compensation has actually improved since setting the goal to realize living wages throughout its supply chain. Additionally, manufacturers supplying Uniqlo have been implicated in unresolved cases of wage theft in Karnataka, India, with both current and former employees awaiting their owed back pay. While the company has set science-based targets in line with the 1.5 degree pathway, it cannot yet demonstrate that it is on track to meet these goals. And though Fast Retailing has managed to reduce its plastic packaging use in recent years, virgin oil-based synthetics are still central to the company's material portfolio, while products incorporating recycled polyester and nylon have only appeared to make up a small portion of its total product offering across all subsidiaries. As Fast Retailing looks to accelerate the pace of store openings in North America and Europe while continuing to grow its already bloated profits, these priorities are clearly at odds with the industry mammoth's questionable intent to be more socially and ecologically sustainable.

Linked Evaluation

26 Points

Although Adidas continues to outscore competitors in the sportswear arena, the company has made little improvement from last year's score. More comprehensive disclosures on labor rights violations, grievance mechanisms, worker satisfaction with issue resolution, and living wage methodology have earned the corporation additional points. Also notable is the company's incorporation of diversity, equity and inclusion, and sustainability targets, into the driving criteria for performance bonuses. Additionally, the company has incorporated 10 Buyer Commitments into its Responsible Sourcing & Purchasing Policy, which include parameters for responsible supplier exits; however, there is no evidence that such standards are legally binding or incorporated into supplier contracts. It is also rare that a large corporation discloses the number of products it makes annually, yet Adidas notes it produced 938 million units of apparel, footwear, accessories and gear in 2021. Unfortunately, with such an enormous level of output the company can hardly expect its own take back and resale initiatives to thrive.

On climate, Adidas has set science-based targets in line with the 1.5 degree pathway; however, it has yet to clearly communicate progress toward these goals. Meanwhile, no clear targets or footprint have been defined for water use and the company has yet to develop an actionable strategy for the mitigation of microfiber shedding — an especially pertinent issue, considering synthetic materials continue to make up a large portion of its materials portfolio. Being that Adidas has endorsed Mandatory Human Rights Due Diligence legislation in the EU, the company will need to amp up its disclosures across the board if it is to stay ahead of the pack on sustainability progress.

Linked Evaluation

26 Points

PUMA has long been engaged in the sustainability conversation, having been an early adopter of both internal and external environmental and social standards, as well as one of the first major companies to publish an 'Environmental Profit & Loss Account,' which placed an economic value on the direct ecological impact of its operations. Even so, the multinational sportswear leader has fallen short of establishing sufficient climate goals with emissions reduction targets not yet aligned to the 1.5° pathway. Much of PUMA's current sustainability endeavors are focused on better sourcing, materials innovation and chemical reduction in alignment with the Zero Discharge of Hazardous Chemicals (ZDHC) Programme. Last year, the company was successful in expanding its use of recycled polyester to 48% on its way to achieving an ultimate goal of 75% in apparel and accessories by 2025. The recycled material has been incorporated into "more sustainable styles," in some cases along with cotton and leather production offcuts, to reduce and utilize textile waste; however, it is unclear what portion of PUMA's total product offering consists of such materials, or whether the company is decreasing its use of virgin oil-derived fabrics. While PUMA acknowledges the general need to move from linear production models to circular ones, the company, which produces millions of shoes and textiles each year, has yet to outline a solid transition strategy matching the scale of its multinational business.

On the wage front, PUMA discloses the average percentage of suppliers by country who pay above minimum wage, but this does not necessarily indicate payment of a living wage. Though the company confirmed that in 2021 all employees earned a living wage, the same can not be said for its garment workers — an appalling fact considering PUMA made 6.8 billion euro in sales during the same year. However, PUMA has acted to help support suppliers in their transitions toward more sustainable operations through its Forever Better Vendor Financing Program, which offers suppliers achieving above average ESG ratings, lower interest rates and insurance premiums. Additionally, PUMA is arranging liability and recall insurance for its Tier 1 suppliers who may either have no access to similar insurance coverages or face significantly higher premiums on a stand-alone policy. Such supplier support should be expanded and exemplifies the types of investments needed to help realize sustainability, safety and other compliance demands along value chains.

Linked Evaluation

patagonia®

26 Points

Although Patagonia is often perceived to be one of the most sustainable brands when it comes to materials innovation, circularity, and environmental impact, the company is still quite reserved in its human rights disclosures, having yet to trace its supply chain down to the raw materials level or report on labor issues and the extent of worker unionization. However, unlike many of its competitors, Patagonia has provided more transparency surrounding living wages than is commonly seen in the industry, having revealed the percentage of assembly factories paying workers a living wage (on average). The company also takes care to detail its responsible purchasing commitments, addressing ordering behavior, and has a Fair Labor Association-approved factory exit policy requiring the minimization of consequent impacts on workers. Additionally, Patagonia has earned points for extending its emissions disclosures to encompass manufacturing processes, using a majority bluesign® System Partner material suppliers, and introducing products designed for circularlity to its current offering. While Patagonia continues to promote its second hand resale channel, Worn Wear, if the outdoor apparel leader is to prevent textile waste in earnest, it will need to replace its linear growth trajectory while also implementing measures to prevent pre-consumer waste.

Linked Evaluation

RALPH LAUREN

25 Points

This iconic American brand has taken significant strides to protect the environment, but it lacks a similar commitment to its supply chain workers. After conducting fair wage assessments with some of its suppliers, Ralph Lauren has reported that nearly half of its "strategic and key suppliers" meet a living wage benchmark for average total take-home pay; however, this figure does not account for the entirety of the company's supply chain, and so, it remains unclear what percentage of workers are actually taking home a living wage. The company has also been linked to manufacturers in Karnataka, India, who owe current and former employees back wages following nonpayment of the minimum wage. As such, Ralph Lauren must not only facilitate repayment of the outstanding wages owed to its garment workers and expand its fair wage assessments, but also do its part to advocate for freedom of association and encourage collective bargaining among those making its products. These actions can be strengthened by the implementation of a Buyer Code to ensure responsible purchasing practices are embedded into its supplier contracts. As Ralph Lauren continues to produce in Bangladesh, it remains imperative that the company sign on to the International Accord.

On climate, Ralph Lauren has updated its ambitions to include reaching net-zero greenhouse gas emissions by 2040. Thus far, the company seems to have made progress on its near-term science-based targets. Even so, the company has confessed that the pandemic likely contributed to its reduced emissions. Ralph Lauren has yet to provide comprehensive data on its water footprint, though the support it offers to suppliers in adopting water-efficient processes is encouraging. The company recently started experimenting with circularity principles, having piloted a subscription-based rental program, but such exploratory trials are not intended to replace new production. On the materials side, Ralph Lauren has set a target to use 100% recycled polyester by 2025. With progress sitting at 23%, it is unclear whether or not the company will achieve this goal. Likewise, Ralph Lauren claims it is moving toward regenerative agricultural practices, but the company provides no concrete details about the progress or future of these efforts. As for diversity, equity, and inclusion, Ralph Lauren committed $2 million in 2021 to support students attending historically black colleges and universities, but there appears to be no connection between these grants and the amount of company hires from historically marginalized communities. All things considered, the company will need to pursue more aggressive action to stay on top of its sustainability goals.

Linked Evaluation

BESTSELLER®

24 Points

Though Bestseller's score has improved, the Danish clothing company was implicated, alongside other major fashion companies in the worst wage theft case to be documented in the garment industry. The billionaire-owned company confirmed its offending supplier in Karnataka, India, has since committed to pay full arrears to remediate the situation; however, Bestseller also has a record of using suppliers in Myanmar who have committed human rights abuses against their garment workers, including severance theft. Further, the clothing giant has not taken appropriate measures to prevent such events from happening in the future. Bestseller does not disclose the nature of labor rights non-compliances discovered along its supply chain and shares limited information on its audit procedures. Moreover, the company has yet to report on wages for both its garment workers and employees. As of right now, there exists no proof that either are paid living wages. On climate, Bestseller lacks both emissions data and adequate goals for greenhouse gas reduction, indicating its contentedness with business as usual operations at the expense of people and planet. Being that the company churns out approximately 220 million products a year, Bestseller must take action to curb both pre- and post-consumer waste, and ultimately, reevaluate its destructive business model.

Linked Evaluation

zalando

24 Points

Prominent German online retailer, Zalando stands out from its peers when it comes to supply chain transparency, accounting for 100% of its private label suppliers and Tier 1 factories, and advancing the disclosure of its Tier 2 facilities. Even so, the platform still carries a number of brands that have yet to meet the same level of traceability. Though Zalando can be commended for ensuring the wages of its temporary logistics workers match those of permanent employees, there is still no evidence that a living wage is being paid to employees and supply chain workers alike.

Zalando is making positive developments in its hiring practices as it attempts to increase job accessibility for underrepresented talent, and notably, links executive remuneration to the achievement of diversity, equity and inclusion goals. However, the outcomes of such measures have yet to be determined. Regarding its environmental impact, the company needs to step up its game on emissions reduction in light of a growing carbon footprint, especially for activities beyond its own operations. Being that this increased impact is largely attributed to business growth, Zalando must pursue more aggressive environmental action alongside alternative business models that can go beyond scaling its resale platform to replace continuous product output with new, more resilient revenue streams.

Linked Evaluation

MARKS & SPENCER

22 Points

British retailer Marks and Spencer (M&S) earned points this year for improving its animal welfare policy, launching a clothing rental trial with Hirestreet, partnering with Dotte Collective on resale for its kidswear, and increasing its permanent employee base rate to surpass both the national and real living wages in the UK and London. Also noteworthy is the company's Responsible Exit Policy, though there is no evidence that the commitments stated within are integrated into supplier contracts. Despite these positive developments, M&S still has a long way to go on its sustainability journey, having yet to divulge specific information regarding labor conditions along its apparel supply chain or establish near-term emissions reduction targets that are in line with the 1.5 degree pathway. The company has committed to investing in climate-related projects with its suppliers through their Climate Innovation Fund; however, it is unclear what projects will be implemented specifically, beyond select supplier participation in the Higg Index Facility Environmental Module. While M&S has developed life-extending programs for its products primarily via take back, resale, and recycling, circularity appears to be supplementary rather than an end-goal alternative to its core linear model. M&S remains one of the largest companies to sign the Call to Action to end Uyghur forced labor.

Linked Evaluation

21 Points

The name of the game for Nike, Inc. continues to be growth and market domination, as the sportswear giant maintains its position as the most-valuable apparel company. According to The Science Based Targets Initiative, “Nike’s value chain produces more than one billion units each year, and the company uses roughly 16,000 unique materials in these products.” Meanwhile, the company feebly downplays its size and output, vaguely noting in its Impact Report that it engages with “thousands of suppliers to make thousands of products.” And so, despite demonstrating progress in its reduction of virgin oil-derived materials, carbon emissions, and apparel and footwear manufacturing waste, the sheer scale of Nike’s operations overshadows these rather small steps in the right direction. The company offers refurbished items through its external sales channel, NIKE Refurbished, for which it says it has “aggressive” plans to scale, but there is no evidence that Nike, Inc. intends to prioritize the sale of second-hand goods over that of new products.

Nike, Inc. has also had a few evident setbacks in transparency this year, including the absence of an updated and publicly available animal welfare policy, data covering the water footprint of its supply chain, proof of hazardous chemicals reduction and improvements in wastewater test results, as well as clarity on how many garment workers are currently receiving a living wage. Alarmingly, Nike reportedly lobbied Congress to significantly relax the Uyghur Forced Labor Prevention Act — an egregious move which far outweighs and contradicts its endorsement of Mandatory Human Rights Due Diligence legislation. The company has also failed to sign the International Accord, despite having suppliers in Bangladesh. As it stands, Nike is far from being a leader when it comes to human and planetary well-being.

Linked Evaluation

21 Points

Hermès scores higher than some of its luxury competitors, like LVMH (Louis Vuitton, Celine, Dior) and Kering (Gucci, Balenciaga), but like these competitors, it is similarly not transparent about where its products are produced. The French luxury house says it prioritizes the creation of high-quality, made-to-last goods produced primarily at its 52 production sites based in France. The house also sources from Switzerland, the United States, Australia, Italy, Portugal and the United Kingdom, though no specific information is provided on international partners other than facility name, general location and product specialty. At present, the company’s repair workshops repair and refurbish over 160,000 items per year. Beyond that, it only mentions the general aim to integrate circularity into its manufacturing processes, manage and reduce material waste, and explore reuse and recycling channels, without providing any evidence of concrete action in these areas. With flagship materials including leather, silk, cashmere and wool, Hermès continues to prioritize virgin materials over recycled, vaguely noting it intends to develop a strategy for the responsible procurement of synthetic fibers by 2024. The company’s tight supply chain does, however, reflect its intent to support local fiber producers and processors in or around Europe, thereby limiting transport-related impacts.

Hermès reports a 15.3% absolute reduction in carbon emissions across all scopes between 2018 and 2021; however, it is unclear whether the company is on track to achieve its science-based greenhouse gas targets on the way to net-zero emissions by 2050. Since 2012, Hermès has also partnered with the Livelihoods Carbon Funds (LCF), which focuses on large-scale projects to both impact climate change and improve the living conditions of disadvantaged communities, though outcomes, specific projects and direct investments made by the company have yet to be revealed. At the group level, Hermès confirms that it pays above the living wage in all countries where it operates, though it neither elaborates on its living wage benchmark methodology, nor the specific wages paid to workers by country. If Hermès is to meaningfully walk a more sustainable path, it must be willing to free itself from the air of mystery which usually shrouds major luxury houses.

Linked Evaluation

20 Points

Kering manages some of the world’s most prominent luxury giants, such as Gucci, Saint Laurent, Bottega Veneta, Balenciaga, and Alexander McQueen, among others. Less impressive are its human rights disclosures, as the majority of subsidiaries, with the exception of Gucci, fail to reveal even their Tier 1 suppliers, let alone facility labor conditions or extent of factory unionization. The luxury group vaguely notes that supply chain workers are “fairly compensated,” but has yet to define a concrete living wage benchmark. And while Kering has a responsible purchasing policy, the lack of public insight into commercial behaviors and legally binding obligations to suppliers makes it impossible to determine whether the company is actually sourcing responsibly and with respect to human rights. In regard to environmental goals, Kering does not appear to be on track to achieve its climate targets, meanwhile, its sustainability strategy fails to integrate environmental justice. Further, the group has expanded its Clean by Design program to assist Italian suppliers with the implementation of projects to reduce their environmental impacts; however, who bears the financial burden of these efforts remains unclear.

Gucci, which is notably ahead of fellow Kering houses when it comes to transparency and pre-consumer waste reduction initiatives, has also extended funding to regenerative grazing transitions for wool growers in Patagonia. With both Balenciaga and Alexander Mcqueen engaging in resale partnerships, Kering's Circularity Ambition appears to place a lot of emphasis on extending the life of products already in existence, rather than replacing linear production with use-phase-extending circularity initiatives. Additionally, as both total packaging and plastics-use in packaging are increasing, Kering must holistically improve its approach to waste management across the board.

Linked Evaluation

20 Points

Not much improved this year for PVH, owner of Calvin Klein and Tommy Hilfiger in terms of progress, as the company has continued to share minimal information on its factory labor conditions and environmental impact. The company lost points for regressing on worker wage disclosures, having failed to report relevant data by country as it had done last year. Though PVH committed to pay in full for orders completed and in production during the COVID-19 pandemic, the company has yet to show that it has since integrated binding measures protecting suppliers and workers into its contracts, including commitments to negotiate orders and timelines, set prices and ensure responsible exits in a manner that prioritizes human rights. This is especially pertinent considering PVH's past implication in wage theft cases. PVH has updated some of its environmental targets, though they continue to be vague while progress has been slow, and in the case of emissions reduction, largely owed to production limitations as a result of the pandemic. On the positive side, PVH has earned points for its partnership with the Apparel Impact Institute to implement the Carbon Leadership Program, through which a growing number of the company's suppliers are supported in their efforts to tackle supply chain emissions. If the conglomerate is to come close to achieving climate goals in line with the 1.5 degree pathway, it will not only have to scale such programs, but also monitor its suppliers' progress.

Linked Evaluation

19 Points

The popular go-to for undergarments, basics and sleepwear still has quite a journey ahead on its way to becoming more sustainable — or so it appears based on the information the company publishes. As the company has provided no transparency into wages, extent of worker unionization, or labor rights noncompliances found along its supply chain, other than those related to health and safety. Hanesbrands Inc. has, however, disclosed its Tier 1 suppliers, covering its owned facilities, key finished goods suppliers, and facilities used for its collegiate business. Given that almost 70% of its total production volume is sourced from company-owned or operated facilities, Hanesbrands Inc. should have a fairly high degree of both supply chain visibility and access, enabling easy data collection, and thereby, disclosure. The company can be commended for offering in-kind benefits, including free or subsidized transportation, meals, and healthcare to plant-level associates, as well as for reinvesting revenue generated from the sale of manufacturing waste to recyclers back into local community-development efforts.

On materials, Hanesbrands Inc. notes that 61% of its cotton can be traced back to the U.S, but its goal to source 100% sustainable cotton by 2025 is much too vague to warrant credit. And though the company reports increased use of recycled polyester, this means little in terms of environmental impact if the company continues to grow its product output and overall use of virgin materials. Thus, the company has scored zero points across the Raw Materials category. When it comes to climate, the undergarment giant falls short on its science-based targets, as those set for emissions reduction across the value chain are only in line with a well below 2°C limit to global warming. Hanesbrands Inc. also aims to be zero waste across its operations by 2025 and support key suppliers in doing the same; however, being that the company has not yet begun to establish any circular models through which to keep materials in use, it remains unclear how such a goal is to be achieved.

Linked Evaluation

INDITEX

18 Points

Considering Inditex was implicated in the worst wage theft case in fashion history, the company must now take steps beyond the facilitation of worker back pay and move toward full transparency into its suppliers, worker wages, factory conditions and commercial practices. Inditex, owner of Zara, is still woefully behind when it comes to accounting for its enormous supply chain, which in 2021 included 1,790 direct suppliers using 8,756 factories — having yet to reveal even its cut and sew factories or fabric producers. While Inditex was an early signatory of the International Accord and has made efforts to promote freedom of association, subsidiary Zara is no stranger to safety hazards when it comes to its Bangladesh-based factories, and the number of workers actually covered by collective bargaining agreements remains undisclosed. As a supporter of Mandatory Human Rights Due Diligence in the EU, Inditex is obligated to make headway on due diligence within its own global value chain and has an opportunity to set a precedent for its fellow corporate giants.

Since last year's assessment, Inditex has aligned its GHG emissions reduction targets with the 1.5 degree pathway, though a year-on-year reduction in its emissions from manufacturing processes has yet to be seen. Being that the apparel company remains the second-most-profitable in the world, Inditex is more than capable of supporting its suppliers financially in their efforts to transition to more sustainable, low-carbon processes; however, no such support is evident through its disclosures. Additionally, while the company has implemented clothing take back schemes, its production volume appears to be increasing. And so, contrary to its claim of being driven by the circular economy, Inditex's fast fashion business model remains the epitome of unbridled linear growth.

Linked Evaluation

VF CORPORATION

18 Points

VF Corporation, owner of The North Face, Timberland and Supreme, has an enormous global supply chain with over one million people working across nearly 60 countries. As such, the company still needs to extend its supply chain transparency to cover worker wages and unionization extent. VF Corporation also needs to sign the International Accord, being that it still has a number of suppliers in Bangladesh. The company received points this year for expanding efforts to prolong the life of its products through Timberloop and The North Face Renewed program, incentivised through discount and store credit offerings. That being said, more information is needed regarding the quantities of product re-circulated through such initiatives, as well as where unsold goods end up. Unsurprisingly ,with over 410 million units produced last year, progress on packaging reduction remained to be seen, as did the amount of textile waste produced as a result of the company's extensive manufacturing.

On climate, VF Corporation appears to be making slow progress toward its science-based emissions targets, though the company has not reported a clear absolute reduction in its overall emissions or expanded supplier support to implement low-carbon processes. While the company seems to be on its way to sourcing 50% recycled polyester by fiscal year 2026, clothing giants of VF Corporation's size and influence are expected at this point to demonstrate more aggressive action toward the complete phase-out of virgin oil-derived materials. VF Corporation can, however, be commended for its efforts to invest in local and marginalized communities through its grant program, with a number of grantees working specifically to serve underprivileged communities. Equal investment should nonetheless be afforded to the supply chain communities from which VF Corporation directly extracts talent.

Linked Evaluation

asos

17 Points

This year, the British fashion retailer only gained one additional point for reducing the amount of packaging it produces while increasing its recycled content. Though ASOS notably surpasses some of its competitors in supply chain traceability, having mapped suppliers for Tiers 1-3, its environmental efforts remain rather limited in light of the global span of its business and extensive product offering (over 40,000 styles annually, by some estimates). The company has set science-based targets for near-term operational emissions reduction; however, its plans for tackling emissions along its value chain, where its largest impact is, are less clear. ASOS has taken initial steps to reduce water use in production starting with a portion of its denim line, and though it is a ZDHC signatory, whether the retailer is actually reducing its hazardous chemicals use cannot yet be determined without relevant data. Additionally, despite noting the introduction of bare minimum circular strategies to its design processes, no concrete targets yet exist for curbing its own textile waste.

One highlight for commercial practices is ASOS's commitment to following ACT's Responsible Exit Policy for member brands, which includes obligations to consult with workers and their representatives before finalizing dismissal decisions and to engage in mediation/remediation when negative consequences result from brand exits — including mobilizing company leverage to work with manufacturing partners or corporate groups to ensure workers receive all owed benefits and severance payments. However, ASOS needs to go one step further by including such terms in its supplier contracts, along with an explicit affirmation that the company will take responsibility for paying for any completed or in-process orders at the time of exit. Moreover, ASOS is lagging in data on worker wages, labor conditions, union membership and audit results, but has stated an intent to build transparency in these areas. The brand will need to step up its game and rethink its far off goals if it is to make good on this commitment.

Linked Evaluation

GAP

16 Points

Gap Inc., owner of Old Navy, Banana Republic and Athleta, has fallen behind on its sustainability commitments, as it reported an overall year-on-year increase in carbon emissions despite reducing those emitted from owned and operated facility activities. Moreover, the company has yet to set longer-term net-zero targets. Although Gap Inc. partakes in the Apparel Impact Institute's Carbon Leadership Program, through which suppliers are supported in understanding their carbon impacts and developing reduction targets, the company will need to expand the program's reach to cover more of its supply chain if it is to curb manufacturing emissions. Such support should be supplemented by financial incentives for suppliers to pursue low-carbon processes. As for materials, Gap Inc. has reported an increase in its use of recycled polyester and nylon; however, its increased cotton procurement from "more sustainable sources" is far too vague to be counted as progress.

Regarding labor rights, many manufacturers producing for Gap Inc. have committed wage and severance theft across several countries, indicating the company must expand and accelerate its efforts to support freedom of association and collective bargaining among its supply chain workers, while also committing to a Buyer Code, through which Gap Inc. may assume real accountability for the impacts its commercial practices have on suppliers and workers alike. What's more, Gap Inc. continues to jeopardize the health and safety of its makers by not signing the International Accord. And while it is encouraging that Old Navy's This Way ONward program has created career pipelines for youths from underrepresented communities, the opportunities provided to participants do not appear to extend beyond entry-level positions. Such initiatives hardly advance equity within Gap Inc.'s own corporate governance structure, especially considering the lack of diversity among its officers

Linked Evaluation

REI CO-OP

16 Points

REI is something of a pioneer in the circularity space, having been an early advocate of initiatives that prioritize product life-extension within its primary trading markets, such as repair, rental and resale. As yet, however, the company cannot demonstrate that it is using these alternative revenue streams to reduce its reliance on the production and sale of new items — something that will be key to realizing its own as well as the industry's climate goals. At present, REI appears to be depending on the purchase of carbon credits and offsets to achieve carbon neutrality across its operations. The company has not yet set science-based emissions reduction targets and so, given that its goal is to reduce its greenhouse gas emissions by 55% from a 2019 baseline while continuing to pursue business growth, it is unclear whether its climate ambitions are 1.5 pathway- and net-zero-aligned, or whether any progress made stands to be overridden by business expansion.

While REI engages in important work to help ensure equity of access to nature and the outdoors, these same considerations of equity are not extended to the company's supply chain and it falls woefully short of tying workers' rights to environmental justice in its supplier programming. Going back to basics, excluding details such as product type and number of workers from its published factory lists, REI's disclosures do not even meet the minimum standard of supply chain transparency that has become commonplace in the industry. It is also extremely vague about its purchasing and human rights due diligence practices, making no mention of its intentions to ensure that its garment workers earn a living wage or receive adequate employment securities and benefits. At the very least, we expect much more transparency from REI.

Linked Evaluation

15 Points

This fast-growing athleisure juggernaut made big promises in 2020 to be more sustainable with the launch of its Impact Agenda, setting environmental goals to reduce virgin oil-based fabrics and slash CO2 emissions. This year, Lululemon has in fact increased its usage of recycled polyester and nylon in its products, but there's no evidence the company has simultaneously decreased the amount of virgin oil-based materials used. Rather, Lululemon has a plan to double sales within four years, threatening to override any progress it makes. On climate, the company is flat out failing. Its total emissions have been increasing since 2018, its baseline year used for tracking emissions reduction progress. Meanwhile, the company has yet to establish science-based targets for emissions beyond its owned and operated facilities, putting it far behind its competitors. One bright spot is that Lulelmon's resale pilot, Like New, is expanding to all US stores. More importantly, the brand is donating 100 percent of resulting profits to sustainability initiatives, including the Fashion Climate Fund, which is helping apparel factories to decarbonize.

When it comes to worker rights, Lululemon falls woefully short and does not tie human rights to environmental justice in its programming. The brand claims that "many" of its suppliers pay above legal minimum wage, but considering most garment workers around the world are earning poverty pay, this is little solace. Lululemon reveals no information in terms of its plans to pay workers a living wage nor does it reveal data on its usage of unionized factories. As the brand has been in existence for over two decades, its fair wage gap analyses among key suppliers and work toward developing a "fair compensation roadmap" are long overdue. Furthermore, the company continues to disappoint by not signing on to the International Accord.

Linked Evaluation

14 Points

While not much changed with regards to Primark's actual score in 2022, the company has taken some positive steps worth making mention of this year. In addition to now publicly disclosing its total greenhouse gas emissions footprint, Primark is in the process of having its science-based emissions reduction targets approved by the Science-Based Targets Initiative. It is also building upon the foundations of its Sustainable Cotton Program to scale the adoption of regenerative agricultural practices in its cotton supply chains. While these are some pleasing developments, going forward it will be necessary for Primark to provide both a scope-by-scope breakdown of its emissions and a detailed account of how it is financially assisting cotton growers and ensuring that they themselves are benefitting from the transition to regenerative agriculture. Ultimately, the company's current business model is not compatible with any definition of sustainability, so unless it pivots its focus away from exponentially increasing its production of cheap, poor-quality clothing, any positive advancements it makes will likely be overridden by its focus on output growth.

Sustaining such a business model is also only possible because Primark continues to forfeit the rights and well-being of its most vulnerable workers along the supply chain. Despite continuing to generally mention its pursuit of living wages for garment makers and work to enhance their health and well-being, the company still cannot demonstrate any genuine progress towards these goals beyond the disclosure of its living wage benchmark. What's more, Primark's Supplier Code of Conduct fails to meet Fair Labor Association standards when it comes to a minimum working age. The company also relies heavily on its ACT membership as evidence of its responsible behavior toward production partners, but Primark needs to formalize its responsible purchasing practices by inserting them into its supplier contracts from the outset. Additionally, the company needs to be more transparent about its efforts to safeguard workers in the event of a supplier exit. For example, Primark has stated that it is making a "responsible exit" from Myanmar after coming to the conclusion that it "wasn't possible" for responsible businesses to apply normal human-rights due diligence in the beleaguered Southeast Asian nation. As it stands, its current exit strategy does not assure company payment for any completed or in-process orders at the time of exit. If Primark is to truly enact responsible commercial practices, then it must hold itself to account for its own commitments.

Linked Evaluation

14 Points

NEXT received additional points in 2022 for expanding its animal welfare policy ever so slightly to include acknowledgement of major species-specific animal welfare challenges, and for having signed the International Accord. Beyond this, however, the company still does not provide adequate data to show progress towards its sustainability goals. For example, NEXT discloses that an increasing number of its textile wet processors are now producing and publishing wastewater and chemical use reports, but the company does not share the results of these reports (i.e. it does not reveal what percentage of these factories are managing chemical use and wastewater to an acceptable level). Additionally, NEXT mentions that it recognizes that it must support the transition to a more circular economy "by designing, producing and selling products which limit pollution and waste and help to keep materials in use for longer," but it provides no further information on how exactly, or even whether or not, it is doing so. Worryingly, the company appears to equate circularity with recyclability, critically ignoring the simultaneous need for a reduction in product output growth.

In terms of social justice and governance, both NEXT's disclosures and ambitions disappoint. The company makes no mention of living wages or advocating for the presence of unions as they relate to either direct or indirect employees, and thus, its purported ethical trading commitments seemingly fall short of actually fostering fair pay, sustainable progress and high labor standards. What's more, though NEXT did #PayUp in full the money it owed to suppliers for orders canceled at the beginning of the pandemic, it has continued to find itself at the center of similar labor rights violation cases. In addition to being implicated in two now resolved wage theft cases in Karnataka, India, the company is currently implicated in three ongoing wage theft cases — one in Bangladesh and two in Cambodia — all to do with pandemic-related factory closures.

Linked Evaluation

MUJI 無印良品

13 Points

MUJI, the Japanese apparel and household goods retailer falls short this year in a number of assessment categories, having yet to disclose a supplier list for any level of its supply chain, establish concrete goals to lessen its materials impact, or commit to emissions reduction in line with the 1.5° pathway. As for product end-of-use, MUJI has made initial efforts to collect and resell or recycle used clothes at certain store locations, but such initiatives are nowhere near close to covering the global scope of the brand's waste impact, especially considering the company has more than 1,000 stores carrying over 7,000 items.

Linked Evaluation

UNDER ARMOUR

13 Points

Not much has changed with Under Armour's score this year. Though it received two more points for publicly disclosing what living wage benchmarks and tools it uses, the company still cannot demonstrate that any of the garment workers in its Tier 1 factories earn a living wage and has actually been implicated in a wage theft case in Jordan related to unlawful pandemic-induced worker dismissals. Disappointingly, Under Armour also continues to refuse to sign the International Accord.

On the environment side, Under Armour still does not publish its greenhouse gas emissions figures, thus making it impossible to observe whether or not the company is making headway towards its science-based reduction targets. Many of the sustainability goals presented on the company's website, which largely center around transitioning to the use of recycled materials, are also all now at least two years out of date, which further obscures any attempts to remark on any progress the company is making. One bright spot is that Under Armour appears to be deepening its investments in infrastructure to advance its diversity, equity and inclusion efforts, even increasing its commitment of tying annual incentive pay for executives to the achievement of its related goals. One hopes to be able to see measured progress in this area next year.

Linked Evaluation

TARGET

12 Points

This year Target fell short of its expected profits, resulting in excess inventory that the brand has chosen to handle with massive order cancellations at the expense of its garment workers. Target is, however, no stranger to such behavior, having canceled orders during the COVID-19 pandemic when companies worldwide were forced to close their stores. Despite being called out by various groups, little has improved in regard to the retailer's commercial practices. The company mentioned partnering with Better Buying to improve and assess its purchasing practices "through a financial, environmental and social lens," but the only reported outcome of such has been training for the company's commercial teams on how purchasing decisions can affect workers down the value chain. For Target to make meaningful change in this area, it needs to insert a Buyer Code into its purchase order contracts with garment suppliers, outlining legally binding commitments to ensure buyer requirements do not undermine human rights. Further, Target has been implicated in ongoing wage theft cases, as several of the company's garment suppliers in Indonesia and India owe their workers back wages. The retailer still has yet to sign the International Accord. In light of these offences Target's severely inadequate environmental goals mean little to nothing.

Linked Evaluation

ROTHY'S

11 Points

Although Rothy's is often championed among shoewear companies as a leader in sustainability, its score for this year's assessment paints a less idealistic picture of the company. Rothy's positive reputation is largely attributed to its prevalent use of innovative and recycled materials, including those made from its signature thread, derived from 100% post-consumer recycled materials diverted from the waste stream. Rothy's also uses OceanCycle certified thread, made from marine plastic collected within 30 miles of coastlines; natural mineral-derived materials; renewable rubber; corn- and castor-oil-derived materials; and algae-based foam. By 2023, Rothy's aims to use "a majority recycled, twice recycled, and/or bio-based materials;" however, the company has neither disclosed its carbon emissions, nor stated progress on its goal to reach carbon neutrality in 2023. Also disappointing is the absence of chemical and water disclosures, contributing to a larger lack of clarity surrounding the company's overall environmental footprint.

Rothy's produces out of its own workshop in Dongguan, China, where all employees are reportedly provided fair wages, daily meals and living accommodations. That being said, the company fails to disclose any wage data, the number of workers employed at this facility, audit procedures and findings, extent of worker unionization, or grievance processes. Though Rothy's clearly operates with circularity in mind, having implemented waste-minimizing knitting processes, piloted a footwear take back and recycling program which it intends to scale, and prioritized the use of its recyclable signature thread, its overall strategy does not appear to center environmental justice.

Linked Evaluation

LVMH

11 Points

Luxury giant LVMH currently owns 14 luxury fashion and leather goods houses, including Louis Vuitton, Fendi, Celine, Christian Dior and Givenchy. In 2021, the company brought in a whopping 64.2 billion euros in revenue, and yet, wage information for both employees and supply chain workers remains under wraps. While LVMH states that most of its manufacturing occurs in-house, the blatant absence of even the most bare-minimum supply chain disclosures has left the company with zero points across both the criteria's Traceability and Wages & Well-being categories. On the environment side, there is little to suggest LVMH is on track to achieve its science-based targets for emissions, as only a minimal decrease has been reported for those resulting from owned and operated facilities. Though the group mentions introducing regenerative agricultural practices to some producers' cotton fields and grasslands for livestock grazing, it is unclear how much material is actually derived from such practices and used in the making of its fashion products. LVMH also uses recycled polyester, Econyl regenerated nylon, and Evrnu's NuCycl; however, these materials are not yet being prioritized over virgin materials.

When it comes to textile waste, some of the company's houses have taken steps to progress textile disassembly, recycling and upcycling. LVMH has also launched an online platform to resell materials from its Fashion & Leather Goods Maisons to both internal and external buyers. Additionally, the company seems to be focused on expanding repair programs; however, these efforts are peripheral, rather than core pieces of an overall business model transition, as the company clearly intends to expand its reach as the world's leading luxury products group. As for diversity, equity and inclusion, LVMH's efforts are limited to donations, scholarships, mentorships and relief programs that broadly seek to support underrepresented communities.

And while exclusivity and mystery are the name of the game in luxury fashion, LVMH will need pull back the curtain on its supply chain and reveal concrete data indicating the actual impact of its sustainability efforts if it wants to raise its accountability score.

Linked Evaluation

Columbia Sportswear Company

11 Points

Columbia Sportswear fails to go beyond the most basic transparency and sustainability initiatives, leaving its environmentally conscious customers disappointed when it comes to taking meaningful action. The sportswear giant currently boasts an interactive transparency map that reveals most of its Tier 1 and some Tier 2 suppliers. However, such transparency has yet to be extended to the Tier 3 and raw materials levels. Also absent from its disclosures is information on wages, labor conditions, garment worker well-being and specifics on how supplier exits are handled. On human rights, Columbia Sportswear requires its suppliers to avoid using cotton sourced from Uzbekistan or Turkmenistan, but the company has failed to address cotton sourced from the Uyghur Region, where forced labor is used. Notably, Columbia Sportswear has also failed to sign the International Accord, despite having suppliers in Bangladesh.

As for its climate disclosures, the company has taken a step forward in sharing Scope 3 greenhouse gas emissions from manufacturing processes; however, its goal of achieving a 30% reduction by 2030 falls short of what is needed to keep the planet under 1.5 degrees of warming. Like some of its competitors, Columbia Sportswear is attempting to be more circular, having implemented its RETHREADS program for product take back in partnership with I:CO. Unfortunately, little has been shared on what actually happens to the collected items or where they end up, making the program no better than other common greenwashing schemes used to distract from the obvious prioritization of new products and business growth.

Linked Evaluation

RIVER ISLAND

11 Points

British high street brand River Island can be commended for aligning its Tier 1 supplier list disclosures with the Transparency Pledge and for signing the International Accord. These are two foundational measures in the pursuit of worker safety and well-being. The company is also taking initial steps to tackle its climate impact. For example, it is in the process of improving and expanding its greenhouse gas emissions accounting and reporting, in hopes of submitting its reduction targets for approval by the Science Based Targets Initiative at the end of 2022. This is promising, especially considering River Island does not currently publish its full Scope 3 emissions.

Beyond these efforts, however, River Island has filled its latest CSR report with vague blanket statements and broad goals that still read as performative rather than informative, given the brand's overall lack of commercial and operational practice transparency. For instance, the company mentions that it is committed to the principle that workers manufacturing its products should be paid a fair living wage, yet fails to elaborate on its own definition of such, what benchmark it uses to determine fair compensation, or how many of its supply chain workers do in fact earn a living wage. The brand's raw materials ambitions are equally vague. River Island states that it "is committed to improving the sustainability credentials of all clothing and accessories" and that its goal is to have at least 50% of its garments made using sustainable materials by 2023; however, it fails to adequately specify and rank what it considers "sustainable" and why. This opaqueness carries through to the corporate level as well, where River Island's diversity, equity and inclusion goals, for example, remain purposefully devoid of specifics and timeframes, and thus, of accountability.

Linked Evaluation

VICTORIA'S SECRET

10 Points

Having undergone several heavily criticized cosmetic changes last year, it appears that Victoria's Secret & Co. has started to take a look at, and share some of, what is going on under the hood. As such, the company's accountability score increased by eight points in 2022. On the labor side, Victoria's Secret & Co. received new points this year for increasing the stringency of its supplier code of conduct and for disclosing the frequency with which supplier factories are audited, as well as for having in place a robust remediation program to address worker grievances and factory non-compliances. It is also heartening to be able to report that Victoria's Secret & Co. provided the $8.3 million it legally owed to more than 1,250 fired Thai workers who sewed bras for the company. On the environment side, the company received new points for defining its policy against the use of furs and exotic animal skins, and for its progress towards its goal of eliminating targeted chemicals from its wastewater. Notably, Victoria's Secret & Co. is one of only five companies recognized by Zero Discharge of Hazardous Chemicals (ZDHC) in 2021 for achieving Aspirational Level, the highest tier of success, in its

Brands to Zero program.

Victoria's Secret & Co.'s inaugural 2021 ESG report acknowledged that the company has a long way to go on its accountability journey. While the company has shown some leadership amongst its peers this year in the abovementioned ways, a further increase in score depends on the company following up on some of the more futuristic language in its report with impact and progress data. Most obviously, the company should disclose annual greenhouse gas emissions and set science-based emissions reduction targets, as well as DEI initiatives outcomes.

Linked Evaluation

AMERICAN EAGLE

10 Points

American Eagle Outfitters (AEO), owner of Aerie, has failed to provide bare minimum industry standard disclosures, including a supplier list of its cut and sew and fabric producers. It provides no transparency into worker wages, unionization, factory conditions or its commercial practices, leaving its customers to question whether it is truly committed to working with its partners to safeguard supply chain workers and the environment. Further, it is not clear that garment workers have access to adequate grievance mechanisms with which to report labor violations. Even so, this year AEO earned points for disclosing its factory audit frequency, GHG emissions, and for beginning to support suppliers in improving their operational efficiency and implementing low carbon processes through pilot programs facilitated by the Apparel Impact Institute (Aii). Additionally, the company maintained points for remaining a signatory of the International Accord.

On the environmental side, AEO has committed to going carbon neutral by 2030, though currently only its near-term emissions reduction targets are aligned to the 1.5° pathway according to the Science Based Targets Initiative. Meanwhile, its total emissions have increased, setting it behind on its climate journey. The company has begun to work with factories and laundries on water reduction and recycling through its Water Leadership Program, but it is unclear how many facilities are participating or what total impact the initiative has in the context of its entire supply chain. To address textile waste and end-of-use products, AEO also offers a few programs including denim and bra take back, clothing donation, and recycling through partnerships with I:CO (I:Collect) and Fabscrap. Such efforts, however, will do little to lessen AEO's impact in light of the company's clear intent to prioritize linear growth. If the company is to truly embrace a more sustainable path, it will need to shift to alternative revenue streams that reduce its reliance on the production and sale of new items.

Linked Evaluation

J.CREW

10 Points

Compared to other mid-range basics companies like Fast Retailing (UNIQLO, Theory, Helmut Lang, J Brand) and Everlane, J. Crew Group, Inc. does not score well. J. Crew Group, Inc., owner of Madewell, has earned points for its animal welfare policy, Scope 3 emissions disclosures, and financial incentives for raw materials producers to transition to regenerative practices, such as no till or minimum till, cover cropping and diverse crop rotations, and livestock integration. The company has partnered with Crossland Consulting, Textile Exchange, regenagri®, and supplier Arvind Ltd. to support cotton growers specifically in Texas, Louisiana, and across India in achieving regenagri® certification. Additionally, J.Crew offers "impact incentives,'" which are direct payments to participating farmers in the United States and commits to supporting them for three years during their transition. The company also notes that it has begun to source and integrate certified regenerative fibers alongside recycled cotton and synthetics. That being said, the company's materials portfolio still clearly prioritizes virgin inputs.

Positive developments for J. Crew Group, Inc. also include partnerships with BIPOC recruitment organizations, as well as Historically Black Colleges and Universities (HBCUs), AAPI and Hispanic Institutions, and Tribal Colleges and Universities to build career pipelines for historically marginalized communities. These efforts, however, appear to focus primarily on entry-level positions and internships. Meanwhile, the actual number of placements resulting from such partnerships remains undisclosed, and therefore, direct impacts cannot be clearly determined. Despite some promising initiatives, J.Crew has continued to fall behind in supply chain transparency when it comes to wages, labor conditions, water impacts and chemical disclosures. Despite having suppliers in Bangladesh, the company has not signed the International Accord.

Linked Evaluation

MISSGUIDED

PEACE, LOVE AND FASHION

9 Points

Missguided, the ultra-fast fashion company, boasts a weekly drop of up to 1,000 new styles per week in the name of affordability, claiming its mission is to "empower females globally." Evidently, this grossly misleading goal does not extend to its predominantly female garment workforce. Amidst Missguided's recent financial troubles, hundreds of Pakistani garment workers producing for the company have reportedly gone months without receiving their salaries and/or been fired by their employers as suppliers are owed millions for already completed and shipped orders. On top of this outstanding wage theft is an utter lack of transparency surrounding worker wages, factory conditions, coverage by collective bargaining agreements, and commercial practices. Unsurprisingly, the company does not share any environmental disclosures or science-based targets and reveals neither the chemicals used in the making of its products nor a restricted substances list. Missguided has feebly attempted to get involved in clothing take back with its promotion of the reGain App, through which users can receive brand coupons in exchange for sending in their used clothes to be donated, resold or recycled. However, the program is not specific to Missguided products and provides no transparency into where collected items ultimately end up. Such lacklustre partnerships are devoid of any real responsibility on the company's part for end-of-use garments.

Linked Evaluation

9 Points

Boohoo Group, owner of PrettyLittleThing and Nasty Gal, currently boasts an enormous selection of clothing and accessories with "hundreds of new styles landing every day." Meanwhile, industry sources have stated that it is impossible to pay workers the national minimum wage while meeting the orders requested by the company. As of 2020, up to around 80% of Boohoo Group's production reportedly took place in Leicester, one of the few and largest remaining garment manufacturing cities in the UK, where labor exploitation had allegedly been rampant among factories producing for the fast fashion giant. Since being publicly exposed for its malpractices and terminating relationships with hundreds of UK-based suppliers, Boohoo Group has built a "Manufacturing Centre of Excellence" at Thurmaston Lane in the city, where the brand says employees will receive above the national living wage. And yet, the company still keeps its wage data under wraps. Though taking production in-house will allow Boohoo Group to have control of and visibility into its production practices, it also requires taking skilled workers from an already vulnerable garment-manufacturing community, and potentially, from the very local suppliers which the company has abandoned. Considering Boohoo Group's current supply chain code of conduct does not meet Fair Labor Association standards when it comes to worker compensation and its audit frequency is the only information it reveals concerning labor oversight, the company still has a considerable way to go in both preventing future and remediating past misconduct.

Only three new points were awarded to Boohoo this year, two of which were for updates on its animal welfare policy. While Boohoo does disclose GHG emissions, its reduction targets for value chain emissions are worryingly insufficient. The company has yet to establish any targets or strategies surrounding water stewardship, and notably, discloses neither a list of restricted substances, nor chemicals used during manufacturing. As the fashion group continues to pursue an appallingly fast pace of production, its present initiatives are no match for rectifying a business model that is inherently unsustainable.

Linked Evaluation

8 Points

Infamous for its high quality luxury goods that cost a fortune, Chanel lags far behind other luxury companies like Burberry in terms of its social and environmental commitments. It has offered little insight into the environmental and social impacts of its supply chain beyond the disclosure of carbon emissions and a general description of its supplier auditing process. Chanel has set science-based targets for emissions reduction and is committed to achieving net zero emissions by 2030; however, its total carbon footprint has increased, indicating the luxury house has yet to make headway on the few environmental goals it does have. At the moment, Chanel has no clear strategy or disclosures regarding its water or chemical footprints. On materials, the brand mentions the use of eco-responsible tweeds; however, there is no indication that regenerative or recycled materials are being prioritized over virgin ones. Chanel offers tailoring services and programs to its clientele to aid in extending the life and value of its products, but much more is expected from the company on both the environmental and human rights fronts, considering the progress some of its competitors have already accomplished in these areas. If this iconic brand is to maintain its prestige, it will have to majorly enhance and accelerate its sustainability efforts.

Linked Evaluation

8 Points

SHEIN's meteoric rise from a relatively unknown Chinese e-tailer to the most valuable apparel company in the world caught many by surprise, but the company's hyper-flexible and opaque supply chain enables it to cheaply and quickly produce small batches of clothing. Its business model is, thus far, a recipe for human rights and labor rights violations. This year, investigations into SHEIN's warehouses found workers walking 34 miles a day, while SHEIN garment workers are sometimes working 18-hour days. Nevertheless, the company has invested substantial resources this past year to change its reputation as wasteful and exploitative. Following the appointment of its first Head of ESG last year, SHEIN's accountability score has increased ever so slightly. The company gained an additional point in 2022 for publishing its first greenhouse gas emissions footprint disclosure, which it did in preparation of submitting its emissions reduction goals for validation by the Science Based Targets initiative. It has also gained points for its $50 million Extended Producer Responsibility Fund, which will pay a waste management fee to circularity professionals in places like Kantamanto Market in Accra, Ghana, where much of the company's rapidly-discarded clothing ends up.

That said, SHEIN is among the least transparent of the fast fashion companies we evaluate, revealing woefully insufficient information about a small fraction of its supply chain (it provides aggregate information about only 700 of the 6,000 factories it claims to work with). The company simply must commit to full supply chain traceability to make any real progress, and to be held accountable to the many people in its supply chain who continue to report serious harms.

Linked Evaluation

8 Points

Entertainment behemoth Disney scores abysmally across nearly every category in the accountability criteria sheet. The company receives points for having an executive board that reflects the population demographics of the United States relatively well, and for partnering with Historically Black Colleges and Universities on career growth opportunities for graduates.

The same congratulations cannot, unfortunately, be offered for Disney's supply chain disclosures or efforts. On environment, the company notes that by 2030 it hopes to use "recycled, sustainably sourced, or lower impact alternative content" in its textile products without providing further context into how it defines these certifications or what progress has already been made towards this goal. What's more, Disney does not disclose any of its Scope 3 emissions, which would include those resulting from the production and transportation of its apparel and textile merchandise. These figures will hopefully be published when the company sets its science-based emissions reduction targets, which Disney states it will establish by the end of the year. Disney's minimal labor disclosures merely highlight obvious shortcomings – the company does not even publish a list of its Tier 1 factories. With such limited information surrounding Disney's global supply chain other than existing reports of wage theft, it can only be assumed that it is not the happiest place on earth. As a company of its size and stature, Disney must do better.

Linked Evaluation

7 Points

E-commerce monopolizer, Amazon, has been implicated in several recent wage theft cases as multiple manufacturers producing for the company in both India and Cambodia owe arrears to workers following labor rights violations, including nonpayment of the minimum wage and firing employees without payment of legally-owed severance. In light of Amazon's notoriety for worker exploitation, extending from contracted drivers and warehouse workers to its international garment workforce, the company must move beyond mere noncompliance disclosures and work in earnest to prioritize supply chain workers by ensuring living wages, freedom of association, access to adequate grievance mechanisms, and responsible purchasing practices that enable suppliers to maintain dignified work environments for their employees.

Nothing positive can be noted on the company's environmental progress, as carbon emissions have only grown in recent years alongside a glaringly obvious absence of clear science-based targets for emissions reduction. Moreover, Amazon discloses no information on its water and chemical impacts, while shamelessly placing the responsibility of impact reduction on its suppliers. Unsurprisingly, the company has scored zero points for diversity, equity and inclusion and has not signed on to the International Accord.

Linked Evaluation

6 Points

Walmart remains one of the lowest-scoring brands evaluated this year. Additionally, the company has been implicated in major wage theft cases in both India and Bangladesh during 2022. While suppliers in Karnataka, India, producing for Walmart are paying its current and former employees owed arrears due to nonpayment of the minimum wage, the company has yet to make amends for the billions of dollars worth of orders it has recently canceled globally in attempts to straighten out inventory issues and keep prices low. These cancellations have especially affected manufacturers in Bangladesh, from which Walmart sources a significant portion of its readymade garments.

As Walmart is no stranger to controversy when it comes to social and environmental impact, it comes as no surprise that the retailer scored zero in both the Commercial Practices and Environmental Justice assessment categories. The company reveals no evidence of making significant progress toward its climate or materials targets, meanwhile no strategy has been developed for managing textile waste. As for the rest of the categories, Walmart has only been able to muster a few points — an indication that when it comes to its fashion and apparel supply chain and business, transparency is essentially non-existent.

Linked Evaluation

6 Points

Desigual is amongst the lowest-scoring companies we evaluate. The Spanish fashion company, has taken some initial steps to curb its environmental impact, incorporating recycled materials into a small portion of its product offerings, while setting the vague objective to include 50% sustainable fibers in its collections by 2023. Unfortunately, "sustainable fibers" is a general term, making it difficult to determine what kind of alternatives are actually being prioritized (i.e. recycled, certified, organic, etc.) or to what extent virgin materials are still being used. Even less clear are the company's water and chemicals targets, as the disclosed water footprint covers merely its offices and points of sale, and the company fails to provide a restricted substances list. Without an MRSL list, it is unclear which hazardous chemicals are and are not being used during production. Desigual has been, however, transparent about the amount of product it produces annually (15,601,038 units in 2021), unlike so many of its competitors and larger conglomerates. Even so, the company has yet to set targets to reduce oil-derived raw materials or textile waste. To raise its score, Desigual will have to move toward more demonstrable progress across all assessment categories. The company also needs to step up its supply chain transparency, as it currently does not disclose specific wage data or visibility through to the raw materials stages of its production line. Desigual has not endorsed the End Uyghur Forced Labor Call to Action and has yet to sign the International Accord.

Linked Evaluation

6 Points

The Children's Place continues to score low, having made no significant improvements to this year. While the company has signed agreements to combat gender-based violence in Lesotho's garment industry, it still has not signed the International Accord, jeopardizing the health and safety of its garment workers in Bangladesh. The Children's Place has also been implicated in a wage theft case in Cambodia following the closure of a partner factory in 2020. Given the extent of its disregard for worker well-being, the general lack of visibility into the childrenswear retailer's supply chain comes as no surprise. The company has yet to share even its supplier list for any level of production, despite sourcing products from 100 vendors and more than 250 manufacturing and processing facilities across 22 countries. As for environmental goals, The Children's Place has only set timid targets to reduce emissions by 30% from a 2018 baseline and source 25% recycled polyester for apparel by 2030. No progress has been reported on either. In light of these social and environmental shortcomings, it is no wonder the company has fallen out of favor with the public and experienced mass store closures.

Linked Evaluation

5 Points

Kohl's score has increased by three points this year, due to the fact that it has now aligned its Manufacturing Restricted Substance List (MRSL) with the Zero Discharge of Hazardous Chemicals (ZDHC) MRSL, and that it has strengthened its language on remediating labor rights violations or noncompliances in its supply chains. These are two important foundational steps on the company's accountability journey. However, the company lost a point for emissions disclosure, given that it chose not to disclose its actual emissions figures this year, but to present them in graphic form instead. Such opacity follows through to the company's emissions goals themselves. While Kohl's does appear to have started the process of setting science-based targets, it is unclear whether these targets will cover the company's entire value chain because the company only makes mention of reducing Scope 1 and Scope 2 emissions. Excluding Scope 3 emissions would be imprudent as they appear to account for the majority of Kohl's emissions footprint.

In addition to the above, Kohl's continues to treat its suppliers abhorrently. The company has still not signed the International Accord and, piling on top of the already heinous fact that it did not #PayUp the money it owed to suppliers in Bangladesh for orders canceled during the pandemic, the company has been implicated in a wage theft case in Myanmar, this time related to unlawful pandemic-induced worker dismissals.

Linked Evaluation

4 Points

Fashion Nova is among the lowest-scoring companies we evaluate. Nothing has changed regarding Fashion Nova's accountability score since 2021. The company continues to earn zero points across five of the six categories in the scoresheet. It scores four points for its diverse executive suite, but it still fails to disclose information about its supply chain, and set goals or report on progress about its factories, wages, commercial practices, climate action plans, environmental impact or broader corporate strategy for diversity, equity and inclusion. With this in mind, it is not surprising to note that in March of 2022, the online fast fashion retailer was ordered to pay $4.2 million to the US Federal Trade Commission to settle allegations that it blocked negative reviews of its products from being posted to its website.

Linked Evaluation

4 Points

Savage X Fenty is amongst the lowest-scoring companies on this year's report. Founded by billionaire entrepreneur Rihanna, the lingerie retailer is revered for its size- and gender-inclusivity, as well as for its relevance to popular culture. Since its launch in 2018, the lingerie brand's value has soared to $3 billion in less than five years. Despite such success and obvious access to resources, Savage X Fenty has scored dismally for its utter lack of transparency into any of the assessment categories. The company blatantly disregards industry standards when it comes to social and environmental disclosures, merely noting on its website that products are "imported." Alarmingly, Savage X Fenty lacks even a Supplier Code of Conduct to define guidelines for assessing factories' compliance with international labor standards, especially in regard to workers health and safety. The lingerie brand relies heavily on the use of oil-based synthetic materials, in spite of its small offering of items made with REPREVE recycled fibers and has set no clear targets for increasing its use of less ecologically impactful fibers. Given the company's continued linear growth trajectory and lack of supply chain transparency, Savage X Fenty may be well on its way to joining the industry's worst violators of both human rights and planetary boundaries.

Linked Evaluation

3 Points

This year, Mothercare's score improved by only two points for its animal welfare policy, keeping the company as one of the lowest-scoring amongst its peers. The company still lacks disclosures on its supply chain, labor conditions, commercial practices, raw materials, environmental impact and targets, and corporate governance. Although the company states that it requires all factories to pay living wages, there is no data ensuring that this is actually the case. Additionally, Mothercare does not share a restricted substances list or disclose any chemicals used during clothing production — a concerning fact given the vulnerabilities of its target wearers and customers. Furthermore, Mothercare does not appear to have had any programs accounting for its products at end-of-use since its 2018 partnership with Hubbub, which aimed to redistribute baby clothing to UK families. Such programs are especially pertinent considering the shorter-use period of baby clothes, childrenswear and maternity clothing. Mothercare has yet to sign the International Accord.

Linked Evaluation

allbirds

3 Points

AllBirds continues to disappoint, scoring low across all assessment categories, but notably earning zero points for Traceability, Commercial Practices, Raw Materials and Governance. The few points it has managed to muster have only been awarded for disclosing a Supplier Code of Conduct, using minimal packaging that is FSC Certified and FSC Recycled Certified, as well as for their resale program, AllBirds ReRun. Aside from these few positive developments, the company has fallen severely behind in its supply chain, environmental and corporate governance disclosures. Equally inadequate are its emissions, water and chemical reduction targets — the latter two of which appear to be in rudimentary form. While AllBirds states that it is 100% carbon neutral, this achievement is largely attributed to the purchase of carbon credits, which by no means absolves the company from responsibility for the emissions it continues to produce as a result of both its own operations and those which occur along the supply chain. It is also worth noting that AllBirds has no formal animal welfare policy, an especially concerning fact given one of the company's primary materials is wool. With a reputation for greenwashing and an obvious ambition to scale its business, AllBirds can hardly be called a sustainable brand if it fails to meet even the most basic levels of transparency.

Linked Evaluation

UR
BN

2 Points

URBN Group (Urban Outfitters, Anthropologie, Free People) continues to score dismally, and lags far behind most of its industry peers in social and environmental commitments. That URBN Group's supplier code of conduct does not even meet Fair Labor Association standards when it comes to worker compensation and working hours is evidence enough to conclude that the company, which owns Urban Outfitters, Free People, Anthropologie and resale market Nuuly, cares very little about human and labor rights or social justice. It comes as no surprise, then, that URBN lost five points this year for failing to demonstrate that the investments it made in top HBCUs and BIPOC communities in 2021 have formed the basis for genuine, long-lasting relationships or resulted in the creation of full-time corporate career opportunities for historically marginalized groups. The company will have to do far more than engage in a bit of performative activism to earn these points back. In this vein, Anthropologie has still not paid up the money it owes to suppliers for orders canceled during the pandemic. What's more, Urban Outfitters has also since been implicated in a wage theft case in Cambodia related to pandemic-induced factory closures.

It does appear that on the environmental sustainability side that URBN Group is slightly more engaged this year, but it still lags woefully behind many of its contemporaries. The company looks to have introduced some more formal ESG leadership committees, policies and targets; however, both the disclosed goals themselves and the reporting on progress towards them are written in a way that seems purposefully vague. For example, URBN Group states that by 2023, it aims to source at least 30% of its "direct-sourced" cotton consumption more sustainably, either through "sustainably farmed" virgin fibers or recycled textiles, and that as of February 2022, 5% of its "direct-sourced" cotton is recycled, or "sustainable virgin fiber." The company fails to define what it means by "direct-sourced" or "sustainable." Additionally, URBN Group still does not disclose even its Scope 1 and 2 greenhouse gas emissions, and it has not set science-based emissions reductions targets. The lack of accountability across the board is astounding.

Linked Evaluation

2 Points

Owner of both Marshalls and TJMaxx, TJX has shown no improvement in any assessment category this year, keeping it amongst the lowest-scoring brands evaluated. The company has lost a point for having made no progress on its GHG disclosures. Additionally, emissions from more material Scope 3 categories, such as purchased goods and services are notably still absent. This implies that the company is avoiding the areas in which it has the most significant adverse impacts when it comes to the environment.

Linked Evaluation

2 Points

Amid rampant store closures and the continued spiraling of its retail business, it comes as no surprise that Sears' accountability score did not improve over the past year, remaining low. With a general lack of transparency across all assessment categories, details on even the most bare minimum disclosures surrounding supply chain traceability, labor conditions and environmental impact remain undisclosed. As such, it's safe to say that the meager sustainability goals it has shared are dismally insufficient in curbing any aspect of the company's negative impact on people and planet.

Linked Evaluation

2 Points

Forever 21 remains one of the lowest-scoring companies evaluated and performs far worse than some other fast fashion competitors, like H&M Group (H&M, COS, ARKET, & Other Stories). Forever 21, the fast fashion giant, which not too long ago shuttered many of its brick-and-mortar stores due to its financial difficulties, appointed a new CEO in January and appears to be making a return to in-person retail. However, there have been no improvements in Forever 21's accountability score since 2021, and so it appears that despite this leadership change labor rights or environmental sustainability are still not a priority for the company. As such, Forever 21 has continued to earn zero points across five of the six categories in the scoresheet. It scores two points for having some meager animal welfare considerations in place, but it still fails to disclose information about its supply chain, or to set goals or report on progress about its factories, wages, commercial practices, climate action plans, environmental impact or corporate strategy for diversity, equity and inclusion.

Linked Evaluation

2 Points

JCPenney is among the lowest-scoring companies evaluated. There have been no improvements to JCPenney's accountability score since 2021, though the company appears to be grappling with reducing its negative environmental impacts for the first time. 2021 saw JCPenney join TextileExchange, a multi-stakeholder initiative pushing the industry towards more sustainable material usage, including the drawing up of a five-year roadmap to use preferred sustainable fibers in 100% of its private label apparel and home products by 2026. JCPenny has made some progress towards these goals, but given that it is a multi-billion dollar Fortune500 company with global supply chains, there is little excuse for the company to be so behind the curve. While many of its contemporaries have set, or are in the process of setting, science-based emissions reduction targets, JCPenney does not yet even publish its greenhouse gas emissions figures.

In addition to upping the ante in terms of its environmental sustainability strategy, JCPenney needs to account for its social justice and human rights impacts. The retailer has still not signed the International Accord, and it apparently did not learn its lesson from refusing to #PayUp the money it owed to its suppliers for orders canceled during the pandemic – the company has since been implicated in a wage theft case in India, this time related to pandemic-induced factory closures. Publishing its supplier list in line with the Transparency Pledge would certainly be a start.

Linked Evaluation

2 Points

This year, Abercrombie & Fitch Co. (A&F) has shown no improvement in its score, remaining one of the lowest-scoring companies in the report. While net sales grew to $3.71 billion in 2021, transparency efforts have remained relatively stagnant. The company has yet again failed to meet industry standards when it comes to disclosing information on its suppliers, providing no visibility into labor conditions. As A&F continues to set its sights on growth, current worker wages and coverage by collective bargaining agreements remain unknown. Furthermore, A&F still has not signed onto the renewed and expanded International Accord on Health and Safety, despite actively using suppliers in Bangladesh. When it comes to materials, A&F has shown no evidence of having increased procurement from responsible sources since sharing its relevant targets, and has an extremely vague animal welfare statement.

Thus far, A&F has participated in several programs to address its products at end-of-life, including Cotton Inc.' s Blue Jeans Go Green denim recycling program, which collects and downcycles scrap denim into insulation; a recycling partnership with Martex Fibers to turn unwearable fabrics from their Global Home Office into items such as gym matting, bedding, automotive fill, acoustic paneling, etc.; and a re-commerce partnership with thredUP, through which customers may send in their unwanted items in exchange for A&F gift cards. While the success of such programs has yet to be determined, such efforts will likely be no match for the company's present impact, given its level of output and grievously insufficient environmental targets.

Linked Evaluation

0 Points

Nothing has changed regarding Edinburgh Woollen Mill's (EWM) accountability score since 2021, when it was one of the leading companies implicated in canceling orders without payment to its suppliers in Bangladesh. It also never agreed to #PayUp. The company continues to earn zero points across the six categories in the criteria scoresheet and, tied with Ross Dress for Less, remains the lowest-scoring company in the 2021 Fashion Accountability Report. EWM still fails to disclose information about its supply chain, and set goals or report on progress about its factories, wages, commercial practices, climate action plans, environmental impact or corporate strategy for diversity, equity and inclusion. Notably, earlier this year a court in Bangladesh barred EWM or any of its agents or buying houses from conducting business with the country due to the company's unfounded evasion of payment to its suppliers during the pandemic.

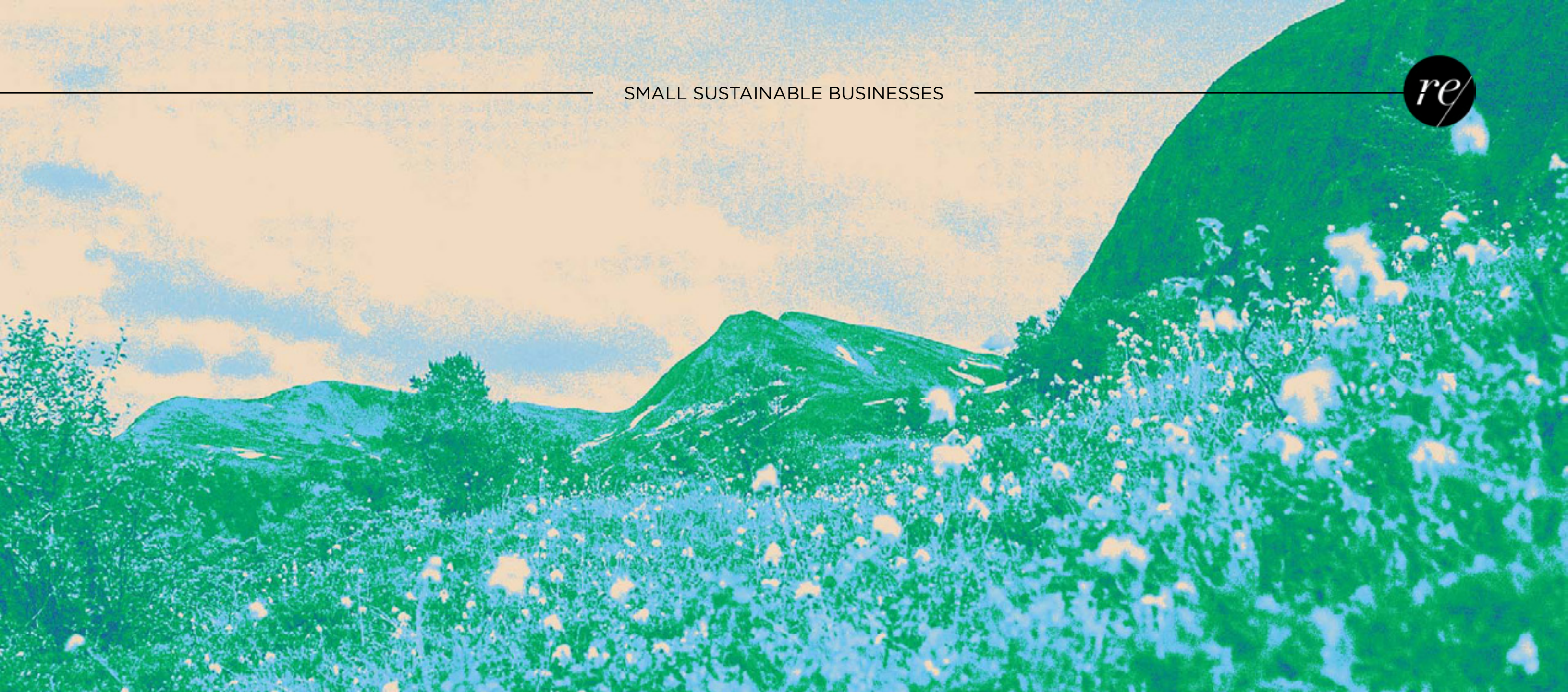
Linked Evaluation

0 Points

Ross Dress For Less, the largest off-price apparel and home fashion chain in the United States, did not score a single point on this year's assessment. Despite falling short on all disclosures across every assessment category, the retailer still rakes in $18.9 billion in annual sales. The company may purchase the majority of its merchandise from suppliers after being produced and imported to other retailers; however, this does not excuse it from taking responsibility for both its direct and indirect supply chain workers when it comes to wages and well-being. Even for merchandise that is made exclusively for Ross's retail outlets, supply chain transparency and traceability are virtually nonexistent. This is especially concerning considering the company's ongoing implication in LA wage theft cases and the fact that it has benefited for years from sweatshop labor. Notably, Ross still has not signed the International Accord.

As for environmental goals, the retailer disappoints with emissions data and reduction targets that merely cover its owned and operated facilities. The company says it is working toward net-zero emissions by 2050 or sooner, but given the limited coverage of its emissions, there is zero evidence it is on track to meet this goal. Moreover, Ross's brand ethos, which centers around the premise "that everyone loves a bargain," continues to fuel overconsumption and expectations for discounted goods at the expense of those who make them.

Linked Evaluation



SMALL SUSTAINABLE BUSINESSES

Large companies are not the last word in sustainable fashion. Innovation and true commitment to sustainability and social justice is found more readily amongst small, independently owned brands and startups. Our community wants to see small companies evaluated and lifted up. You have asked for alternatives — we are giving them to you.

Last year, we included small sustainable businesses in our aggregate scoring. This year we have dropped that approach. Based on feedback from these companies and on our own evaluation processes, it is clear that weighing up very small businesses against huge billion-dollar apparel companies is not an apples-to-apples comparison. It is unfair to small companies and large ones. Our assessment criteria is designed primarily to hold large corporations to account, and, as such, its questions are geared towards companies with significant market shares and that have large supply chains and substantial financial resources. For small companies, our scoresheet is better suited to being used as a roadmap to guide them as they evolve consciously and develop their sustainability strategies and related reporting capacities.

So, we have struck a middle ground by creating this separate section to continue to highlight a selection of sustainable and ethical SMEs (defined as companies earning under $100 million in annual revenue that self-identify as sustainable) that our community has expressed interest in. This is, of course, not a comprehensive list. If you would like to recommend a sustainable fashion brand to the Remake Brand Directory, please click the relevant link at the bottom of the directory page. Just as importantly, we will continue to lift up these businesses to our community and on our Brand Directory on the Remake website.

- ALOHAS
- Back Beat Co.
- Cotopaxi
- Doen
- For Days
- Ganni
- Hope for Flowers
- Known Supply
- LA Relaxed
- Lemlem
- MATE the Label
- Riot Swim
- Selva Negra
- TALA
- We are HAH

ALOHAS

This shoe and clothing company uniquely centers an on-demand production model developed to prevent overproduction, and thereby, avoid waste. Each week the company launches a new product drop that can be pre-ordered at 30% off over the course of three weeks before the discount is reduced further. Alohas then determines how many units to produce and manufactures accordingly. All shoes are locally produced in Alicante, Spain, which helps to minimize the company's carbon footprint, enable planning around supplier capacity limits, and afford greater visibility into the supply chain. As such, Alohas should be able to reveal more on its manufacturing conditions and worker well-being — an essential aspect of its social sustainability and especially necessary considering that the company does not share a Supplier Code of Conduct. Alohas works with leather producers certified by the Leather Working Group, but more clarification on the brand's part could help to confirm how its raw materials are improvements over conventional ones. And while the company has started to offer vegan styles using plant-based leathers made from cactus and corn, Alohas has not disclosed a Restricted Substances list to ensure that the company limits its use of hazardous chemicals. Alohas' nontraditional business model shows much promise in a world where overconsumption runs rampant; however, the company is encouraged to incorporate product life-prolonging initiatives to underline its mission to combat excess and waste.

Linked Evaluation

back beat co.

This WOC-owned company prioritizes the use of organic, recycled and low-impact materials to create comfortable, easy silhouettes reminiscent of "old school surf 'n' skate culture." Its current material portfolio includes recycled cotton, hemp, GOTS certified organic cotton, tencel and deadstock fabric. Back Beat Co. has committed to ethical production and social responsibility, noting that clothes are produced locally in LA at family-owned factories. Though Back Beat Co. vets its factories, dye-houses and knitting mills, the company should elaborate further on audit procedures or labor conditions. Similarly, while Back Beat Co. notes that some of its supply chain workers make a fair monthly salary, it is not clear what percentage of the total workforce these makers represent or what benchmark is used to define fair compensation. Overall, more evidence is needed to confirm how Back Beat Co.'s supplier working conditions are in fact improvements over industry standard. Further, while Back Beat Co. has in the past collaborated with Intersectional Environmentalists on the development of an impact-focused capsule collection, the company is now tasked with centering environmental justice within its own operations and supply chain communities. For starters, Back Beat Co. can begin by determining its own net impact and then develop a more comprehensive environmental strategy to reduce its overall footprint

Linked Evaluation

GEAR FOR GOOD cotopaxi

Cotopaxi prioritizes durable design and ethical sourcing in the creation of its clothing and gear, while also demonstrating a commitment to product life-extension through its offering of lifetime warranties and repairs, as well as incentivised gear and equipment trade-in. The company also has a collection made entirely of remnant fabrics from other companies' production runs — making use of landfill-bound materials, like nylon, to create one-of-a-kind products. Cotopaxi is Climate Neutral Certified, meaning the company has offset its emissions through the purchase of carbon credits. While this may be a positive first step, Cotopaxi should also prioritize action to actively reduce its absolute emissions so as not to sidestep responsibility for its climate impact. That being said, its collaboration with suppliers to reduce emissions through insetting strategies is especially promising. Cotopaxi can be applauded for allotting a portion of its annual revenue to provide grants for nonprofits working to eradicate extreme poverty and support environmental efforts through 1% For the Planet. Going forward, the company will hopefully extend similar support to environmental justice efforts pertaining specifically to its own supply chain communities. While Cotopaxi solidified its stance on garment worker well-being through its support of California's Garment Worker Protection Act, there exists much room for improvement when it comes to its own supply chain transparency. Even so, the company has set an example for other outdoor clothing companies, while providing better product alternatives to those of the big industry players who continue to compromise the health of our planet.

Linked Evaluation

DÔEN

An ode to female power and beauty, DÔEN is a women-run business offering quality clothing and home goods which invoke "a nostalgia for the coastal California of decades past." The company produces a majority of its product out of woman-owned or co-owned factories and plans to work toward understanding and reducing its ecological impact. Forthcoming goals include the development of a 2030 roadmap defining an approach to recycled materials inclusion, as well as the introduction of regeneratively farmed cotton sourced from California and India to its collections. Additionally, the company aims to source low water-use fibers to provide more alternatives to its current cotton-heavy offering. DÔEN is also developing a recommerce program and has partnered with TheRealReal to promote the circulation of secondhand goods. As DÔEN continues its pursuit of full supply chain transparency for Tiers 1-4, the disclosure of facility-specific information such as names, locations and number of workers is to be expected, as are insights into working conditions. On wages, the company notes that compensation paid to the majority of supply chain workers outperforms living wage benchmarks in each respective manufacturing region; however, actual wage data is needed to confirm these claims. Notably, DÔEN intends to share a report affording context to its pricing by category and how proceeds are distributed for operating expenses. DÔEN may be a small company, but such rare pursuits have the potential to set precedent for the rest of the industry when it comes to radical transparency. The company has also supported brand-level accountability for garment makers through its support of the FABRIC Act.

Linked Evaluation

FOR DAYS

For Days is a small business committed to starting a "circular revolution" through its offering of both recycled and recyclable products that are also organic and non-toxic. With its Take Back Bags, available for purchase online, customers can send textiles from any brand back to the company to be downcycled into insulation, rugs or cleaning materials in exchange for store credit. On the other hand, old For Days goods are fiber-to-fiber recycled into materials to be used in the making of new products. Moreover, the company can be commended for disclosing its recycling partners, as well as specific data on what happens to collected items. At present, 90% of all returned For Days items are recycled into new materials. As For Days is still a relatively new company, having been founded in 2016, the brand has yet to replace its use of virgin materials with recycled materials obtained via take back. However, For Days' present model offers a glimpse into a circular future for fashion and exemplifies a functional framework which incentivises customers to keep their clothes out of landfill and shop for new, on-trend goods more responsibly.

As for transparency, For Days can do better when it comes to supply chain traceability. Though the company notes that most of its products are produced with a partner in Morocco, specific information on the size of the supplier's workforce, labor conditions and wages have yet to be shared publicly. Further, the company discloses neither its carbon or water footprint and does not appear to have any strategy for curbing its environmental impact beyond the product level. For Days has an exemplary model in place — it now just needs to account for its net impact and prove its commitment to the environment extends beyond post-consumer recycling.

Linked Evaluation

GANNI

Beyond its role in helping to put Scandi style on the map, cult Danish company Ganni has become widely known for its subversive sustainability campaigns. Having seemingly taken a page out of the Patagonia marketing handbook, Ganni's primary declaration is that it is "not a sustainable brand." Smart advertising quips aside, it is clear that Ganni is a company whose environmental self-consciousness is steering the ship, and though it does not score particularly well this year, it is on the cusp of doing so.

Ganni states that it has full visibility of its supply chain for Tiers 1-4, which is more than most other companies on this list can say. Unfortunately, the company fails to score points for this, as its supplier disclosures do not yet all include the number of workers in each factory, and thus, do not all fulfill the full set of minimum supply chain disclosure standards that have been laid out by The Transparency Pledge. Fortunately, this seems like a low lift for the company. In terms of commercial practices, Ganni stands out for having updated its supplier contracts to reflect the principles of the American Bar Association's Responsible Purchasing Code of Conduct (also known as the Buyer Code of Conduct). No other company featured in this report has demonstrated such a genuine commitment to responsible purchasing practices. To score additional points in this section, however, Ganni will have to actually publish its Buyer Code of Conduct.

On the environment side, Ganni is seemingly quite close to eliminating virgin oil-based synthetic materials from its supply chain, as it is working to extend the life of its products through repair, rental and resale initiatives, while also increasingly designing and manufacturing garments for recyclability. The company does not yet appear to be using these initiatives to reduce its reliance on product output growth, however. Thus, their positive impact is potentially being overridden. Finally, though Ganni is certainly making headway on some of its environmental targets, it has not yet centered environmental justice in its overall strategy and should take care to prioritize the most vulnerable supply chain communities in its pursuit of sustainability.

Linked Evaluation

With her brand, Hope for Flowers, American designer Tracy Reese has set out to fuse socially and ecologically positive practices with the feminine fashion she is known so well for. Reese has worked to both shorten her supply chain and create economic opportunities for women in underserved communities through her artisan studio in Detroit. Outside of its diverse team of Black creatives, Hope for Flowers also offers free arts enrichment programming to help build life skills and foster local talent among Detroit's community of artists and youths. While Reese has outwardly acknowledged the necessity of paying garment makers a living wage, as it stands, Hope for Flowers still has a substantial way to go on its transparency journey. Sharing more information around supply chain operations and worker conditions will help hold the brand to account for its goals to preserve the health of people and planet, while also pursuing equity in profit. The company uses materials such as organic cotton and linen, Tencel™ Lyocell, and Cupro as less ecologically impactful alternatives to conventional textiles and has eliminated leather and polyester from its materials portfolio. As Hope for Flowers continues down a slow fashion path and strengthens its ethical sourcing practices, it will hopefully continue to refine its sustainability strategy and offer a bit more insight into its supply chain operations.

Linked Evaluation

Known Supply's underlying mission is to reconnect people with the makers of their clothes. In this vein, each of the company's garments are hand-signed by the person who made them, and profiles of many of the artisans can be found on Known Supply's website. Additionally, the company has demonstrated its commitment to uplifting garment workers in the United States by supporting worker-centered legislation such as the California Garment Worker Protection Act (SB62) and the federal-level Fashioning Accountability and Building Real Institutional Change (FABRIC) Act. Beyond this, however, Known Supply discloses relatively little about the actual labor conditions and employment benefits of workers in its supply chain. For example, the company acknowledges the importance of paying garment workers a fair wage, but it fails to mention how it defines a fair wage or what percentage of its own garment workers are earning one. Known Supply, thus, has some way to go before it fulfills its aspirations of being "The Most Human Brand." On the environment side, having partnered with For Days to implement a take back and recycling program, Known Supply has started to take responsibility for the full lifecycle of its products, which is applaudable. The company does not report on where and how the clothing collected through this program is recycled, though. To demonstrate progress, Known Supply should strive for more transparency across the board.

Linked Evaluation

LA Relaxed scored relatively well, earning the most points in this year's report. The company has provided an exemplary degree of transparency across most assessment categories. LA Relaxed takes care to source regionally to the greatest extent possible, keeping its sourcing within a ten mile radius in LA and producing 100% of its goods in-house through a vertically integrated production model. The use of domestic materials has also allowed the company to halve its lead times, reduce delays and maintain reasonable production timelines. Additionally, LA Relaxed uses bluesign® certified dye and wash houses to ensure harmful chemicals and hazardous effluents are avoided, while meeting strict environmental and health standards for water management. The company also notes efforts to minimize pre-consumer waste during the pattern and cutting stages of production and donates its remaining textiles to be recycled by local programs. On wages and well-being, LA Relaxed shares that the lowest wage paid to workers is $20 per hour, a disclosure rarely seen among brands, regardless of size. That being said, though $20 per hour surpasses California's minimum wage, it does not suffice as a living wage in the state. In order to stay on top of the pack, LA Relaxed should continue to expand its supply chain transparency, advocate for both living wages and freedom of association among its workers, and take steps to account for its environmental impact.

Linked Evaluation

lemlem by liya kebede

Lemlem's slow-fashion approach to production is built upon the preservation of traditional Ethiopian handweaving and a commitment to promoting a fair and sustainable fashion industry in Africa. The company sources its pieces from traditional weavers and local Ethiopian artisans. Lemlem's swimwear is made largely from recycled polyester and regenerated nylon through its partnerships with Repreve® and Econyl®. However, the brand should work toward providing more detail on its social and environmental programs, including the sources of the plastic material used to make its fabrics, as well as sustainability goals for its other oil-derived materials, such as acrylic and LYCRA®.

Though it notes that living wages and benefits are provided for workers in its partnering factories and workshops around Ethiopia, Kenya, and Morocco, Lemlem can fortify these claims by disclosing a supplier list, wage data, and any third-party auditing information, as independent verification is important to hold the industry to account.

Linked Evaluation

MATE

Mate the Label offers organic essentials made from core materials including cotton, linen and Tencel™ Lyocell — taking extra care to avoid nylon, polyester, conventional cotton and rayon. The company does use some virgin oil-based synthetics, though only minimally for its stretch fabrics, and has set the goal to incorporate recycled materials into its line over the course of 2022. Though Mate the Label still relies heavily on virgin fibers, it is taking steps to support regenerative farming, having joined forces with other brands, scientists and farmers to implement regenerative practices on two farms in the California Central Valley. Despite noting the launch of a recycled cotton fabric in 2021, the brand does not appear to include this material in its current offering. That being said, Mate the Label demonstrates a clear intention to take responsibility for its products at end-of-wear, having launched a clothing take back and recycling program in collaboration with SuperCircle. Additionally, the company has set an example for other small businesses through its endorsement of the FABRIC Act and disclosure of restricted chemicals and dyes, as well as its carbon footprint. Still, Mate the Label must work to minimize its actual absolute emissions as opposed to leaning on a carbon strategy which depends on the purchase of offsets to reach carbon neutrality. As the brand notes an understanding of the relationship between social and environmental impacts, Mate the Label must now act on this acknowledgement and work to center intersectional environmentalism in its business strategy as it relates to its sourcing and manufacturing communities.

Linked Evaluation

RIOT SWIM

Riot Swim is a Black-owned, body-positive swim and athleisure company with plenty of potential to shift from a linear path toward one that is more socially and ecologically sound. Given its prominent use of oil-based synthetic materials, the company may consider exploring recycled synthetics, such as polyester and/or nylon, as fiber alternatives. As the company does not yet disclose where it produces, another good place to start would be its supply chain disclosures, including a factory list, information surrounding audit processes and facility conditions, data related to worker wages and coverage by collective bargaining agreements, etc. Publicly stated commitments and goals to lessen its environmental footprint, while supporting its makers, would signal to customers that the company is committed to accounting for the impacts of its business and ultimately build brand trust and loyalty. As public demand for responsibly produced goods continues to grow and competitors advance the viability of alternative business models, Riot Swim has more than enough reason to join the movement toward sustainable production.

Linked Evaluation

SELVA NEGRA

This waste-conscious, LA-based brand prioritizes responsible, local sourcing with over 50% of textiles coming from the U.S. and production taking place at several family-owned factories in downtown LA. Selva Negra confirms that all employees are paid fair, liveable wages and work under safe and clean conditions; however, given the extent of control and visibility the company should have over its largely localized supply chain, more concrete evidence, such as actual wages paid alongside the living wage benchmark used to determine such wages, would reinforce these statements. Additionally, the company makes an effort to minimize waste and offset the amount of new materials purchased by putting out small batch production runs, upcycling excess textiles from previous seasons to make new pieces, and on occasion, procuring materials and trims from deadstock wholesalers. The small brand also does what it can to give back to the local community, making donations to various nonprofit organizations that align with its own values, including United We Dream, Downtown Women's Center and Planned Parenthood, among others. The company can also be commended for supporting California's Garment Worker Protection Act, confirming its commitment to garment makers. Selva Negra is on the right track, but to improve its score and secure a sustainable future, the company should take steps to incorporate circular models into its business structure and begin to account for its products at end-of-wear.

Linked Evaluation

TALA

Founded by fitness influencer, Grace Beverley, TALA markets itself as a sustainable and ethical activewear brand. While it is more transparent than many companies and uses a wide variety of more sustainable materials, TALA still has a ways to go in order to effectively back up some of its claims.

On the positive side, TALA discloses general supplier information and audits its factories, but the company must also work to publish worker wages and more importantly, commit to pay living wages all along its supply chain. Additionally, TALA heavily utilizes fabrics made from recycled nylon and polyamide, which is better than virgin oil-derived fabrics, but more transparency into where and how these materials are sourced is needed. What's more, the company should begin thinking through the circularity of its products, as recycled plastic clothing mixed with stretch fabric typically cannot be recycled again. Given its reliance on synthetic materials, including Lycra, TALA can also communicate more on how it intends to tackle carbon emissions so as not to fuel the climate crisis at large.

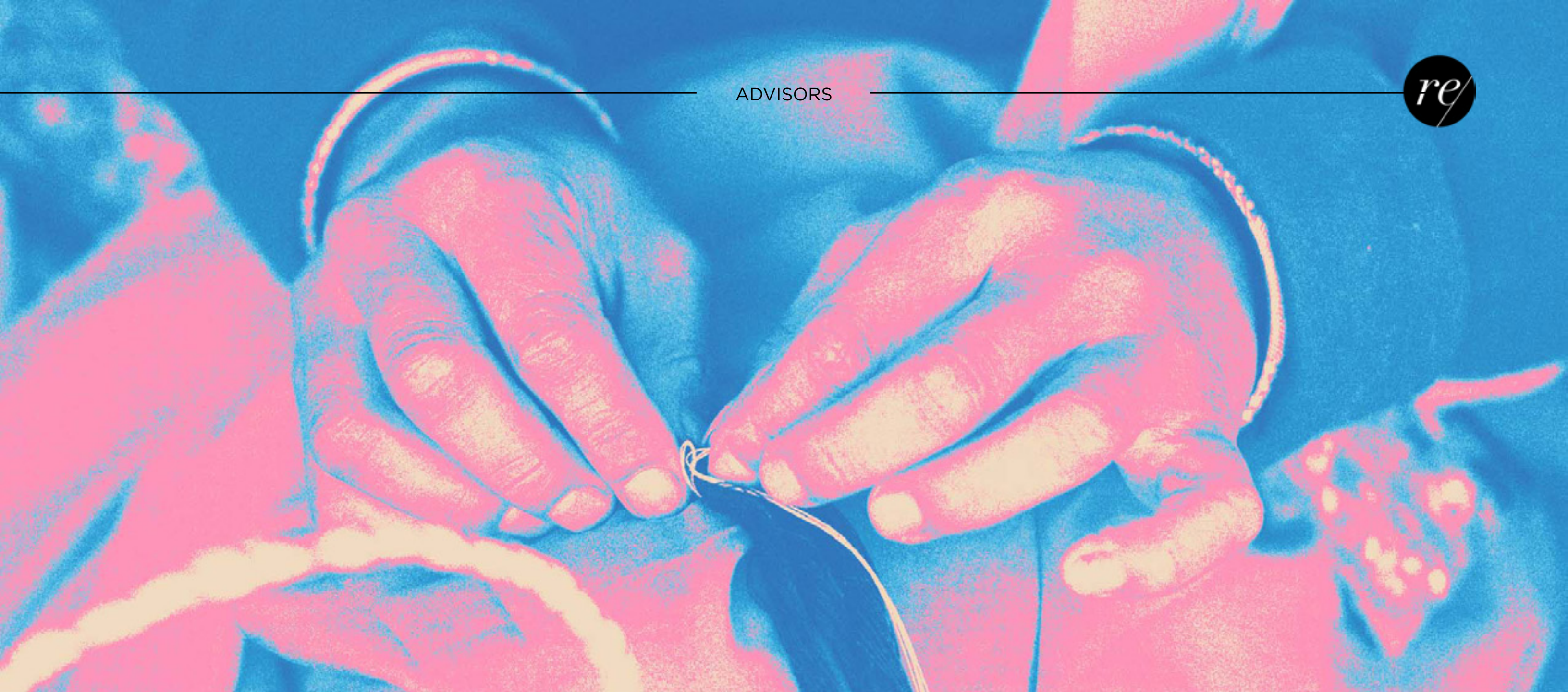
Linked Evaluation

WE ARE HAH

This West Coast, hyperfeminine and on-trend company is on a journey to be sustainable and ethical. We Are HAH can be applauded for championing California's Garment Worker Protection Act, publishing its Tier 1 suppliers and its commitment to #StartSomewhere on the road to sustainability.

We Are HAH is a small company that prioritizes making durable products ranging from lacey lingerie to pajamas, many of which are made from recycled or bio-based yarns. To score higher, We Are HAH should seek to improve transparency by reporting more holistically on its environmental and social impacts. For example, its bio-based synthetic fabric Sonora isn't made from fossil fuels, which is a plus, but switching to bio-based materials have other environmental impacts, like land use change. Further, bio-based plastics often aren't recyclable. The company can also begin to move beyond product-level sustainability by measuring its net impact. Additionally, while We Are HAH offers some level of traceability for its suppliers, more information is needed on worker wages and a living wage commitment for its staff and supply chain. Lastly, while We Are HAH states that becoming circular is a priority, its following still anxiously awaits the disclosure of specific plans, targets and timelines for its transition from linear to circular production.

Linked Evaluation



ADVISORS

The following is a list of subject-matter experts who contributed their knowledge towards developing the Accountability Report criteria.

Nazma Akter

Founder and Executive Director, Awaj Foundation

Bangladesh

Nazma Akter is the founder and Executive Director of Awaj Foundation. Awaj Foundation is a grassroots labor rights NGO with over 600,000 members in Bangladesh that strives to amplify workers' voices for decent working conditions. Akter started working in a garment factory at age 11, alongside her mother who was also a garment worker, first as a helper and then as a machine operator. She has been fighting to improve workers' rights, especially women workers, in the garment sector in Bangladesh for over 32 years. Atker is also the President of Sommilito Garments Sramik Federation, one of the largest union federations in Bangladesh, and co-chair of Asia Pacific Women's Committee of IndustriALL Global Union.

Mark Anner

Associate Professor of Labor and Employment Relations, and Political Science, Pennsylvania State University

Unite States

Mark Anner is an Associate Professor of Labor and Employment Relations, and Political Science. He is also the founding director of the Center for Global Workers' Rights. He holds a Ph.D. in Government from Cornell University and a Master's Degree in Latin American Studies from Stanford University. Dr. Anner's research examines freedom of association and corporate social responsibility, labor law reform and enforcement, and workers' rights in apparel's global supply chains. His field research has taken him to El Salvador, Honduras, Brazil, Vietnam, Bangladesh, India and Guatemala. Before beginning his academic career, he lived in Latin America for eleven years where he worked with labor unions and a labor research center.

Rebecca Burgess

Founder and Executive Director, Fibershed

United States

Rebecca Burgess is the Executive Director of Fibershed and Chair of the Board for Carbon Cycle Institute. She is also the author of the best-selling book Harvesting Color (2011), a bioregional look into the natural dye traditions of North America, and Fibershed: Growing a Movement of Farmers, Fashion Activists, and Makers for a New Textile Economy (2019). Burgess has over a decade of experience writing and implementing a hands-on curriculum that focuses on the intersection of restoration ecology and fiber systems. She has taught at Harvard University and Westminster College and has created workshops for a range of nonprofits and corporations.

Sarah Dadush

Professor of Law, Rutgers Law School

United States

Sarah Dadush writes and teaches at the intersection of business and human rights, consumer law, and social enterprise law. Her work explores innovative, public and private legal mechanisms for improving the social and environmental performance of multinational corporations. Before joining the Rutgers faculty, Dadush served as Legal Counsel and Partnership Officer for the International Fund for Agricultural Development (IFAD), a specialized agency of the United Nations based in Rome. Before that, she was a Fellow at NYU's Institute for International Law and Justice. She received her J.D. and LL.M. in International and Comparative Law from Duke University School of Law.

Kimberly Jenkins

Founder, CEO and Principal Researcher, The Fashion and Race Database, Artis Solomon

United States

Kimberly M. Jenkins is the founder of The Fashion and Race Database and Artis Solomon, an online learning platform that is supported by subscribing universities and museums globally, and consultancy on fashion history and cultural awareness, respectively. Jenkins currently holds a position as part-time lecturer at Parsons School of Design, having formerly taught at Pratt Institute and formerly held the position of Assistant Professor of Fashion Studies at Toronto Metropolitan University. Jenkins is best known for introducing the course, Fashion and Race, at Parsons, and for working as an education consultant for Gucci in Europe and Asia to support their efforts on design and cultural awareness.

Kate Fletcher

Author, Activist, and Research Professor, University of the Arts London

United Kingdom

Kate Fletcher's work is rooted in nature's principles and engaged with the cultural and creative forces of fashion and design. She is a Research Professor of Sustainability, Design, Fashion at the Centre for Sustainable Fashion, University of the Arts London. Fletcher has over 70 scholarly and popular publications in the field. She is author of Sustainable Fashion and Textiles: Design Journeys (2008) and Craft of Use: Post-Growth Fashion (2016), co-author of Fashion and Sustainability: Design for Change (2012), and co-editor of Sustainability and Fashion (2015) and Opening Up the Wardrobe: A Methods Book (2017). Fletcher is also a co-founder of the Union of Concerned Researchers in Fashion, which formed in 2018.

Jeremy Lardeau

Vice President, Higg Index, Sustainable Apparel Coalition

Spain

Jeremy Lardeau is the Vice President of Higg Index in the Sustainable Apparel Coalition. The Higg Index is a suite of tools for the standardized measurement of value chain sustainability. Before joining the SAC team, Lardeau was Senior Director of Sustainability Analytics at Nike, Inc., where he led sustainability reporting, performance management, data products and reporting. Prior to Nike, Inc., Lardeau was a manager with PricewaterhouseCoopers (PwC) sustainability practice. Lardeau holds a Masters in Industrial Engineering from the Ecole Centrale Paris.

Anna Heaton

Fiber and Materials Strategy Lead, Animal Materials, Textile Exchange

United Kingdom

Anna Heaton has been working internationally on animal welfare and sustainable livestock management for over 15 years. Before joining Textile Exchange, she helped design and execute various standards across a wide range of animal species for both the food and fashion industries. This included consultancy work for Textile Exchange on the Responsible Wool Standard, Responsible Mohair Standard and Responsible Animal Standard. Along with Wildlife Friendly Enterprise Network, Heaton developed standards for wildlife-friendly farming and tourism. She also has a long history of working with farmers and farmer groups in the United Kingdom on organic and regenerative land management.

Hellen Mbugua

Director of Research Analyst for Calvert Research and Management, Morgan Stanley

United States

Hellen Mbugua is a Vice President and ESG Senior Research Analyst for Calvert Research and Management. Calvert specializes in responsible and sustainable investing across global capital markets. Mbugua is responsible for environmental, social and governance (ESG) research in the apparel and retail industries. Prior to her work in private equity, Mbugua was an Associate Director at Pacific Alternative Asset Management Company (PAAMCO), and she worked at State Street Corporation and Segal Consulting's actuarial practice. Mbugua earned a B.S. from the University of California, Santa Barbara, and an MBA from the Tuck School of Business at Dartmouth College, where she was a Robert Toigo Fellow. She was born and raised in Kenya and speaks three languages.

Elizabeth (Liz) Ricketts

Co-Founder and Director, The OR Foundation

Ghana and United States

Liz Ricketts is a fashion designer, educator and founder of The OR Foundation. The OR Foundation is a USA- and Ghana- based not-for-profit organization working at the intersection of environmental justice, education and fashion development. It aims to liberate young people from their dominant consumer relationship with fashion, riddled with excess and exploitation. The OR Foundation's initiatives include Dead White Man's Clothes, Collectofus and The Sustainable Fashion Initiative at University of Cincinnati DAAP. Ricketts' work looks at overconsumption and overproduction within the fashion industry and attempts to engage people in alternatives.

Jennifer Russell

Assistant Professor of Circular Economy, Virginia Polytechnic Institute and State University

United States

Jennifer Russell is an Assistant Professor in the Department of Sustainable Biomaterials at the College of Natural Resources and Environment at Virginia Tech. Her area of expertise is in economic systems-modeling with a focus on the environmental impacts associated with industrial use of resources and energy. She is the co-author of the UNEP International Resource Panel publication Re-defining Value – The Manufacturing Revolution, and is committed to research and education on the value, potential, and tangible opportunities of the circular economy. Dr. Russell holds a Ph.D. in Sustainable Systems from Rochester Institute of Technology. Prior to pursuing academia, Dr. Russell worked as a sustainability consultant for 10 years for multinational Consumer Packaged Goods (CPG) clients based across North America and Europe.

Whitney Mcguire

Co-founder, Sustainable Brooklyn; Part-Time Lecturer of Sustainability, Fashion and Business, Parsons School of Design and Glasgow Caledonian University NYC

United States

Whitney McGuire is an attorney for creative entrepreneurs specializing in intellectual property. She is the co-founder of Sustainable Brooklyn, a community-based initiative that bridges the gap between the mainstream sustainability movement and targeted communities. Outside of the law, she is the co-owner of SwiMMMers Ear, a Brooklyn-based creative consulting/multi-media production company with her husband, multiple-discipline artist, Nelson Nance. Through her work, she champions the sustainability of those hailing from targeted communities including artists and advocates. McGuire obtained her J.D. from Catholic University of America and her B.A. from George Washington University.

Olivia Windham-Stewart

Business and Human Rights Specialist

United Kingdom

Olivia Windham-Stewart is an independent business and human rights specialist currently based in the UK. Prior to working independently, Windham-Stewart worked with the Labor Rights team at Laudes Foundation (formerly C&A Foundation) and at Impact UK. She holds an MSc with Distinction from SOAS University, London.

Lewis Perkins

President, Apparel Impact Institute

United States

Lewis Perkins is the President of the Apparel Impact Institute (Aii) which is a collaboration of brands, manufacturers and industry stakeholders that come together to select, fund and scale high-impact projects that dramatically and measurably improve the sustainability outcomes of the apparel and footwear industry. Previously Perkins was President of the Cradle to Cradle Products Innovation Institute (C2CPII) which is a non-profit organization focused on transforming the making and consumption of things into a regenerative force for the planet. Prior to C2CPII, Perkins served as Director of Sustainable Strategies for The Mohawk Group with a focus on driving marketing strategy for the commercial carpet manufacturer's environmental initiatives. Perkins holds a Master of Business Administration in marketing and strategy with a focus on social responsibility from Emory University and a B.A. from Washington & Lee University.

GLOSSARY

#

1.5°C Pathway – The IPCC has issued a “code red for humanity” and has stipulates that to avoid the most significant effects of climate breakdown, we must halve greenhouse gas emissions before 2030, achieve net-zero emissions before 2050 and halt global temperature rise to 1.5°C above pre-industrial levels.

A

ABA – American Bar Association

B

Bangladesh Accord – The Accord on Fire and Building Safety in Bangladesh (now the International Accord for Health and Safety in the Textile and Garment Industry) is an independent, legally binding agreement between companies and trade unions to work towards a safe and healthy garment and textile industry. It was established in May 2013 in response to the Rana Plaza garment factory collapse in Dhaka in April 2013 that killed 1133 people. The Accord was due to expire in May of 2021, but after months of negotiations, it was extended and will be expanded to other countries.

Base Year – Base year Greenhouse Gas emissions are those from a reporting year in the past that can act as a reference point with which current emissions can be compared. When companies set their emissions reduction targets, they will likely state that they need to reduce their annual emissions by a percentage of their base year figures.

Binding Agreement – A binding agreement is a legal contract that indicates two parties have knowingly entered into an agreement and that the parties are now responsible for actions described by the contract.

Biogenic Materials – A biogenic substance is a product made by or of life forms. E.g. cotton, wool, Man Made Cellulosic Fibers.

C

Carbon Offsets – Carbon offsets broadly refer to a reduction in carbon dioxide emissions – or an increase in carbon storage (e.g. through land restoration or the planting of trees) – that is used to compensate for emissions that occur elsewhere.

CBA – Collective Bargaining Agreement

Circularity* – An economic system aimed at eliminating waste and promoting the continual use of resources, encouraging regenerative inputs, reuse and recycling. *Remake measures circularity based on business model progress. Circular initiatives such as repair, rental, reuse etc. need to displace the production of new garments. For circularity to have an impact, it cannot run parallel to linear production.

Climate Neutral – Climate neutrality refers to the idea of achieving net zero greenhouse gas emissions. Climate neutrality can be achieved if CO emissions are reduced to a minimum and all remaining CO emissions are offset with climate protection measures.

Climate Positive – Climate positive means that an activity goes beyond achieving net zero carbon emissions to actually create an environmental benefit by removing additional carbon dioxide from the atmosphere.

Closed Loop Economy – A closed-loop economy is an economic model in which no waste is generated, instead everything is shared, repaired, reused, or recycled. What might traditionally be considered “waste” is rather changed into a valuable resource for the creation of something new.

CoC – Code of Conduct

Collective Bargaining Agreement – A written legal contract between an employer and a union representing the employees. The CBA is the result of an extensive negotiation process between the parties regarding topics such as wages, hours, and terms and conditions of employment.

Commercial Practices – How companies relate to their factories and other suppliers with respect to contracting, pricing, placing and changing orders, addressing conflicts that arise, and terminating the business relationship.

Corporate Strategy – Corporate strategy encompasses a firm’s corporate actions with the aim of achieving company objectives while also achieving a competitive advantage.

C-Suite – C-suite refers to the high-ranking executive-level managers within a company, e.g. Chief Executive Officer (CEO), Chief Financial Officer (CFO), Chief Operating Officer (COO).

D

Decarbonization – The process of moving away from energy systems that produce carbon dioxide (CO2) and other greenhouse gas emissions. This can be done, for example, by decreasing CO2 output per unit of electricity generated (increasing energy efficiency), or switching to renewable energy sources.

Direct Employees – In this case, a direct employee refers to any employee that works directly for the company, be it in a headquarters, or in retail.

Degrowth – The degrowth movement argues that the economy cannot keep growing without driving humanity into ecological and climate catastrophe. Degrowth encourages a planned reduction of global production and consumption and advocates that social and environmental well-being replaces GDP as the indicator of prosperity.

DE&I – Diversity, Equity and Inclusion

E

Environmental Justice – Environmental justice is the fair treatment and meaningful involvement of all people regardless of race, color, national origin, or income, with respect to the development, implementation, and enforcement of environmental laws, regulations, and policies.

F

The FABRIC Act – The Fashioning Accountability and Building Real Institutional Change Act

Fiber-to-Fiber Recycling – Refers to a system where a fiber, i.e cotton or polyester is continuously recycled into “new” cotton or polyester fabrics for garments, rather than being downcycled into less valuable products, for example.

FLA – Fair Labor Association

FOA – Freedom of Association

G

Garment Worker Protection Act (SB62) – The Garment Worker Protection Act (California Senate Bill 62) is a California Senate bill that improves working conditions in America’s largest garment industry by ensuring that companies share in the responsibility for garment worker pay under the law. SB62 strengthens protections for garment workers in three essential ways by: 1) Eliminating piece-rate pay and enforcing the minimum wage for factory workers. 2) Holding companies jointly liable for sub-minimum wage pay in factories that produce their garments. 3) Increasing enforcement of wage laws up the supply chain.

GBV – Gender-Based Violence

Gender-Based Violence – Gender-based violence is a phenomenon deeply rooted in gender inequality. It can be defined as violence directed against a person because of their gender.

GHG – Greenhouse Gas

Grievance – A grievance is a formal complaint that is raised by an employee towards an employer within the workplace over something believed to be wrong or unfair. Reasons for filing a grievance in the workplace can be as a result of, but not limited to, a breach of the terms and conditions of an employment contract, raises and promotions, or lack thereof, as well as harassment and employment discrimination.

Grievance Mechanism – A grievance mechanism is a formal, legal or non-legal complaint process that can be used by stakeholders to provide remedy when a company has caused or contributed to a negative impact. They can also be important early warning systems for companies and can provide critical information for broader human rights.

H

Human Rights Due Diligence – Human rights due diligence involves the actions taken by a company to both identify and act upon actual and potential human rights risks for workers in its operations, supply chains and the services it uses. It is a way for enterprises to proactively manage potential and actual adverse human rights impacts with which they are involved.

HQ – Headquarters

I

ILO – International Labour Organization

Indirect Employees – In this case, an indirect employee refers to any employee that forms part of the company’s value chain but that works outside of its headquarters or retail stores. Eg. garment and textile workers, farm workers, warehouse workers.

Intergovernmental Panel on Climate Change (IPCC) – The IPCC is an intergovernmental body of the United Nations responsible for advancing knowledge on human-induced climate change.

International Accord for Health and Safety in the Textile and Garment Industry – The Bangladesh Accord has been renamed The International Accord for Health and Safety in the Textile and Garment Industry. It is a legally-binding agreement that advances the fundamental elements that made The Accord successful and explores the expansion of its standards to other countries.

Intersectional Environmentalism – An inclusive form of environmentalism advocating for the protection of all people and the planet. Intersectional environmentalism identifies the ways in which injustices targeting vulnerable communities and the earth are intertwined.

IPCC – Intergovernmental Panel on Climate Change

K

KPI – Key Performance Indicator

N

Negative Externality – Negative externalities occur when the consumption or production of a good causes a harmful effect to a third party, i.e. pollution, environmental degradation, or mass layoffs.

Net Positive – A way of doing business which puts back more into society, the environment and the global economy than it takes out.

Non-Biogenic Materials – Materials that are not made of or from life-forms.

P

The Paris Agreement – The Paris Agreement is a legally binding international treaty on climate change. It was adopted by 196 Parties at COP 21 in Paris, on 12 December 2015 and entered into force on 4 November 2016. Its goal is to limit global warming to well below 2, preferably to 1.5 degrees Celsius, compared to pre-industrial levels

PET – Polyethylene terephthalate, abbreviated as PET, is the most common thermoplastic polymer resin of the polyester family and is used in fibers for clothing.

Post-Consumer Waste – Post-consumer waste is material that has served its intended purpose as a consumer item. It has completed its life cycle of being used by a consumer, disposed of, and diverted from landfills, and can now be recycled and reused.

Postgrowth – ‘Post-growth’ is a worldview that sees society operating better without the demand of constant economic growth.Post-growth is stance on economic growth concerning the limits-to-growth dilemma — recognition that, on a planet of finite material resources, extractive economies and populations cannot grow infinitely.

R

Raw Materials – Raw materials are materials or substances used in the primary production or manufacturing of goods.

Recyclable – Recyclable means a substance or object that can be recycled. Recyclable waste or materials can be processed and used again.

Regenerative Agriculture – Regenerative Agriculture can be defined as farming and grazing practices that increase soil organic matter from baseline levels over time. Benefits of regenerative agriculture include improved soil health and biodiversity, increased soil water holding capacity, reduced pest pressure, and carbon sequestration.

Remediation – A company's dedication to, and process of, resolving or supporting the resolution of grievances and human rights violations both in the supply chain and amongst its direct employees.

Responsible Exit – When terminating a business relationship with a supplier, the company accounts for the socio-economic impact it will have on the supplier and workers. Ideally, these considerations are integrated into the supplier contract at the outset.

Restricted Substances List (RSL) – The Restricted Substance List (RSL) is intended to provide apparel and footwear companies with information related to regulations and laws that restrict or ban certain chemicals and substances in finished home textile, apparel, and footwear products around the world.

RSL – Restricted Substances List

R&D – Research and Development

S

SBTi – Science Based Targets initiative

SBTs – Science Based Targets

SB62 – California Senate Bill 62, also known as the Garment Worker Protection Act.

Science Based Targets (SBTs) – SBTs are science-based emissions reduction targets and strategies set by companies and validated by the Science Based Targets Initiative (SBTi). These targets mobilize companies to set net-zero science-based targets in line with a 1.5°C future.

Severance Guarantee Fund – The Severance Guarantee Fund holds employers and companies accountable and ensures that fired garment workers are no longer robbed of the severance they have legally earned. SGF mitigates the devastating consequences of unemployment for workers in the future by financially supplementing or strengthening government social protection programmes for unemployment or severance benefits.

Scope 1 Emissions – Direct emissions from a company's owned or controlled operations (e.g. emissions associated with fuel combustion in boilers, furnaces, vehicles).

Scope 2 Emissions – Indirect emissions associated with the company's purchase of electricity, steam, heat, or cooling.

Scope 3 Emissions – The result of activities from assets not owned or controlled by the reporting organization, but that the organization indirectly impacts in both its upstream and downstream value chain. Scope 3 emissions include all sources not within an organization's scope 1 and 2 boundary.

T

Tier 1 – Production facilities where finished products are made. These are sometimes referred to as cut-and-sew facilities.

Tier 2 – Material production facilities where materials are manufactured. Fabric is made from yarn and dyed. These are sometimes referred to as dye houses and/or fabric mills.

Tier 3 – Material processing facilities which process raw materials into yarn and other intermediate materials. This includes processing of natural and synthetic materials into yarn.

Tier 4 – Raw material farming and extraction.

U

Upward Mobility – The rate at which employees advance into new roles, additional opportunities, and better compensation.

Uyghur – Uyghurs are a Turkic ethnic group native to Xinjiang in Northwest China, and the victims of wide scale repression, forced labor and imprisonment at the hands of the Chinese government.

Uyghur Forced Labor – In China's Xinjiang Province, authorities have imprisoned thousands of people from the Uyghur ethnic minority without legal justification. They have also forced thousands of Uyghurs into state or factory jobs, including in apparel and textile manufacturing.

W

Wage Theft – The failing to pay wages, severance or provide employee benefits rightfully owed to an employee by contract or law.

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ACCOUNTABILITY

re/make

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Remake is a global advocacy organization fighting for fair pay and climate justice in the clothing industry. As a non-profit and independent third party, we take no money from brands and charge no auditing fees.